R R Kabel (RRKABEL)

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Dalal Street, Mumbai – 400 001

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National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on November 8, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on November 8, 2023.

Kindly take the same on your record

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Himanshu Navinchandra Parmar
Company Secretary and Compliance o■cer
M. No. – F10118

"R R Kabel Limited
Q2 FY '24 Earnings Conference Call"
November 08, 2023

MANAGEMENT : MR. SHREEGOPAL KABRA -- MANAGING DIRECTOR -- R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF FINANCIAL OFFICER -- R R KABEL LIMITED

MODERATOR : MR. RONAK JAIN -- ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 RR Kabel Limited Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ronak Jain from Orient Capital, their investor relations partner. Thank you and over to you, Mr. Jain.

Ronak Jain: Thank you. Good afternoon, everyone. On behalf of RR Kabel Limited, I extend a very warm welcome to all participants on Q2 FY24 Earnings Conference call. Before we begin this call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties.

With this, I hand over the call to Shreegopal Kabra Sir, Managing Director of RR Kabel Limited. Over to you, sir. Thank you.

Shreegopal Kabra: Thank you, Ronak. Hello, everyone, and good afternoon. On behalf of RR Kabel Limited, I extend a very warm welcome to all the participants on our Q2 FY24 Financial Results discussion call.

On this call, I have with me our CFO, Mr. Rajesh Jain. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on the exchange and the company's website. I want to express my gratitude to the entire capital market, particularly with a special mention to our shareholders for their enthusiastic response to our IPO and for placing your trust in us.

Your strong faith in our company, business model, management, and industry is deeply appreciated. We are dedicated and focused on growing substantially in the coming years, and we remain steadfast in our mission to constantly generate value for all our stakeholders over the long term. As you are well informed, this marks RR Kabel inaugural earnings conference call, subsequent to our IPO, it is valuable to spend some time delving into our company's story to provide an overview, I trust this will be helpful to all participants.

With this, I would like to hand over the call to Mr. Rajesh Jain to take this call further.

Rajesh Jain: Thanks, Shreegopalji. RR Kabel is one of the leading companies in India's consumer electrical industry, comprising wire and cable and fast-moving electrical goods, i.e., FMEG, with an operating history of over 23 years in the country. RR Kabel is the fifth-largest player in the branded wire and cable market in India, representing approximately 7% market share by value as of FY23.

It is one of India's largest exporters of wire and cable from India, with 9% market share of export market as of FY23. RR Kabel is present in 65 countries and sells a range of wires and cable products across the world. The company has one of the largest networks of more than 325,000 electricians and more than 124,000 retailers networked across India.

Wire and cable is the dominant part of our business and during the first half of FY24, 90% of the company's revenue from operations was generated from the wire and cable segment, while FMEG has seen a significant scale-up of revenue from operations contribution of 10% from 7% in FY19.

Company preliminary sells wire and cable under the brand name RR Kabel in India and the international markets. India's wire and cable industry continues to benefit from strong tailwinds such as growth in commercial and residential sectors, government infrastructure trust, rural electrification, higher per capita consumption of electricity, 5G rollout, digiti

zation initiative,
and robust global demand with rising income and brand awareness. The industry's branded share is up from 57% in FY15 to 72% in FY23.

RR Kabel is well placed given its strong product portfolio, robust distribution network, brand image, product quality, and highly certified manufacturing facility. Our FMEG segment includes a wide range of products in portfolio such as fans, lighting, switch, switchgear, and appliances.

The company preliminary sells FMEG products under the brand name RR and Luminous, and professional lighting under the brand name Arraystorm. In May 22, RR Kabel acquired the home electrical business from Luminous which helped boost its lighting and premium and mid-premium fans offering, thereby expanding the product portfolio in the FMEG segment.

The FMEG industry in India is witnessing increased demand for premium products as consumers are showing a rising interest towards smart, ready-to-use, and technologically advanced products. RRK is well placed to capture the emerging opportunities by expanding distribution network and innovative product development.

Now here I will discuss the financial performance of Q2 of current fiscal FY24. In Q2 FY24, on a consolidated basis, we achieved a revenue of INR1,610 crores, representing a remarkable growth of approx. 18% Y-O-Y. Our EBITDA for the quarter was INR121 crores, making an impressive growth of about 93% Y-O-Y and our PAT doubled from Q2 FY23 and standing at INR74 crores.

Moving to H1 of FY24 performance, in H1 FY24, on a consolidated basis, we achieved a revenue of INR3,207 crores, representing a momentous growth of approx. 23% Y-O-Y. Our

EBITDA for the half year stood at INR235 crores, marking a remarkable growth of about 129% Y-O-Y and our PAT more than doubled from INR53 crores in H1 FY23 to INR148 crores in H1 of FY24.
Now let me delve into the segment-wise performance of our business. Over the past 6 months, RR Kabel has demonstrated a promising performance, characterized by significant growth in

our sales volume. Wire and Cable business segment has recorded a revenue of INR2,873 crores compared to INR2324 crores in H1 FY23, marking substantial growth of approx. 24% in H1 FY24 when compared with H1 FY23. The growth was preliminarily attributed to a notable approx. 28% increase in volumes.
Furthermore, exports contributed significantly and accounted for 29% in our total revenue. Our EBITDA has doubled from INR126 crores to INR258 crores, showcasing a remarkable growth of more than 100%. This exceptional performance was driven by margin expansion and effective cost management in line with the overall company's growth.
Now coming to FMEG business segment, we have achieved a revenue of INR334 crores compared to INR279 crores, representing a growth of approx. 20% in H1 FY24 over H1 FY23. EBIT in this segment has also improved preliminarily due to an increase in gross margin, although this was partially offset by indirect expenses.
During H1 FY '24, the company has efficiently managed its working capital days to 65 days and ensuring short-term financial obligations and expenses can be met while also contributing towards longer-term business objectives. Company continues to keep its best inventory management practice intact while improving on receivable days.
With this, I would request to open the floor for question and answer. Thank you so much.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.
Natasha Jain: Thank you for the opportunity and good afternoon, gentlemen. My first question is on the wires and cables division. Sir, is it possible if you can firstly give us the volume value breakdown and also if you can tell us growth individually in wires and cables?
Rajesh Jain: So, if you see, as I told you, we have grown by a

pprox 28% in volume terms. If you see this H1 of current year versus H1 of previous year, in that, obviously, since our cable segment is a bit smaller, so we got more volume growth. So, if I break up, it will be around 25% in wire and 32% in cable segment in volume terms.
Natasha Jain: Understood, sir. And, sir, in terms of wires, especially housing wires, did you experience any slowdown like some of your peers had experienced or was it not the case for you?
Rajesh Jain: No, so figures itself, it is saying that we have seen 25% volume growth and majority of our revenue in wires are like coming from real estate and like in real estate, see, not only housing but there is like office segment or restaurant, hotel. So, altogether, we have seen good demand in wires.
Natasha Jain: Understood. And, sir, how did the export market do this quarter?

Rajesh Jain: So, export, again, we have done very good progress and as you can see, now export is contributing almost 29% in our revenue, which was about 25% a year back. So, we have done very good performance in export as well.
Natasha Jain: And, sir, in terms of second half, is it also a better period for you and can we expect a stronger growth in second half versus the first half?
Rajesh Jain: So, if you see our historical performance, we have grown more than industry average and our volume growth was always more than 20% and we are expecting to maintain the same growth in this half also.
Natasha Jain: Understood. And, sir, next, in terms of the capex plans for FY '24, 25 and 26, can you elaborate a little as to what capacities are coming up, what product is coming up? A little light on that would be helpful.
Rajesh Jain: So, to meet the increasing demand of the business plan, what we have made. We have made the capex plan of investment of around INR500 crores combined in FY '24 and 25. So, altogether in next two years, we have plans to have capex of INR500 crores. And this will be like expanding, we are doubling our power cable capacity. Also, we are increasing our copper wire manufacturing, PVC compound, which is backward integration and to meet the demand of wire and cable. Again, we will increase the demand of PVC compound, E-beam facility and for this,

we are, already we have made the expansion plan and in the phase of execution, the same.
Natasha Jain: So, right now, I would say approximately 26 to 27% comes from your B2B, which is cables and EPC. So, once these capacities are up and running, what can be the cable contribution or rather the B2B contribution?
Rajesh Jain: So, first, we are not in EPC, but B2B, it is like almost contributing 25% to 26%. And with this increase, I can say by FY '26, this contribution can be like 70, 30 or maybe 68, 32, something like that. Because at the same time, we will also grow in wire segment also. So, growth will be in both the segments.
Natasha Jain: Understood, sir. And lastly, can you give us some growth guidance in terms of where do you see the top line and EBITDA margins moving probably in the medium term, say by FY '26?
Rajesh Jain: So, see, when we talk about wire and cable revenue, it depends on the material prices. But at least we can say, like as you have seen, we are growing more than 20% and we would like to continue in the same segment, in the same range. And at the same time, like we have seen EBIT margins of 9% in wire and cable for this half, which is a very good growth we have done already over the previous year. And by focusing on some cost optimization and better product mix and scaling up our operations, we can expect further improvement in our margins profile.
Moderator: Thank you. We have the next question from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Yes, hi. Good afternoon, sir. Congratulations. Great set of numbers. Just going back to your export

s on the wire and cable side, as you said, about 30%, close to 30% is exports. If you could just talk about which are your key geographies, say the top four, five geographies, how are they behaving?
Any signs of a slowdown, given we're hearing of globally things are kind of getting a little softer? So how are you seeing, say, your current backlogs? How are they in terms of inquiries, etcetera?
Rajesh Jain: So we have seen very good growth in our export business and there is a good demand also. If we talk about geography, like our export revenues are coming from Europe, comprimising UK and then USA also contributing to our exports, and UAE, Middle East. And the good part with us is that almost 90% of our sale is in our own brand, which is very big.
And this is a repeat business. And there also, the majority of our sales is into B2C segment. So we are seeing good demand and also anticipating this demand will continue and grow further in the near future also.
Ankur: Okay, so no signs of a slowdown yet, right? I think that continues to be a norm. And then, sir, within the domestic piece, if you could talk about your regional breakup, I don't know if you share numbers in terms of how North, West, East, South. I'm assuming North and West would be the stronger markets for us. So any regional split you can tell us? Also, what are you trying to do to increase your market shares in some of the weaker regions in India?
Rajesh Jain: So as rightly said by you, we are very strong in the North and West part of India. But at the same time, we are also expanding our sales in the rest of the zones, South and East. And in the previous few years, we have met very strong dealer-distributor network, retailer network, and electrician network.
And so though growth is now coming very fast from the weaker section, but since they are lower weighted, so it doesn't seem that significant. But we have equal focus to grow in all zones of India.
Ankur: Okay, and any numbers you can share, sir? I don't know, in terms of regional mix, how much would North be, how much would West be together or individually?
Rajesh Jain: So like North and West is contributing almost 65% of our total revenues.
Ankur: And lastly, on the FMEG side, losses obviously seem to be slightly on the higher side, your 12% negative EBIT margins on a Q-o-Q basis. So any outlook I understand, the industry itself overall seems to be going through a weak kind of phase, the whole consumer sector space is a little weak. But what steps are we taking? How do you see that, the path to breakeven and profitability?

Rajesh Jain: So when we see about our FMEG business, we need to see that we are very young in this area. And like we started our FMEG segment in FY 2019 only. And this is a segment where you need to give time to establish your brand, products and market itself.
So as per our understanding, we have right focus on our distribution network, correct product profile. If you see, we are present in fans, lighting, switchgear and home appliances, which is a

very big segment of FMEG sector. And with our current focus on distribution, we have grown at 20%.

Like when most of the players were either flat or to the negative growth, in that time period also, we have grown at 20% Y-o-Y. And when we talk about profitability, like though right now we have a big losses of about 10%, but by growing up our scale, changing our product portfolio by moving to more premium segment, we are expecting that this losses will reduce to great extent in coming times.

Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Yes. Hi, sir. Thank you for taking my question. So sir, related to your wire and cable volume growth, as you had already mentioned for a first half 28% of a growth. And if I look at the first quarter, it is quite on the highe

r side of 36%, 37%. So the second quarter is on the lower side of a growth as compared to the first quarter.

Rajesh Jain: So if I see this quarter growth was normal when we compared with only Q2, but yes, Q1 since growth was on higher side. See, this industry is expected to grow at 13%, 14%. And against that, on average basis also, we are going more than 20%. So there may be like some variation when you compare it with a very small timeframe, but overall, we are expecting good volume growth and we will maintain this volume growth.

Praveen Sahay: Okay. And the next is the export has grown a faster rate this quarter as compared of the domestic. So can you give some numbers for the domestic, like how much the domestic volume grew? Is it in the teens?

Rajesh Jain: Yes. So like I guess it's 28%. Volume growth in domestic maybe around 25% or26%. Export maybe 30%, 32%. But overall, as I said, there may be 1% or 2% up and down always. Like in product mix, maybe this ratio can be 73%, 27% or something like that. But overall, we have equal focus on our export as well as domestic market.

Praveen Sahay: Okay. So the question on the gross margin, because the gross margin has improved sequentially as well as yearly basis. So what's the factor in that, that's the one, the pricing or the raw material prices? What exactly is the reason for the significant improvement in the gross margin? And where you will see this gross margin to be in the range of way forward?

Rajesh Jain: So right now we are in the range of approx 20% gross margin. And this improvement has come from two, three factors. Like one, we have a good product mix in our sales. So we are focusing

on high value added items. Secondly, also since copper prices were in stable mode. So like we could improve our margins. And now thirdly, we will also, since we are scaling up our operations, so from efficiency level also, our margins will keep improving as our volumes will grow.

Praveen Sahay: Okay. And also if you can add over here that the export gross margin versus domestic, is it similar or is there any differences?

Rajesh Jain: So both export and domestic market are different products and different markets. And even our distribution technique is also different. So in exports we have lower margins. But at the same time now since we are changing our product mix and moving towards export of high value added items, so now the difference will day by day get reduced and there will be overall improvement in our margins.

Moderator: Thank you. The next question is from the line of Vivek Gautam from GS Investment. Please go ahead.

Vivek Gautam: Basically, I just wanted to know about this foray of your tying up with the different electricians and who are the major influencers. How is that acting? How is that performing? Astral also did the same thing similar with the plumbers and that I believe was the key reason behind their success story. So is it in the investment phase or the returns have already started showing? The second question is FMEG business turnaround, why can we expect sir?

Rajesh Jain: Okay. When I talk about electrician networks, we have one of the largest networks of electricians. And as you were giving an example of plumbers and pipes, same way electricians play a role in wire segment. Whenever like you or me make home, rather than branding what brand of wire and cable you will have, most of the time electricians refer to which brand we should use.

So that's why we have this loyalty management program for electricians and our 100% this program is online and digitalized. And we have seen a very good growth in the number of electricians registered in our area. So already we have invested and made a good investment in this program and now we have seen a good number of electricians who are using our brand and referring and using our application and products. And when I talk a

bout FMEG, your second
question, so like we are expecting to break even or come into the black by FY25.
Vivek Gautam: And sir, our margins are much higher in the domestic business and exports have been our focus since beginning and despite being of the lower margin. And any temporary setback or headwinds we are facing in exports due to Ukraine war and now this is Israel crisis and other things.
Rajesh Jain: So our export focus was since beginning. Like we were the first company who startedexport ofwires in year 2001 and as you can see our export has grown like contribution from export has come to 29% from 25%, 27% a year back. So altogether we have not seen any impact in our demand due to Ukraine or geopolitical demand what situation we have seen in recent past also.

And since we are exporting to more than 65 countries and this is a regular business so we do not foresee any change. There may be like some changes in geopolitical, but we have sufficient markets where we can mitigate the risk and fulfil the shortfall if any comes from any one sector we can fulfil that other sector, other geography, other product. So we do not foresee such shortfall in demand.
Vivek Gautam: Okay, thank you.
Rajesh Jain: Yes, thank you.
Moderator: Thank you. The next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: Yes, so thank you for the opportunity. My question was on the export piece. We have seen that the growth in this quarter was better than the domestic business. So is there any seasonality element here or structurally our company's revenues will be inclined towards the export business? Just wanted to get your sense on this element?
Rajesh Jain: Yes, so sorry the line got disconnected. So here the thing is like our export has increased from 25%, 27% a year back to 29%. But there is no such seasonality aspect. There will be always a variation of 1% or 2% up and down in this ratio. But since we are growing more than 20% in both the segments, so there is no seasonality effect, but it is like just a time where there may be some variation in demand in both the sectors. But otherwise, we will maintain this ratio of 25% to 30% export and 70% to 75% domestic. And we have equal focus in our export and domestic market.
Deepak Lalwani: Sure, got it. And so given that we have lower margins in the export business, but in this quarter we were able to show higher margins despite higher export mix. So is there any change in the product mix that you have done in the export piece? And how is the profitability improving in the export business?
Rajesh Jain: So like both the markets are different, export and domestic. So there are different kinds of products, different kinds of valuation. But yes, we have focused now to convert our export business in more high value added items. And as you can see, we are not only growing in volume but also in profitability. We are growing at both the fronts. And our focus will always be to improve our margins and revenues in the coming time also.
Deepak Lalwani: Got it. And sir, what will be the utilization of our current capacity? And if you can give us a sense of how much capacity addition would come with this INR500 crores capex?
Rajesh Jain: Yes, so like right now we are at almost 70% of our capacity utilization. And in this industry, 70% is considered a very good capacity utilization looking to the vast range of products and the category of SKU we handle. And now with this capex, like we are doubling our power cable capacity. And also in copper wire, our capacity will increase by almost 20%.

Deepak Lalwani: Okay. So the entire INR500 crores would come in in one go or will it be in cases? And when should this plant commission? And do we have enough capacities? Since, you said 70% is optimal, do we have enoug

h capacities and enough room to grow another 20% in the second half of this year?
Rajesh Jain: Yes, so this capex we are expecting to get completed by end of FY25. And revenue will start coming in FY26 from this capex. But since few of the capex like small capex is already undergoing, we have enough resource to fulfil the demand of at least 20%, 25% in the coming year.
Deepak Lalwani: Sure, sure. Thank you, sir. Thank you.
Rajesh Jain: Thank you, Deepak.
Moderator: Thank you. The next question is from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.

Keyur: Congratulations to the team for strong results. First question is on the profitability. If I just back
calculate the last year second half profit EBITDA margin blended, were around 7.5% and we
are already there in the Q2. So, from here on, should we expect further improvement in margins
or probably these are more steady state margins at least in the near term for next two, three
quarters? That is first question.
Rajesh Jain: So like we are in range of 7.5%, 7% to 8% and we will maintain and we will try to improve these
margins. Though there may not be a very big difference, but of course there will be improvement
due to focus on right product mix due to by better efficiency in our manufacturing itself and
same time improvement in our FMEG profitability as well.
Keyur: Understood. This margin improvement is now function of price hikes and reducing the gap with
competitor or it is a function of cost optimization and what are the levers for margin
improvement from here on?
Rajesh Jain: So it will be combination of two, three factors. As rightly said by you, there will be, of course
there will be improvement in our pricing also. At the same time, we will achieve some cost
efficiency due to more utilization or better utilization and third also in changing product mix.
Like as we said in FMEG, now our focus is to have more premium and mid-premium category
of products where we can have improvement in our margins. So this will be combination of all
the factors which will lead to improvement in our margins.
Keyur: Okay. Second question is, as you mentioned 70% utilization. So the future growth at least till
FY26, how will this drive the volume growth? Which are the brownfield expansions or the
existing capacities? How will you expect them to grow looking at 70% utilization?
Rajesh Jain: So see, we have continuous expansion plan like a few of the machineries where we have
bottleneck to improve our capacity utilization. We are focusing to remove that bottleneck net.

So this growth of like or at least to meet this extended demand of 20%, we have sufficient
capacity in pipeline which can meet the increased demand till FY25. And the capex plan what I
have described of INR500 crores rupees that will help us to meet the increased demand in FY26
and onwards.
Keyur: Okay. Understood. Thanks a lot. All the best.
Rajesh Jain: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Akash Javeri from Perpetual Capital. Please go
ahead.
Akash Javeri: Good afternoon and thank you for the opportunity. My question is on the FMEG side. How is
the current demand in the fan segment and how is the premium BLDC segment performing in
fans and what is it as a percentage of our overall fan sales currently?
Rajesh Jain: See, fan contributes almost 48% in our FMEG segment. And though first half of current fiscal
year was very muted and there was not that much demand due to some weather changes and
there was rain even in north India in the month of April and May. So fan was not that much great
for first half.
But now in second half, again, fan season starts in the month of December and we could estimate
good demand in the second half of current year. As much as we talk about BLDC, this is new
budget in this industry and since there will be electricity and po

wer saving also, so we see good
replacement demand due to introduction of this BLDC fan. And we already have that product
range in our FMEG portfolio.
Akash Javeri: How do you see the BLDC segment growing over the next few years? Like what percentage can
it become of our overall fan sales?
Rajesh Jain: So this is very big game changer in fan industry. As we have seen from basic phone to mobile
phone revolution, what we have seen, we are expecting the same change in fan industry also.
We have very huge electricity saving and now people are quite congnizant to energy saving. So
I see full improvement and good scope in BLDC fan utilization.
Akash Javeri: Sure. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Bhavya with KRIIS. Please go ahead.
Bhavya: Congratulations on great set of numbers. So I just had a question like do we cater to the
government business in any direct or indirect way? So do we apply for any tenders or from any
EPC guys?
Rajesh Jain: So directly we have very small sector. Hardly 1% of our revenue comes from direct government
supply. But indirectly of course we are supplying to some of the projects through contractors.

Bhavya: Will it be possible for you to put a number to it? Like what percentage?
Rajesh Jain: So we have very broad classification of our revenue in terms of like 75% of our revenue coming from B2C and 25% from B2B. But furthermore, we do not have that much visibility because most of the sales comes from our distributor and dealer. So we do not have that kind of data readily available with us.
Bhavya: Got it. Got it. Also what is the capacity utilization and cables and wires?
Rajesh Jain: So in cable already we are at 80% of utilization while in wire it is like around 68%, 70%.
Bhavya: Perfect. Perfect. And we expect to break even in the FMEG space by FY25 right?
Rajesh Jain: Yes. Yes.
Bhavya: Perfect. Also, I mean with the IPO issue we had I mean we received some money in our other entity right? Ram Ratna Wire. So I mean what are we planning to do with that money?
Rajesh Jain: No that is not our purview. I cannot comment for that company.
Bhavya: Promoters are the same right?
Rajesh Jain: But still both are limited company, public company. So we cannot comment on strategy of other company. I hope you will agree with that.
Bhavya: Got it. Yes. Yes. Sure. Thank you. Congratulations.
Rajesh Jain: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Simar from Negen Capital Services. Please go ahead.
Simar: Yes. Hi. Good afternoon. Thank you for the opportunity. So I have couple of questions. One being the previous year's acquisition for Luminous Power. How much do you in the FMEG segment, how much do you think is the revenue? Like what is the revenue for this financial and how much do you think, what are you targeting for FY'25 and FY'26?
Rajesh Jain: So like last year we acquired Home Electrical Business of Luminous, which was comparison of their fan and lighting segment. And like, I see now it is contributing almost 40% in our total revenue. But going forward since products are similar and even, so it will not be possible to track both the segments separately. But in FMEG overall we are expecting to grow like around 30% year-on-year basis for at least next two years.
Simar: Okay. Got it. And any further strategic acquisitions in the same sector?
Rajesh Jain: No. Right now we do not have any acquisition plan and our focus will be to strengthening our current business and to use to great extent to whatever current product profile we have.

Simar: One last question. Any EBITDA margin guidelines that you can give? I believe the previous panellists had asked the same question where you mentioned you would be increasing the EBITDA from 9% and more. How much, can you

give a ballpark figure? Would it be in your teens?
Rajesh Jain: No. See our focus will be to improve that, but we cannot give exact guidelines. But yes, of course you can see from our historical records that we will keep improving in terms of volume and that will result into the improvement in margin by forecast approach in our business.
Simar: All right, sir. Thank you for this and wishing you and your team a very happy Diwali.
Rajesh Jain: Yes. Thank you and wish you the same.
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.
Praveen Sahay: Yes. Thank you, sir, for taking a follow-up question. It's related to the borrowing. Can you give the end of September, how much is the total gross borrowing?
Rajesh Jain: Yes. We were having gross borrowing of around INR670 crores, which is mainly our working capital facility only. We do not have any term loan as of now.
Praveen Sahay: Okay. And second thing on the capex, that's the INR500 crores of capex. Is it funded through the internal accrual or the borrowing is also…
Rajesh Jain: It will be completely funded through internal accruals. We have sufficient cash flow to meet that capex plan.
Praveen Sahay: Okay. And lastly, sir, on your working capital, is there a scope for improvement from here onwards as well?
Rajesh Jain: So, see, currently we have net working capital days of 65 days, which is very good, one of the very good working capital days in this industry. But still we will keep improving. But though I do not foresee a major or any significant changes now going down from this level.
Praveen Sahay: Why I'm asking, sir, is because your export is also increasing. So is that the export have a higher working capital as domestic? Is it like that?
Rajesh Jain: Yes. To some extent. My receivable days are only 35 days. But since, see, our exports are sometimes, it is to Europe and US, where even transit time itself is 25 to 30 days. Therefore, we

have some higher days. But still it is contributing not that much high. And like 35 days are reasonably good receivable days.
Praveen Sahay: Okay. Great, sir. Thank you. Thank you for taking my question. All the best.

Moderator: Thank you. We have the next question from the line of Keyur from ICICI Prudential Life Insurance. Please go ahead.
Keyur: Sir, just to better understand the export business, generally what kind of visibility you have in exports looking at higher transit time? So is it more order-based and you have three-month or five-month, six-month visibility? So how does export is different versus, say, domestic business? And what kind of visibility do we have?
Rajesh Jain: So the good part in our export business is that our export is also like repetitive business and it is distribution-led business. And where we good- very well-planned demand order before two months or three months. So there we have pipeline of two months, firm pipeline of two months and rotational pipeline of another one months or two months. So in that way, we can manage our production and logistic part effectively and efficiently.
Keyur: Okay, understood. And just from the growth perspective, which segment do you expect to grow faster, domestic business considering good real estate pickup or export on a low base?
Rajesh Jain: Both. See, we have equal focus. As I earlier also said, see, when you are targeting more than 20% growth, you have to keep equal focus on domestic as well as export, or even like new product, new geography, and even on current product also. So we have equal focus on that and we'll keep growing in domestic as well as export market.
At the same time, when we see about the factors which are affecting the increase in demand, we have seen very good demand not only from residential or real estate sector, but also in infrastructure, in renewable energy. We have seen a lo

t of investment coming in solar, wind,
power.
And even when we talk about electrical vehicles, so there is like two, three kinds of demand, not only for manufacturing or electrical demand, but also to making infrastructure for EVs. So altogether we see very good demand, not only in India, but domestic also, we have seen good demand. In spite of people when they talk about slowness or negative demand in Europe or something, but we have seen good demand.
Keyur: Okay. And last question. If I look at FY '23, second half was stronger than first half. Now, is this the case, generally? Or in actual sense, second half had higher base in FY '23?
Rajesh Jain: So this is general trend of this industry that normally H2 is always little bit higher side from H1 side, but it is not any something fixed trend. But we are expecting same trend will remain to continue and H2 can be more stronger.
Keyur: Okay. And the kind of growth that you have witnessed in quarter two of this year, in percentage terms, will we continue with such kind of growth as base goes higher in next, over next two quarters or three quarters?

Rajesh Jain: So again, as I was saying, we are focusing in volume growth. We will try to maintain the growth of more than 20% in wire and cable and 30% in FMEG. And we hope this will continue for next two quarters- three quarters.
Keyur: Understood. Thanks a lot. All the best.
Rajesh Jain: Thank you.
Moderator: Thank you. Ladies and gentlemen, in the interest of time, we will take that as the last question. I would now like to hand the conference over to Mr. Shreegopal Kabra, sir for closing comments. Over to you, sir.
Shreegopal Kabra: Thank you. Certainly, India's wire and cable industry continues to benefit from strong campaigns, such as Government'sInfra and Make In India Initiatives and Policy Reforms, promoting production, export and ease of doing business, etc. We believe our cable is well positioned to capture significant shares of this growth due to its existing market share, brand recognition and diversified product portfolio, ability to innovate, scale up operations, sizable and certified manufacturing facilities, and infrastructure quality and safety of products.
And vast distribution reach with potential to scale up its FMEG business well. With this, I would like to thank you for joining with us today. In case you have any follow-up queries, please do connect with us. Thank you and have a great day ahead. And I am wishing you a Happy Diwali and a Happy New Year.

Moderator: Thank you. On behalf of RR Kabel Ltd, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2024

3rd February 2024

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on January 30, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on January 30, 2024.

Kindly take the same on your record

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Himanshu Navinchandra Parmar
Company Secretary and Compliance o■cer
M. No. – F10118

“RR Kabel Limited Q3 FY24 Earnings Conference Call”

January 30, 2024

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR, RR KABEL LIMITED
MR. RAJESH JAIN – CHIEF FINANCIAL OFFICER, RR KABEL LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

Moderator: Ladies and Gentlemen, Good day and welcome to the Q3 FY24 RR Kabel Limited Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Irfan Raeen from Orient Capital their Investor Relations Partner. Thank you and over to you, Mr. Raeen.
Irfan Raeen: Thank you Neerav. Good afternoon everyone. On behalf of RR Kabel Limited I extend a very warm welcome to all participants on Q3 and nine Months FY24 Earnings Concall.
I hope everyone had an opportunity to go through our "Investor Deck and Press Release" that we have uploaded on Exchanges and on Company's website.
I would like to give a short disclaimer before we begin the call:
This call may contain some of the forward-looking statements which are completely based upon our belief, opinion and expectation as of today. These statements are not guaranteed for our future performance and involve unforeseeable risk and uncertainties.
With this, I would like to hand over the call to Shreegopal Kabra sir – Managing Director. Over to you, sir. Thank you.
Shreegopal Kabra: Thank you Irfan. Hello everyone and good afternoon everyone. On behalf of RR Kabel Limited I extend a very warm welcome to all the participants on our Q3 FY24 "Financial Results Discussion Call". On this call I have with me our CFO – Mr. Rajesh Jain.
As we commence our discussion, I am glad to inform you that the Company has grown approximately 19% in the current nine months vis-a-vis last year, which is higher than the industry growth. We are on our growth trajectory and moving in the right direction.
I'd also like to touch upon the Company's perspective on recent events:
In the last quarter of the previous calendar year, our manufacturing plants, facilities and offices underwent search operations conducted by the Income Tax Authorities. The Company during that time cooperated fully in all their investigations and provided required details, clarifications and documents. We are not expecting any material adverse impact on the financial position of the Company.
Operation at the Company were running smoothly with the entire management team dedicating their efforts ensuring that the Company remains on its growth trajectory.

With this I would like to hand over the call to Mr. Rajesh Jain to take this call further.
Rajesh Jain: Thank you Shreegopal ji. I'd like to begin by extending Heartly Congratulations to our Managing Director – Mr. Shreegopal Kabra ji for being honored with the Global Entrepreneur of the Year Award 2024 by Hurun India.
Talking about macroeconomic landscape:
I am pleased to share positive news that the Indian GDP exhibited a robust growth of 7.7% in the first half of FY23-24 preliminary driven by a substantial expansion in manufacturing and construction activities which has registered growth of 9.3% and 10.5% respectively.
Given our significant presence in the construction and real estate sector, it is crucial to highlight the favorable trends. The construction sector is witnessing a notable upswing preliminary fueled by housing boom, and this trend is anticipated to continue in the forthcoming years. Both the construction and real estate sectors are poised for substantial growth presenting a promising outlook for RR Kabel Limited. This aligns well with our business interest, and we are strategically positioned to capitalize on the flourishing opportunities in this sector.
Ranked as the fifth largest participant in India's branded wire and cable market, RR Kabel stands out as one of the co

untry's leading exporters of wire and cable products. With the extensive reach spanning 65 countries earlier, we are delighted to announce the addition of two more countries to our export portfolio bringing it to the total of 67 countries.
The wire and cable segment remains the cornerstone of our business contributing significantly to our revenue. In the initial nine months of FY24, a noteworthy 89% of our Company's revenue from operations came from the wire and cable market. Concurrently, the fast-moving electrical goods that is FMEG segment has seen consistent growth elevating its contribution from 7% in FY19 to an impressive 11% at present.

Let's delve into the Financial Performance of Q3 of FY24:
On a consolidated basis we achieved a revenue of Rs. 1,633.5 crores indicating a growth of approximately 11% on YoY basis. The EBITDA for the quarter stood at INR112.6 crores while the profit after tax for Q3 FY24 was Rs. 71 crores reflecting a moderate YoY degrowth.
Shifting to nine months FY24 performance:
On a consolidated basis we recorded a revenue of Rs. 4,840.5 crores demonstrating a growth of approx. 19% YoY.
The EBITDA for the first nine months of this Financial Year reached INR 347.3 crores showcasing a remarkable growth of 56.3% YoY basis. Additionally, our PAT for nine months

FY24 surged from Rs. 124.6 crores in nine months FY23 to INR 219.4 crores showcasing a notable growth of 76%.
Now let's explore the segment wise performance:
Over the past nine months, RR Kabel has consistently delivered promising results driven by substantial growth in sales volumes. The wire and cable business segment recorded the revenue of Rs. 4,307 crores compared to Rs. 3,637 crores in nine months of FY23 marking a significant growth of 18.4% in nine months FY24.
This growth can be preliminary attributed to a notable increase in volumes by 19.3%. The PBIT increased by 43.1% in nine months FY24 reaching Rs. 372 crores driven by the increase in gross margin contribution supported by volume growth. Exports played a pivotal role contributing significantly and accounting for 27% in our total revenue.
Now turning to the FMEG business segment:
We achieved the revenue of Rs. 534 crores compared to Rs. 446 crores representing a growth of approx. 20% in nine months FY24 over nine months FY23. The EBIT in this segment continued to improve preliminary due to an increasing gross margin attributed to volume growth and a change in product mix.
During the nine months FY24 the Company has maintained its working capital days at 65 days, the same as previous quarters, and has improved from all the quarters prior to that. This has ensured the short-term financial obligations, and the expenses are met while contributing to longer-term business objectives. The Company remains committed to sound inventory management practices and has maintained its inventory turnaround and receivable days.
We are committed to a comprehensive CAPEX plan of Rs. 500 crores over the next two years that is FY24 and FY25 with the primary focus on doubling our power cable capacity, expanding copper wire production, introducing an eBeam facility and establishing PVC compound manufacturing facility. This strategic investment will be entirely self-funded. As the Company continues its focus our primaryy emphasis is on delivering high quality products, ensuring safety and environmental compliances and expanding our brand through robust distribution networks, sustainable growth remains a central element of our ongoing strategic approach.
With this, I would request to open the floor for question and answers. Thank you so much.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Raj Shah from Ambit Asset Management. Please go ahead.
Raj Shah: So, two questions from my side. First is that in wires and cables you said

that we have grown
faster than the industry, but if we see compare it with other industry players then they have

grown in the range of around 18% to 22%, but we have grown at 9% so assuming even 2% or 3% of price decrease volume growth comes at 11% to 12%. So, just wanted to understand how we came up with that number?
Rajesh Jain: See we have to see these figures of industry growth over a period of nine months when we are seeing 20% volume growth, so we are comparing nine months over last nine months and see generally by this industry trend this industry growth that is the double of the GDP growth.
So, in general, this industry is expected to grow at 13% to 14% as per our past experience and we are growing in volume terms. We are growing at 18% to 19% which is significant growth and this is also on regular basis we are growing at this pace.
Raj Shah: But this quarter was there any specific reason which caused the slightly lower growth as compared to previous quarter?
Rajesh Jain: So, first the base quarter like coincidentally both like Q3 of FY23 and Q2 of FY24 both have the higher base value. So, overall if we see this is good volume growth because even on higher base also we have grown at 10% in terms of volumes. So, this is in line with our regular business plan.

Raj Shah: So, if we see FMEG then we have done significantly better as compared to industry. So, just wanted to understand in the different segments that contribute within the FMEG and which segment has grown faster, so just wanted to get the basic…
Moderator: Raj sorry but you are losing your audio.
Raj Shah: In FMEG I wanted to understand which segment has done better as compared to other industry and what is the contribution for each segment like fans, lighting etcetera?
Rajesh Jain: So, Raj if you see in FMEG we are representing a larger part of this segment like we are present in fan segment, lighting segments, switch & switchgear segments and appliances segment and since fan and lighting are the biggest contributor in our FMEG sales and we have done like very good growth in fan segment in Q3 and overall, very good in fan and lighting both the segment when we compare nine months.
So, we have grown at 20% over previous year if I compare over nine months and in this like industry while most of other players are either muted or too negative growth and overall, this industry is also expected to grow at 8% to 10% while we are expecting to grow at 20% and this is coming through like our wide product range and now also we are planning for introducing new products. So, the growth is coming from there.
Moderator: Thank you. Next question is from the land of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: So, the first is related to the volume growth only and I can see that the export has done quite well for this quarter even though we have seen in the second quarter the export we are doing very well. So, if you exclude the export for a nine month how much is the volume growth for the domestic business?
Rajesh Jain: If I bifurcate our total volume growth in export and domestic then the domestic volume growth is around 12% while export is around 36%.
Praveen Sahay: Volume growth you are talking.
Rajesh Jain: Yes I am talking about volume growth.
Praveen Sahay: And also, if you can give some color on the export like it's largely from the wire export or is there some product mix changes is also there?
Rajesh Jain: So, we started our export journey through wire export only, but gradually and slowly we also developed a cable export and now cable is increasing, and we are getting very good demand from export of cable also.
So, as of now there has been a slight change but still our main export is in wire only, but cable share is increasing day-by-day based on markets and bas

ed on even on our manufacturing capacity also.
Praveen Sahay: And also, if you can give the CAPEX number for this year and the next year and if possible for 26 as well?
Rajesh Jain: So, as of now, we have reached the CAPEX plan for FY24 and 25 to the tune of 500 crores and which includes CAPEX for expanding our power cable capacity, copper wires, PVC compound and eBeam facility and as I told earlier this two years CAPEX is in line with our plan and it is going through as per schedule only.
Since we are planning further volume growth on a regular basis. So, our CAPEX plan will be regular and even for after FY25 also we are already we are in process to finalizing the CAPEX plan for FY26 and 27.
Praveen Sahay: So, club together 24 and 25 financial year CAPEX is the 500 odd crores?
Rajesh Jain: Yes, Praveen.
Praveen Sahay: And also if you can give some color on how much of the revenue you can generate out of for this 500 crores of CAPEX?

Rajesh Jain: So, since this is mix of power cable and copper cable also and the further it has some backward integration of PVC compound also. So, we are expecting additional revenue of 2,500 crores from this CAPEX.
Praveen Sahay: As there is a commissioning in the September as well as in the March, September ‘24 and March ‘25. So, if you can give some more color like how much the capacity is getting operational by September 24?
Rajesh Jain: So, like for if in power cable we total ton of 1,000 tons per month in this 500 tons will be established by September 24 and rest will be in the March.
Praveen Sahay: Sorry, you said how much you said by September?
Rajesh Jain: 500 tons per month in power cable.

Moderator: Thank you. Next question is from the line of Achal Lohade from JM Financial. Please go ahead.
Achal Lohade: Sir, can you help us understand a bit more on the export for the nine months you said the volume growth is 35% if I heard the number right, what is driving this any particular product, any particular country, what efforts are we making and what kind of growth are we seeing can we look at for next 3 years, 4 years and what will drive that?
Rajesh Jain: You mentioned correctly that in the first nine months our volume growth is 36%, but going forward also like export is also one of our key focus areas and the growth what we have achieved is some are from new markets, some are from new products also is earlier we were only in wire export, but now our cable segment is also progressing very well and since there is capacity was also available to some extent.
So, we were able to realize that capacity and growing our business in terms of new territories as well as new products and going forward also see sometimes like since we have equal focus on growth in our exports as well as domestic also.
So, quarter-on-quarter the figures may be different, but at least we are planning and till now like growth of 20% volume basis only inner bifurcation maybe here and there, but still we will grow in the tune of 20%.
Achal Lohade: The second question I had was with respect to the domestic you said in the domestic the growth was kind of bit subdued. Can you give the number once again for 3Q and nine months and how is the demand scenario? Is it weak particularly for us or for the industry and how do you see it evolving over the next 2 years, 3 years?
Rajesh Jain: In domestic we have grown at 12%, but like if we see again in longer origin then our wire business is also growing and particularly in cables since our capacity is the constraint. So, there our waiting period is a little bit higher and still we have some capacity constraint, but in last

quarter of FY23 we had done some rebalancing and some investment in some equipment and now we are increasing our capacity in power cable also.
So, going forward, we'll have again the normal pace

of our growth in business volumes in the domestic market as well.
Achal Lohade: And sir last question if I may with respect to the margins the PBIT margin for wires and cables was at 8.0% which is kind of a reduction compared to last year same quarter or even sequentially.
So, if you could highlight what has driven this margin contraction and B how do you see it for fourth quarter as well as for the next 2 years, 3 years?
Rajesh Jain: So, Achal as I explained earlier our base for Q2 FY24 and Q3 of FY23 was little bit at higher pace, but if we see in general like if we see our margins and if you see our business plans like we have plan for improvement in our EBITDA margins and wire cable segment by 140 bps on year-on-year basis and we are right on the track of to achieving that figure.
So, like volume growth of 20% margin improvement of 140 bps so these all are on the track.
When you see only this quarter then your figure looks subdued, but even if we see for Q4 of FY24 it seems it will be in line with our projections and estimates given earlier.
Moderator: Thank you. The next question is from the line of Venkatesh from Axis Capital. Please go ahead.
Venkatesh: I was just wondering if you look at your numbers over the last four years exports have been between 19% to 25% of revenue. Now what we are seeing in the first three quarters is exports are almost 30% of revenues.
Now what we understand is because of China Plus One a lot of opportunities have opened up.
And we believe at the time of the IPO while you had acknowledged the growth opportunity, you were also a little wary that export margins might be a little lower. So, priority would be given to the domestic market growth.
Now has there been a change in your economics in the export market in terms of what kind of margins you share with your distributor or things like that have the export margins improved and if it has improved what could be the drivers for it?
Rajesh Jain: Venkatesh very rightly pointed out by you, but at the same time we need to see. See there are two aspects. First, the change in product mix in our export market itself like either we said that our majority of exports earlier were coming from only from buyers, but later on since we started exports of power cable also or our high value-added wires also.
So, these margins are improving in exports also and we are getting good opportunity also and at the same time it is not only China Plus, but the majority of the things that in our case export this is distribution led business and also

0% of our exports are going in our own brands.

So, as our brand is also getting strong so we slowly and gradually we are establishing ourselves very well in the export market also and there is improvement in exports margins also.
Venkatesh: You shared volume growth on exports nine months at 36%, 12% for domestic. Is it possible to share the overall number and a similar breakup for wires and cables in nine months?
Rajesh Jain: So, like overall 19% on weighted basis if you see 36 and 12 then on overall basis we have achieved the volume growth of 19% and see as of now our very broad distribution among wire and cable is 70% and 30%.
So, 70% comes from wire and 30% from cable which includes power cable, industrial cables and special cables, but slightly this like slowly and gradually this ratio is changing. So, you may expect later on 68-32 or maybe 65-35, but it will be your change, but definitely growth will be in both the segments in wire as well as cables.
Venkatesh: What I was asking is in nine months of the year what was your growth in YoY growth in wire and what was your growth in cables?
Rajesh Jain: So that I will work out and we will share you separately.
Moderator: Thank you. Next question is from the line of Shrinidhi from HSBC. Please go ahead.
Shrinidhi: So, just a couple of questions on export business w

ondering this ongoing crisis Red Sea crisis,
is that impacting growth for the export business of the Company and is it impacting margin as well?
Rajesh Jain: If we see, of course, there is crisis in Red Sea and due to that our shipment days will be increased, but if you see the impact of on our business since our orders are regular, so the material may reach by few days delay, but this is continuous cycle.
So, at my sales level there will be no impact and if we look at margin part since our prices are variable like the copper prices, PVC prices and crate this part are variable. So, everything will be passed on to customers. So, there will be no impact in our profitability of our export business. I hope this will answer your question.
Shrinidhi: So, freight also is completely passed through is it?
Rajesh Jain: This is variable part.
Shrinidhi: One more I am still struggling to understand the domestic business growth if I look at the domestic cable and wire business growth it is coming across literally flat year-on-year. So, I think you alluded to the base being very high, but are there any competitive forces wherein you

seem like that apart from industry growth, there are more competitive forces that is impacting growth?
Rajesh Jain: So, Shrinidhi competition will be always there, but more importantly we have to seek how my base can be improved or how we grow or how we execute our business plans. So, like if you see a flat number which means some impact, but we are working on this and we are expected to get the normal momentum in volumes also in domestic market as well, but there is no direct impact of competition, but yes always there will be indirect impacts and every Company has their own strategy, but we are working towards our own growth plan.
Shrinidhi: So, would you attribute largely to the base effect and the maybe the ongoing demand environment, but lesser to the competition would that be a fair assumption?
Rajesh Jain: Yes that is fair.
Moderator: Thank you. Next question is from the line of Anirudh Agarwal from ValueQuest Investment Advisors. Please go ahead.
Anirudh Agarwal: So, sir can you elaborate on some initiatives that you will be taking on the domestic side on housing wires front specifically to revive growth given overall industry outlook is slightly challenging near term?
Rajesh Jain: For domestic market our first focus like we are increasing our power cable capacity because we need to understand in wire already we are having very big capacity and good market share also, but sometimes we need to complete the product range also.
So, many times like if somebody is asking power cable and wire and if we are not able to supply the power cable range then it is not good combination for our business. So, there are two fold working we are doing in the domestic segment.
One increasing our market base with retailer and electrician base which is ongoing activity and already in the last three years we have done a lot of work, and we'll keep focusing on that. At the same time, we are coming with a complete range of power cables and my delivery period will be improved.
So, with that there will be margin improvements also and volume improvements also. So, by improvement in our service cycle we can expect good growth in our domestic business.
Anirudh Agarwal: Sir, what would be the retailer base today and how would that have moved in the last 6 months or so since IPO?
Rajesh Jain: So, like if we see retailers we keep increasing at our retailer base and already we had crossed

more than one 1,20,000 retailers, but this focus will be keep continuing and now our focus will

be to increase the depth of our retailers also because we want higher per retailer sales at higher levels. So, our focus will be on both in numeric and distribution both we have to increa

se.

Anirudh Agarwal: Sir just on this domestic growth question is there any difference in regional split of this growth, so how would South versus West versus North have done for us in this quarter and nine months if you can just share the trends in terms of growth?

Rajesh Jain: So, like earlier our market and the West and the North was very strong while South and East still we are doing and even in South also in few areas we are doing very good. So, now in few of the South States and Eastern we could not grow our business as per our plan.

So, there are some impacts, but very major impact because it is overall 12% growth is there. So, in some area it is less than in single digit also while we were expecting higher growth.

Anirudh Agarwal: So, finally on this cable capacity expansion, so the way we are understanding it is today our capacity is about 1000 tons a month and we will double that over the next one year so that's correct, right?

Rajesh Jain: This is 1000 tons per month, and this is for aluminum and someway some contribution will be from copper power cable also per month just to clarify.

Anirudh Agarwal: So, basically so then the right way to understand is if the demand scenario continues to remain similar to where it is today on the power cables front basically our cable revenue in FY26 can potentially double with the new capacity?

Rajesh Jain: That can be double only in power cable. See you need to understand the majority of my sales is coming from wire sales 70% is wire than 15% is special cable and industrial cables. So, what we are saying double is power cable capacity then almost 20% to 25% increase in my copper wire capacity. So, like this will be able to meet our next 2 years, 3 years target of 20% volume growth YoY basis and then we'll again like since it takes all almost 18 to 24 months for new CAPEX. So, we'll keep planning for two years ahead of our projected demand.

Anirudh Agarwal: So, you mentioned that gross margin this quarter got impacted due to product mix. So, you can just elaborate that we couldn't clearly understand what product mix impacted our gross margin this quarter?

Rajesh Jain: Product mix here again we have to see that like copper prices were like increased by 4% to 5% in this quarter and if you see there always we are able to pass on these prices, but there will be time lag because if there will be 2% to 3% change in copper prices then we will come with new price list or if there is reduction we will come with new price, but there will be time lag of 20 days to 25 days. So, this has little bit impact in our gross margins levels.

Anirudh Agarwal: But otherwise no fundamental or structural change. So, in Q4 if prices remain steady then we can get back to Q2 margin levels?

Rajesh Jain: Yes.

Moderator: Thank you. The next question is from the line of Rohan Vora from Envision Capital. Please go ahead.

Rohan Vora: So, sir my first question is on the lines of so as we understand our exports are slightly lower margin in terms of wires as comparable domestic ones. However, exports are growing faster.

So, is it that we are limited by demand that the domestic demand is a little muted and hence we are choosing to export is that the case?

Rajesh Jain: See our export and domestic strategy are not short term. If you see we started our exports in year 2001 and we were the first exporters of wire from India and at the same time we need to understand that since we started our journey from wire and then moved to cable.

So, still our majority of the exports are coming from wire and like wire product is considered very simple product in export market and therefore their margins are on lower side when we compare with Indian wire pricing structure, but since now we are in exports of cable also so we have equal focus on wire and cable domestic and export and for one quarter you may see the this ratio

may go up or down, but overall we have planned to grow at 20% and that will growth will come from both the markets domestic as well as exports.

Rohan Vora: And it will be equal so you're saying that over a longer term both domestic and exports would contribute?

Rajesh Jain: Sure yes exactly.

Rohan Vora: Sir, my second question was what would be the difference between the pricing of say peering

the wire segment versus our in the states where we are not prominent today? What would be the percentage difference per you?
Rajesh Jain: If you see Indian wire market every player has their own strength market and weak market or opportunity market. So, in every area we have different players, different pricing, but since now we have overall if you see we are in the GST scenario where any dealer can move material from one place to other place.
So, you cannot keep much difference in your pricing from one state to other state. So, these are almost like only you can have some different incentive schemes or incentive plans, but otherwise your base size remains same for all India levels.
Rohan Vora: So, sir I was coming from a point of view that if there is scope to increase the price towards the leader once you establish the brand and would that help the margins, so that was my question?

Rajesh Jain: So, margins definitely can be increased by both the way by increasing our distribution, by increasing our reach to customers and at the same time getting leadership position also. So, these are mixed efforts, and we are working on the same.
Rohan Vora: And sir just the last one what would be your margin aspirations 3 years from now for FY27 and a breakup would help on wire and cables versus FMEG and domestic exports?
Rajesh Jain: If we talk light right now this year we had like guidance of increasing our margins by 140 bps and we are on part of that and even going for in next 2 years, 3 years also we are expecting our EBITDA margins in the range of 10% to 10.5% and we are on track to that and this is the more importantly whatever margin planning we are doing this is based on our world class product and also sustainable and continuous growth of 20%.
So, these margin profiles are good and in FMEG sector we are growing like more than 20% which is much better than industry average. So, while both the business will grow, but since the growth rate in FMEG maybe at higher side so this right now what it is contributing at 12% may increase to 15% to 16% in our total revenue.
Rohan Vora: So, overall, 10% to 10.5% over a medium term EBITDA margin?
Rajesh Jain: Yes.
Moderator: Thank you. Next question is on the line of Nikhil Kale from Invesco. Please go ahead.
Nikhil Kale: Sir, if I look at your distribution network so the DRHP numbers that we have as of December end and the presentation which are September end we've seen a significant increase both in our data distribute account as well as a retailer retail network.
However, if you look at the quarterly domestic revenues as one of the previous participants highlighted has been pretty stagnant at around 1000 odd crores. So, maybe can you just help us understand what is the reason why we have not been able to grow it at a faster rate because I mean Wire demand has been maybe muted compared to cables, but it's still been quite decent it's been quite positive?
Rajesh Jain: So, Nikhil this expansion of a retailer or network of electrician this is long term activity. First like in the states where we have very less market share of 1% or 2% there also we are creating base.
So, even if I am going there at higher pace than my industry average or my local growth, but since base is very small so progress looks a little bit slower, but this is base work which will be like giving results after 2 years, 3 years and the same you have seen is what work we started in FY'2021 this giving growth in FY'23 a

nd 24.

So, this is a continuous process, we'll keep focusing expanding our brand, expanding our distribution network and our market share will keep increasing. So, this is long-term planning and immediately the results may not be visible, but this is base work which you need to do to grow.
Moderator: Thank you. The next question is from the line of Harsh Mulchandani from Kriss Portfolio Management Services. Please go ahead.
Harsh Mulchandani: Most of my questions have been answered just wanted to understand on the FMEG segment, when do we expect to break even or make significant money at an EBITDA level?
Rajesh Jain: If you see our margin in FMEG also we have improved a lot in compared to previous year and like we are expecting to break even in FY25 with volume growth in FMEG with the base keep increasing and we will be positive in next year.
Moderator: Thank you. Next question is from the line of Naman Parmar from Niveshaay Investment Advisory. Please go ahead.
Naman Parmar: So, I wanted to know what is the capacity utilization in the wires and cables?

Rajesh Jain: Naman as of now, we are like operating in our cable. We are already at 80% to 90% of capacity utilization while in wire it is in the range of 65% to 70% and looking to our number of SKUs and the overall product basket it is considered very good capacities utilization anything above 65 to 70.
Naman Parmar: And my second question is related to what is your plan to enter the EHV segment? Has the government increased the investment in the power sector and every big Company has entered that segment, so what's your plan to enter that segment?
Rajesh Jain: So, as of now our focus is to increase the sales of wire and cables both, but if you see two power sectors like where EHV cables or conductors are supplied we do not have any plan as of now and our focus will be continue to our existing range of building wire, industrial cables and power cables up to 66 KV. So, as of now we have capabilities to produce up to 66 KV and here only we want to grow as of now.
Moderator: Thank you. Next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.
Praveen Sahay: Sir, it's related to the FMEG portfolio and in the nine-month FMEG the segment has given a good growth so above for 20%. So, my question is that only because of the luminous home electrical consolidation we are seeing such kind of a growth, or this is quite a structure in nature in the coming years we will see such kind of a growth.

And second is on the losses also has a minimized quite significantly for a quarter and even for a year if I look at it, it's quite significantly reduced. So, what's your guidance related to the losses when this entire portfolio breaks even?
Rajesh Jain: If you see in FMEG we have grown by 20% and the luminous business we acquired in FY23. So, both the figures are comparable figures with us because we acquired this business in May 22. So, this year figure also had 8 months sale in last year also. So, this growth is 20% is like combined growth of both the businesses existing business as well as luminous and it is not that only luminous growth is there.
And secondly as I said earlier we are expecting to break even this business and being EBITDA positive in FY25. So, this will be based on whatever strategy we have made to expand this business consolidating our cost and improving our margins.
Praveen Sahay: How is the volume growth in this segment?
Rajesh Jain: So, this 20% when we are talking it is revenue growth and the majority of this comes through volume growth only. Very interesting if you see the pricing of lights are almost down by 20% if you compare year-on-year basis. So, in spite of that 20% decline in prices we are able to achieve revenue growth of 20%. So, volume growth is bit higher in co

mpared to this value growth.
Praveen Sahay: And any geographical concentration in the FMEG can you give like how is that?
Rajesh Jain: Still, our majority of FMEG sales is coming from North and West only. So, it is almost similar.
Praveen Sahay: And luminous accounts for around 40% of your family business?
Rajesh Jain: But going forward it will be difficult to segregate the sales because now everything is combined and our like even sales team and every team is also combined. So, now it is tough to segregate what we are getting from luminous or what we are getting from our.
Praveen Sahay: You can give some premium versus mass?
Rajesh Jain: Now also what we are consolidating that we have already introduced RR signature brand which will represent premium product of our FMEG segment and there that same brand will be in all across all the sectors of energy being light or fan or even switch gears everything.
So, we are getting good growth but still the base is very small. So, it makes no sense to attract separately but we have good growth in premium products also.
Moderator: Thank you. Next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

Alisha Mahawla: So, first we did mention that on an annual basis we're looking at expanding our margins are 140 basis points. Can you share some levers or initiatives for the same or is this is primarily only going to be driven by product mix?
Rajesh Jain: So, there are two three factors if we see like in export also we are moving towards high value-added products being cable or special wires in export same way our on basis of our volume increase also we will get some efficiency in cost also some price improvement.
So, these are combined aspect of three or four points and also in power cable since my capacity is very small. So, our cost for manufacturing is a bit higher. So, once we got the volume in that also then my sales realization will also improve, and cost will also improve. So, this 140-bps

improvement is combined impact of everything.
Alisha Mahawla: And we mentioned earlier that our wires utilization is at about 65%, 70% and considering the SKUs this is very good utilization. Is there scope for further volume growth there is new capacity comes in September ‘24?
Rajesh Jain: So, the way we have planned our CAPEX is so that we can get the volume growth of 20% year-on-year whatever capacity we are enhancing this will also come in phases. So, we will be able to achieve this 20% volume growth and we keep improving our capacity utilization also and to meet the additional demands our capacity it has turned in that way only.
Alisha Mahawla: I do understand that this will help us achieve 20% volume growth. All I'm trying to understand this till the new CAPEX comes, are we going to be slightly constrained with capacity?
Rajesh Jain: No, we will not have any capacity constraint. We will be able to meet whatever demand will be on 20% sequential growth.
Alisha Mahawla: And you may have given it earlier and I think I missed it. Can you please share the Q3 volume growth and the splits for exports and domestic?
Rajesh Jain: Q3 volume growth.
Alisha Mahawla: Yes you mentioned 19% for nine months can we get a similar number for Q3?
Rajesh Jain: So, it’s a 10% volume growth if I compare Q3 versus Q3.
Alisha Mahawla: And can I get the split between domestic and exports?
Rajesh Jain: That is not handy with me, but more or less maybe in line with our nine months figure only, but exactly we'll work out and we'll forward you.
Alisha Mahawla: And just one last book keeping question the CAPEX for next two years, 24-25 is that 500 crores or700 crores?

Rajesh Jain: 500 crores for these two years.
Alisha Mahawla: And how much will we spent in nine months?
Rajesh Jain: Already we have done more than 150 crores

and are giving advance to our machine supplier.
Moderator: Thank you. Next question is from the line of Venkat from DSP Investment Managers. Please go ahead.
Venkat: Just to clarify so you had an issue with the base in Q3 that is you guys had a tougher base of Q3 last year. So, going forward Q4 you would expect a normalization essentially 15% to 20% kind of volume growth starting Q4, is that a fair assumption to make?
Rajesh Jain: Again, like if we have to achieve yearly growth of 20% and if we have already done 20% YoY basis. So, obviously we have to do 20% volume growth on Q4 of FY23.
Venkat: And the other part that I just wanted to understand was on the domestic side generally what we get to hear from the peer side is that the growth on the housing segment is lagging the growth on the cable side.
So, for you to grow 15%, 20% on the domestic side you guys will have to gain market share. So, how you guys are thinking about it? Is that the way that you're thinking about it?
Rajesh Jain: There are two ways to see this figure. The good thing is both like housing segment as well as the industrial cable or power cable segment both are growing, but since this power cable segment is growing at much higher speed, that's why people are saying housing is not growing that, but if we see overall India level figures housing is also growing and this wire consumption is not only in housing.
If you look at micro levels then like almost as per our understanding almost 60% of wire goes in renovation segment. People keep changing their interiors, restaurant, offices. These days the life of a restaurant is hardly three to four years or office is maybe five years. So, there is huge consumption in wire growth also.
We see good opportunity in wire as well as cables and this 15% to 20% on sustainable basis.
The more important thing is we are not talking about quarter or only nine months. We are talking about year-on-year growth.
Already we have achieved the growth of more than 20% in historical year also and future going forward also we see a very bright chances looking to the way Indian economy is doing good, the way Indian exports are increasing. So, there is a good chance for growth of 15% to 20%.

Venkat: And my last question is just in terms of exports what is the outlook there and where do we see ourselves just in terms of the proportion of exports of overall business shaping up three to four years out versus where it is today?
Rajesh Jain: As of now our export is contributing 27% and even going forward also it may keep in the range of 30% to 35%. Still, both the segments will keep growing domestic as well as export.

Sometimes export may grow at a higher speed also due to new geography and new products also. So, it may reach up to 35% in the longer horizon.
Venkat: And what will be the geography that will help you get there from where you are?
Rajesh Jain: As of now already we are very well distributed in our export market and like our majority of exports is coming from Europe and UAE, USA, Australia and New Zealand and Myanmar, all kind of geography and we see good opportunity in all the markets.
Again, I'm repeating that since we are doing our exports in own brand and see initially it takes too much time and many efforts to establish your brand, but once this your brand has got established it is comparatively easy to gain the market share. So, we have very good growth plans from export markets and also from all the geographies.
Moderator: Thank you. As there are no further questions, I will now hand the conference over to Mr. Shreegopal Kabra sir for closing comments.
Shreegopal Kabra: So, I thank on behalf of the management to all the participants. Thank you very much and wish you a Happy New Year. Thank you.
Moderator: Thank you very much. On behalf of RR Kabel Limited, that concludes this conference. Thank you for joining u

s. You may now disconnect your lines.

Call: Jun 2024

June 3, 2024

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on May 29, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on May 29, 2024.

Kindly take the same on your record

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Himanshu Navinchandra Parmar
Company Secretary and Compliance officer
M. No. – F10118

“R R Kabel Limited Q4 & FY24 Earnings Conference Call”

May 29, 2024

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR,
R R KABEL LIMITED
MR. RAJESH JAIN - CFO, R R KABEL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY24 Earnings Conference Call of R R Kabel Limited.
As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
A short disclaimer before we begin the call, this call may contain some of the forward-looking statements, which are completely based upon the Company's beliefs, opinions, and expectations as of today. These statements are not guarantee for the future performance and involve unforeseeable risk and uncertainties.
I now hand the conference over to Mr. Shreegopal Kabra – Managing Director of R R Kabel Limited. Thank you and over to you, sir.
Shreegopal Kabra: Thank you. Hello, everyone and good afternoon. On behalf of R R Kabel Limited, I extend a very warm welcome to all the participants on our Q4 & FY24 Financial Results Discussion Call.
On this call, I have with me our CFO – Mr. Rajesh Jain.
We are pleased to announce that FY24 has been our most successful year yet, which record high in revenue operating EBITDA and PAT fueled by robust volume growth. Our strong performance across all metrics has solidified our position as the leading player in the consumer electrical market and propel us to become the 4th largest wire and cable Company in India up from 5th
Looking ahead, we see substantial opportunities for growth in wire and cable segment through capacity expansion, new product launches and optimized product mixes, which will drive further margin expansions.
Additionally, our strategic increase into the fast moving electrical goods, FMEG sectors leveraging both organic and inorganic growth had significantly expanded our FMEG portfolio, now contributing 12% to our revenue. We are confident that these initiatives will ensure a more favorable future for our Company.
With this, I would like to hand over the call to Mr. Rajesh Jain to take this call further.
Rajesh Jain: Thank you, Shreegopal Ji.
Today, the Indian real estate sector stands at the pivotal juncture as India progresses towards becoming a developed economy with its strong multiplier effect and robust demand for both housing and commercial space, this sector is poised to significantly boost GDP growth.

Consequently, this will greatly benefit the Indian electrical industry, which is expected to record growth double than that of the GDP.
At R R Kabel Limited, we have consistently delivered high quality product, given continuous product innovation and leveraged a strong electrician network along with effective digital and physical marketing efforts. These strategies have elevated our position from 5th to 4th in the market in FY24. Moreover, we have established ourselves as India's largest exporters of wire and cable, expanding our market share to approximately 10% in FY24. This growth is fueled by recurring B2C exports by sales to distributors and numerous global electrification projects.
Now let's discuss the Financial and Operational Highlights of Q4 & FY24:
The wire and cable segment remains the cornerstone of our business contributing significantly to our revenue. In FY24, an impressive 88% of our revenue from operations came from this segment. Concurrently, the FMEG sector has shown consistent growth with its contribution rising from 7% in FY19 to 12% currently. In Q4 of FY24, we achieved consolidated revenue of Rs. 1,754 crores, reflecting a growth of approx. 16% on a Y-o-Y basis.
Our EBITDA for the quarter stood at Rs. 116 crores, while the PAT was Rs. 79 crores showing increase of approx. 14% and 21% respectively. For FY24, we've posted record consol

idated
revenue of Rs. 6,595 crores, demonstrating a growth of approx. 18% on Y-o-Y basis.
Our operational EBITDA for the financial year reached to Rs. 463 crores, showcasing a remarkable growth of 43% Y-o-Y. Additionally, our PAT surged from Rs. 190 crores in FY23 to Rs. 298 crores, reflecting a notable growth of 57%. This increase in EBITDA and PAT is due to marginal increase in contribution margin and overall operational efficiency with EBITDA and

PAT margin standing at 7% and 4.5% respectively.
Focusing on segment-wise performance, our wire and cable business recorded a revenue of Rs. 1,523 crores in Q4 of FY24 compared to Rs. 1,341 crores in Q4 of FY23 and Rs. 5,830 crores in FY24 compared to Rs. 4,959 crores in FY23, marking a significant growth of approx. 14% and 17% respectively. This growth is primarily attributed to increase in volume by 20% in Q4 and in FY24, driven by our focused approach to capturing demand from infrastructure development and emerging sector. The EBIT increased by 20% in Q4 FY24 and by 43% in FY24 reaching Rs. 132 crores and Rs. 504 crores respectively.
Due to cost reduction and operational efficiency, export played a pivotal role contributing significantly and accounting for 26% of our total revenue in FY24 further increasing our export revenue share by 3% compared to FY23.
In the FMEG business segment, we achieved revenue of Rs. 231 crores in Q4 FY24 and Rs. 765 crores in FY24, representing growth of approx. 31% in Q4 FY24 and approx. 19% in FY24.
This growth was driven by expanding distribution and retail networks, significant e-commerce

growth, successful new product launches and the brand transition from Luminous to RR Signature brand , which enhanced consumer confidence and brand awareness. Our gross margins grew in FY24 compared to FY23 due to a favorable product mix and the procurement efficiency. New product launches have contributed 18% to our topline and we are working efficiently to achieve breakeven in the near future.
During FY24, the Company maintained its working capital days at 64 days, ensuring the short-term financial obligations and expenses are met while contributing the longer-term business objectives. The Company remains committed to sound inventory management practices and has made improvement in receivable days. We are already undertaking capacity addition with the primary focus on power cable to improve margins as part of our comprehensive self-funded CAPEX plan of Rs. 500 crores, which will be completed by March 25. This plan includes doubling our power cable capacity, expanding copper wire production including e-beam facility and PVC component manufacturing facility.
The Company is already taking the initiative to deliver high quality products and ensure safety and environmental compliances. In FY24, we increased our international product certification from 35 to 38, which will help us to further strengthen our footprints globally. Additionally, our long-term growth drivers include resilient commercial real estate, rural electrification and increasing share of organizational sector and government initiatives. We are also focusing our R&D as emerging sectors, developing products such as EV Charging Cable, Smart Fans and Designer Lights.
With this, I would request to open the floor for questions and answers. Thank you so much.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.
Shubham Aggarwal: Just a few questions from my side. First, I just wanted to check what lead to the yield improvement in wires, specifically the EBIT margin improvement in wires in Q4 of FY24 and what kind of margin expansion do you expect in FY25 and 26? That's the first one.
Rajesh Jain: Yes. So, if you see in FY24, our EBIT margins in wire and cable segment has improv

ed by
almost 140 bps and going forward also we are expecting to improve by another 120 bps in FY25.
Rajesh Jain: In FY24 it's around 140 bps.
Shubham Aggarwal: In over FY24 and FY25, you expect 120 bps?
Rajesh Jain: Yes, 100 to 120 bps in range of that.
Shubham Aggarwal: Actually, I'm saying the 120 bps expansion that you are expecting in FY25, what will drive this? Are you expecting to add new products, export margins are improving or are you increasing

prices in the domestic market? What is leading to this margin expansion in FY25 and similarly, should we expect further margin expansion in FY26 also that's the question actually, I hope this is clear?
Rajesh Jain: Yes, now I got your question. So, this expansion margin will be driven by 2 to 3 factors. One is as you told higher value-added product in our export market; secondly, due to operational efficiency levels, whatever volume we will increase, so there will be a margin expansion also; and thirdly, even in domestic also there will be price movement to some extent in few of the products. Fourth is our power cable capacity will enhance that also will bring operational efficiency in power cable at rate front also and supply front also. Going forward also though it will be too early, but of course we have our plans to improve margins in FY26 and further or so.

Shubham Aggarwal: Got it. Sir, in exports, you said your operational margins will improve if your exports grow. My sense was that the wire margin in export business would be lower than the overall Company level margins, is that understanding correct and if not, then is it higher, I mean is the export margins higher than the average Company level margins?
Rajesh Jain: So, your understanding is correct. In wire, we have lesser margins compared to domestic, but now going forward what happens like in exports also, share of cable exports or high value-added products are increasing that's why there will be overall margin improvement in exports also.
Shubham Aggarwal: Got it, very clear and now just coming down to the FMEG margins, we were earlier expecting breakeven in FY25. I think given the numbers that we see in Q4 FY24 also, is that still on the cards, breakeven in FY25 or what is the expectation for the margins of this business and growth in FY25 and 26?
Rajesh Jain: Like if you see in this year though we have grown in our revenue front also around 20%, which is higher than industry average, going forward also we are expecting a growth of 25% or approx. of Rs. 1,000 crores, but there also, we will try to breakeven, but it seems we may reach at breakeven in another 4 to 5 quarters.
Shubham Aggarwal: So, FY25 Q1 or Q2 will end up seeing a breakeven?
Rajesh Jain: Yes.
Shubham Aggarwal: That would be a sustainable breakeven.
Rajesh Jain: Q1, Q2 of FY26.
Shubham Aggarwal: Yes, FY26. Okay, got it and then that will be a sustainable breakeven and margins will expand Q-o-Q, okay. Now just the growth in the domestic as in cable business has been quite low at 4% Y-o-Y in Q4 and when we compare it to industry peers also it seems a bit low, what has actually transpired here and why aren't we able to grow in line with the peers?

Rajesh Jain: So, again, if I talk about volume level because in this quarter also at volume level, our wire has grown by 15% and cable at 30% giving consolidated growth of 20%. So, though wire is growing at lesser speed, but still, it is growing at 15%, which is good.
Shubham Aggarwal: So, is the copper price, YoY copper price?
Rajesh Jain: I want to say this is domestic versus export.
Shubham Aggarwal: Sir, I actually missed the answer to be true. I'm just saying domestic wire and cable growth was 4% Y-o-Y in Q4. When I compare it to the results of your peers, it seems low. So, my understanding is that what you answered is that your volume

growth has been high, but your value growth has been low, is that right?
Rajesh Jain: Yes.
Shubham Aggarwal: Going forward, will your exports continue to grow higher than your domestic market in wires and cables?
Rajesh Jain: As of now, we are growing more in export and in near future also it's looking that export is growing at a bit higher speed, but overall, when we are achieving 20% growth, this will be mix of domestic as well as export. There may be some difference in growth between domestic and export, but more or less we are targeting on overall growth.
Shubham Aggarwal: Okay and despite the mix, the margins will improve.
Rajesh Jain: Yes, margins are what I already explained the improvement of 100 to 120 bps.
Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.
Aniruddha Joshi: Two to 3 questions. We have seen definite increase in copper prices, it's a pretty high increase. So, how do you see the price hike that we and the industry would have taken in past 2 to 3 months, also if the metal cycle continues to remain on uptrend for sizable number of months, what has been the historical experience during a metal upturn whether the revenues as well as the profitability both goes up for the Company and the industry or how should we think about that on those line? And third, since copper is a really large raw material for us, what is the internal thought process like inflation in copper prices in next 3 months to 6 months to next 2 years? That's the question from my side.
Rajesh Jain: So, we have seen very high volatility in copper prices in last 2 to 3 months and like it has gone as high as $10,900 on LME and now again it came down to $10,200 or $10,300 also, but in longer horizon also as per various reports level, it seems that it will be in higher trend only. As much as our profitability is concerned, see this is mechanism of passing on the price to consumer. Since my raw material is directly linked with LME, so we will be able to pass on this prices to

our consumers in a phased manner and at the same time, we also expect higher volumes because

whenever there is high volume trend, we have seen growth in demand also. I hope this will answer your query.
Aniruddha Joshi: Sure, sir. Sir, again just clarifying whenever the commodity prices go up, do we look at maintaining percentage margins or do we look at maintaining profit per Kg or profit per ton per se. If we look at maintaining profit per ton, then eventually margin may reduce, overall profitability may increase in absolute terms, but the margins may reduce. So, do we take that approach or generally we try to maintain the margins?
Rajesh Jain: No, it will be like improvement on combined basis. So, though in percentage, absolute percentage will not be maintained, but at the same time even profit per Kg per metric ton will also improve. So, it will be a combination of both in between like if there is effect of direct price reduction by price increase by 10%, then it doesn't mean that my profit will reduce by 1%, but there may be some impact of say 0.5% or so, but anyway our absolute margin in terms of value per Kg also and overall margins will also increase.
Aniruddha Joshi: And the last question now in terms of the total capacity expansion, because FY24, while everybody has done well including us, there were a lot of capacity constraints also in the industry. Now Havells capacity is coming on stream and others are also including us expanding the capacity, so how do you see the capacity expansion in the industry level from FY24 to let's say 25 or 26? And do you see the similar demand means whether the capacity expansion will face, or do you see demand outpacing even the capacity expansion?
Rajesh Jain: So, we have seen very good demand in industry at overall level and good thing that Indian economy is d

oing good. Even from international markets also, there is a huge demand. So, even if we see from smaller to like medium or long term view also it is very good demand. Whatever capacity is coming in the industry, I think it will be sufficient scope to grow for everyone because at this time CAPEX we are going through a good CAPEX cycle and which is sustainable for another 5-10 years.
Aniruddha Joshi: No, sir. In terms of industry capacity, if you can indicate how much it would have gone up, let's say 20%, 30% in terms of overall installed capacity?
Rajesh Jain: So, I do not have that kind of data. But yes, I think all are going through a good major expansion, but still there is enough room like whatever CAPEX because this CAPEX time itself is 18 to 24 months and whatever CAPEX is coming in the industry, this will cater the demand of another 2 to 3 years.
Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: The question I had in mind was if you could talk a little bit about your retail touch point. Where are we compared to what we were 2 years or 3 years back? What is the target? What we have in mind over next 2-3 years? And secondly, how much overlap is there with respect to the FMEG within these retail touch points?
Rajesh Jain: So, in retail touch points we have around 1,44,000 retailers around 7,900 dealers and distributors and in wire and cable, especially we have more than 4,50,000 electricians which is backbone of our industry especially in building wire segment because they are the biggest influencer in our sector. So, if you see a journey of our last 3 to 4 years, we have done very significant work to establish this network and making strong footprints in all over India. At the same time in FMEG also, these retailers are part of this 1,44,000, but specifically in FMEG also, we have increased our retailers by more than 10,000 in previous year FY24 itself. And this will help us to make base for our future growth.
Achal Lohade: And any particular target you have in mind like this has to grow at 20%, 10%, 5% or anything of that sort?
Rajesh Jain: Not exactly in numbers, especially in distributor and dealer network. Now we want to increase the depth of our network rather than numerical expansion. And later it will be natural growth in electricians and retailer network.
Achal Lohade: Understood. And just additional question to that. How much of the secondary billing from the dealer or distributor to the retailer is captured in our system. Is it fully available to us or we don't have access to that. And when you say increase the depth, any particular thought strategy you will not elaborate on that thing?
Rajesh Jain: So, Achal, when we say about secondary checking, we are the only Company who has 100% digitalized program to track our secondary sales and the majority of our secondary sales and electricians influencer, we are capturing our program and we have very good amount of data about distribution or distribution pattern or new market development which is helping us to grow and also it will be a very good base for future to plan our sales and marketing strategy.
Achal Lohade: Just a clarification with respect to the FMEG overlap with wires and cables, would you be able to quantify how much of the channel partners are also FMEG channel partners for us?

Rajesh Jain: So, distributor and dealer network, there is hardly any overlap, maybe 5% overlap maybe there. At retailer level, we do not have exact data right now for both older but still both channels are quite different.
Achal Lohade: Understood. And just to check on the CAPEX, you want to quantify what is the CAPEX one should work with for FY25 and 26?

Rajesh Jain: So, like earlier, our working was for FY24 and 25 combined, which was Rs. 500 crore.

Now we are working on future CAPEX of FY26 to 28 and we will work out and inform that at later stage.
Achal Lohade: FY24-25, Rs. 500 crores stays.
Rajesh Jain: Yes. So, out of that major part already run and this will be completed by March 25. Like almost, we'll get the new capacity issue in September 24 and additional capacities by April 25.
Achal Lohade: Understood. Just last question if I may, sir. Would you be able to quantify in terms of our raw material mix, how much would be copper, how much would be aluminum? Would that be like 80%-90% copper and 5%-10% aluminum or could be different?
Rajesh Jain: No. So, from quantity point of view, I can say like almost 70% is copper and 30% is aluminum approx.
Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.
Praveen Sahay: Just a clarification on what you have given about the volume growth of 15% and 30% that is of a segment wire and cable or a domestic and export?
Rajesh Jain: That is on wire and cable.
Praveen Sahay: For Q4?
Rajesh Jain: No, on yearly.
Praveen Sahay: And how is the domestic and the export volume numbers?
Rajesh Jain: It's around 12% and 38%.
Praveen Sahay: And on export side, your yearly contribution is nearly 26% and I heard in the media that you are talking about 30% to 35% of our contribution in the years to come and also the wire contribution is on the higher side in the export, is that impact your margin on overall basis way forward?
Rajesh Jain: First, I would like to clarify that 20% export share is at Company basis. So, when I see it only wire then it is almost at 29% to 30% and this may go up to 35%. And secondly, whatever increase we are making in exports, it is in cable side plus high value added products. This will improve my margins in overall business segment.
Praveen Sahay: So, whatever the incremental will come, it's come from the cable side of exports?
Rajesh Jain: Cable or high value-added wires also and there are few products where we have good value addition even in wire segment also.

Praveen Sahay: Second, if you can give FY24, the segment contribution, wire how much contributed and cable, how much contributed to your volume and value?
Rajesh Jain: So, it's by value it is 70:30, 70% comes from wire and 30% from cable.
Praveen Sahay: Value mix?
Rajesh Jain: Yes, value mix.
Praveen Sahay: On the FMEG side, fourth quarter as well as for a year, you had given a very strong growth if I look at the industry, can you please give some more color on these growth from where you are getting in, how much is the contributions right now for your different segments like a fan light, it will be more helpful sir.
Rajesh Jain: So, in year FY24, we have seen growth of almost 20% at overall level, fan being the biggest contributor in our overall revenue. It is contributing 45% in our revenue, while 40% contribution comes from lighting and 15% comes from switch gear and appliances and in lighting, since we have seen very sharp drop in prices. So, in volume though we have grown by more than 20%, but in value terms we have grown by 8% and in fan, our revenue has grown by more than 16%.
Praveen Sahay: 16% in the value terms of fan.
Rajesh Jain: Yes. And contributing 45% in our overall revenue of FMEG.
Praveen Sahy: And the way forward also guidance of the 20% plus of guidance, 25% of growth guidance in this segment, you are expecting your contribution to maintain at this level, or you are expecting the switches segment to grow faster and contribution to change in coming years?
Rajesh Jain: So, in FMEG segment itself, there may be some like variation against overall growth of 20% to 25%, but that will hardly though because like switch is very small segment that is expected to grow at much higher speed, but base is low. So, overall, it will not contribute that much.
Moderator: Thank

you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go
ahead.
Shrinidhi Karlekar: A couple of questions on the cable business. Would it be possible to share how much has been the value and the volume growth in the cable business of full year 24?
Rajesh Jain: In cable business, it's like more than 20%, 30% in cable and 12% in the wire approximately, but these are approx figures because I do not have exact breakup, but cable is of course it is like increasing at much higher speed than wire.
Shrinidhi Karlekar: And this is value growth, sir, right?

Rajesh Jain: Value because see in cable again we have both copper and aluminum, and since aluminum is low value material aluminum. So, there may be some impact. Overall, in volume like 12%, our wire and cable has gone in domestic and export by 38%.
Shrinidhi Karlekar: Right. And sir, you said 30% of your cable and wire business comes from cables. Would it be possible to share how much of the cable business come from domestic market and how much is come from exports market?
Rajesh Jain: So, currently it is coming more from the domestic market. Export is slowly and gradually it is improving.
Shrinidhi Karlekar: But would it be like more of 90-95 domestic still?
Rajesh Jain: No, if I talk only about power cable, then it's like almost 85% from domestic and 15% from export as of now.
Shrinidhi Karlekar: Yes. And so just want to confirm the guidance on the cable and wire business. You're guiding for a 20% volume growth for the Financial Year’25, is that correct? And even despite the copper inflation, you are reasonably confident that 100 to 120 basis points margin improvement should be possible, is that correct?
Rajesh Jain: So, this is based on general assumption. If there is 5% to 10% variation in prices then we can achieve this kind of growth. If anything, very abnormal say 30%-40% of downturn, of course there will be changes. But by just basis assumption of 10% plus or minus in raw material prices, still will be able to have this range of 100 to 126 improvement in margins.
Shrinidhi Karlekar: Like for in a hypothetical situation like copper remains where it is. You think that 100-120 basis points is possible?
Rajesh Jain: Yes, 100 is possible, right?
Shrinidhi Karlekar: And similarly, FMEG is guiding Rs. 1,000 crore full year 25 revenue, is it?
Rajesh Jain: Rs. 1,000 crore, FMEG 25.
Shrinidhi Karlekar: Right, so here's a lot of acceleration that you are expecting in growth rate. Would it be possible to share what is really driving this optimism?
Rajesh Jain: So, if you see like we have introduced this new products in fan category also in switch gear, we are coming with new range, we are expanding our product range and at the same time whatever investment we are doing in establishing our brand, RR signature. So, we are hopeful to achieve this figure of Rs. 1,000 crores in FY25.

Moderator: Thank you. The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.
Manoj Gori: So, as per our calculations, domestic growth during the quarter on Y-o-Y sales seem to be on the lower side. If our calculations are correct, can you share some thoughts over there?
Rajesh Jain: So, I think we have given volume growth in overall basis in our presentation also. If you refer slide 21, where in volume terms in Q4 on Y-o-Y basis, we have gone by 20%.
Manoj Gori: So, I'm just referring to the domestic business because if I do the calculation based on the export contribution and if I do the subtraction, so probably on net basis, I was just referring.
Rajesh Jain: So, in net base also in volume, our domestic growth is around 12% and export is around 40%.
Manoj Gori: Even during the current quarter?
Rajesh Jain: Yes, in compared to Y-o-Y basis.
Manoj Gori: Right. And so, when we are talking ab

out 20% volume growth during FY25 and so are we seeing any disruption because of the elections or probably businesses as normal. And so if you look at probably the volume growth again seemed to be at 20%. So, what gives you the confidence that probably we would be able to achieve that and whether it would be largely your real estate led demand or probably cables would be the major growth driver over here?
Rajesh Jain: So, see, when we talk about 20% volume growth, this is based on our previous growth or with previous experience and particularly now this time, industry is going through a very positive phase and demand is in domestic as well as export market also. Secondly, when we see the growth, what we have achieved in during previous year and now since we are doing major

expansion in our cable, so growth in cable will be higher than wire industry, but overall it will be like 20%.
Manoj Gori: Right, sir. So, lastly, can you throw some light like probably when you talk about breakeven FMEG, so what would be the major triggers? And lastly, how has the transition been or probably how the progress has been from Luminous to RR brand?
Rajesh Jain: That, I think figure itself can show that we have grown by more than 3 to 3.5x of industry growth like industry has hardly grown by 4% to 5% and we have achieved the growth and this was due to the smooth transition of brand also and now since we are focusing to make our brand RR signature in key brand for premium product. So, going forward one, we are quite confident to achieve this revenue topline growth of Rs. 1,000 crore. At the same time, due to consolidation of expenses due to gross margin improvement, we are expecting this breakeven in the another 4 to 5 quarters.

Moderator: Thank you. The next question is from the line of Ankur from HDFC Life Insurance. Please go ahead.
Ankur: First from the FMEG business, clearly topline growth has been fairly strong close to 30%,but losses are actually gone up to about 8.5%. While I would have expected that with higher volumes and increase in topline, losses actually start coming down. I don't know is it higher ad spends? Is it more discounting? Just trying to understand what's going on, why the losses have actually gone up?
Rajesh Jain: Ankur, if you see even in this period when we have grown at more than 20% when lighting prices were down by almost 25% in last year, still we have seen improvement in our gross margins by almost 190 bps low at EBIT level, it has improved by only 190 bps only and the reason that since we are going through transition phase. So, we are consolidating our distribution network. We are having higher spending on our advertising. So, the impact is not that visible. But the same things will work in our next year. So, we will see significant improvement in our margin particularly in percentage terms.
Ankur: Sure. And that drives your expectations about breakeven in the next 3 to 4 quarters, is that right?
Rajesh Jain: 4 to 5 quarters, yes.
Ankur: And sir just I missed this, but of the total wire and cable sales, how much was exports FY24, did you say 29%?
Rajesh Jain: Yes, 29% within that wire and cable segment.
Ankur: So, clearly exports have grown much faster than domestic for you, right? In 24, I think about 30% growth on value terms and domestic has been about 12%, right, if I get my numbers right?
Rajesh Jain: Yes, that was right.
Ankur: And so, you just help us on your export market, some more sense. How are they doing some of your key markets, Middle East? Maybe some of these markets, how are they doing, how the inquiry or the order book there and any impact of the Red Sea crisis here?
Rajesh Jain: Here we are seeing very good demand from all over the export markets, particularly from Europe and Middle East, which are the biggest market for us as well now also. At the same time, we have also seen good demand for cabl

e, particularly cable, and new high value-added product.
So, it is growing at more higher pace than domestic.
Ankur: And just one last in terms of the mix between your domestic business, between wire and cable, would that remain in that 70:30 ratio or do you believe that could change given even cable demand has been extremely strong when we talk to some of your peers, how do you see that over the next couple of years?

Rajesh Jain: So, this will come down from 70:30. It may come down to maybe after 2 years it can come around to maybe 60:40 or 62:38, something like that because we are having more expansion in cable and demand is also more.
Ankur: And margins would also be better in cable, or would that be almost the same in both wire and cable?
Rajesh Jain: So, margins, if you talk currently in cable, there are lower margins, but the reason being we are at lower efficiency level or lower capacity also. So, once we have the scale, then margins will also improve in cable as well.
Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn Assets. Please go ahead.
Sanidhya: So, my question is very specific to EBITDA margin. So, if we compare to over peer like Polycab, which is the largest player in the market, it's EBITDA margin this quarter was somewhere between this year we can say somewhere between 14% to 15% EBITDA level on wires and

cables. Maybe the mix is different. While ours were somewhere 8.5%-8.6%. So, how do you see road down the line? Is it due to the operational OpEx that we are not getting due to capacity expansion which the larger capacity versus the lower capacity or is it the pricing power that we have like Polycab has a more pricing power in the domestic market because it is more towards the B2B and all these sites, how do you see that?
Rajesh Jain: No, it's not exactly to deal with pricing power. Of course, volume plays a role, but still if you see the thing that like we have improved our margins by 140 bps in this year or another 140 bps improvement. So, this is continuous journey like earlier also I have explained why our margins are lower but now going forward, we are expecting to reach at 10.5% to 11% kind of EBITDA margins in another next 2 to 3 years.
Sanidhya: But that's right. I mean, but from 10.5% or 11% to 14%-15%, how do you see that so much of a gap, right? Something is definitely missing that Polycab is doing, we are not doing that.
Rajesh Jain: No, but see, based on our experience in this industry, the range of 10.5% to 11% is quite sustainable and achieve your growth. But other figures, I cannot comment right now, but 10.5% to 11% with the sustainable growth and continuous growth with high value standard is quite good achievement, I think.
Sanidhya: And secondly, on the copper prices, so we have seen a surge from $8,100-$8,300 to almost $10,000 plus of LME copper. So, does it really impact our margins in the last 2 months or in the coming quarter, will it affect our margin?
Rajesh Jain: No, I will not say it will impact us, but there will be like impact or there will be like some lag impact on our profitability, but let's see because it will take some time to settle decided because this surge is like on both side, we have seen like increased by 30%, then 6 or 8% downside also.

So, we have to see on overall average basis, still on overall basis, copper prices have increased by almost 15% only. So, that is not that much extraordinary.
Moderator: Thank you. The last question is from the line of Harsh Mulchandani from KRIIS PMS. Please go ahead.
Harsh Mulchandani: Wanted to understand that our peers have guided for CAPEX for next 2 to 3 years. So, do we have plans for CAPEX beyond FY25 and would we see a larger quantum of CAPEX going forward since even you iterated on the call that we are seeing a good CAPEX cycle for next 5

to
10 years?
Rajesh Jain: So, it is like already what CAPEX we have announced 2 years back, we are like just to complete that by March 25 and which can meet my 2 years growth plan and now by next quarter we are planning or working on the another CAPEX cycle of next 3 years which can meet the demand of another 5-6 years. So, we are continuously working on CAPEX plan. Historically also if you see like we were always in expansion mode so it will continue.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Shreegopal Kabra for closing comments.
Shreegopal Kabra: I would like to thank each and every one on behalf of R R Kabel Limited. Thank you very much.
Moderator: On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

4 August, 2024

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 31 July, 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on 31 July 2024.

Kindly take the same on your record

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Himanshu Navinchandra Parmar
Company Secretary and Compliance officer
M. No. – F10118

"R R Kabel Limited
Q1 FY25 Earnings Conference Call"
July 31, 2024

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF FINANCIAL OFFICER – R R KABEL LIMITED

MODERATOR : MR. RONAK JAIN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY25 Earnings Conference Call of R R Kabel Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on

your touch-tone phone.
Please note that this conference has been recorded. I now hand the conference over to Mr. Ronak Jain from Orient Capital, their investor relation partner. Thank you and over to you, sir.
Ronak Jain: Thank you. Good afternoon, everyone. On behalf of R R Kabel Ltd., I extend a very warm welcome to all participants on Q1 FY25 Earnings Conference Call. Today on this call, we have Mr. Shreegopal Kabra, Managing Director, and Mr. Rajesh Jain, Chief Financial Officer. Before we begin this call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions, and expectations as of today These statements are not guaranteed for the future performance and involve unforeseen risk and uncertainty.
With this, I hand over the call to Shreegopal Kabra, sir. Over to you, sir. Thank you.
Shreegopal Kabra: Thank you. Hello, everyone, and good afternoon. On behalf of R R Kabel Limited., I extend a very warm welcome to all participants on our Q1 FY25 Financial Results Discussion Call. On this call, I have with me our CFO, Mr. Rajesh Jain. I am delighted to share the news that we have reported our highest-ever quarterly revenue at the start of FY25. Following a robust performance in FY24, this significant revenue growth is driven by strong volume increase, reaffirming our strong position in the industry, and boosting our confidence to outperform industry growth rates.
Additionally, I would like to update you on the launch of our revolutionary product in housewire segment, where we have significant presence. Our new product, FireX LS0H-EBXL, represents a major innovation in safety standards. This product aligns with the new 2023 regulations by Central Electrical Authority (CEA), which mandates halogen-free wires for public and commercial buildings.FireX LS0H-EBXL is perfectly positioned to meet these critical safety requirements across India's construction sector, further contributing to our growth. Looking ahead, we remain focused on both our wire and cable and FMEG segments. We are undertaking numerous strategic initiatives, including capacity addition, the introduction of high-margin products, new product launches, and the expansion of our distribution channel.
These initiatives are designed to enhance our performance in the coming years. With this, I would like to hand over the call to Mr. Rajesh Jain to take this call further.
Rajesh Jain: Thanks, Shreegopalji. As India aims to emerge as a Viksit Bharat by 2047, the resilient real estate sector has proven to be a significant contributor to this growth. Looking ahead, the real estate market is poised to make a substantial impact on India's GDP, potentially achieving double-digit contributions.

This optimism is fuelled by the government's strategic focus on real estate and infrastructure development. Along with a comprehensive array of benefits for both rural and urban housing developments, these initiatives serve as a perfect cornerstone for India's emergence as a developed nation. Consequently, the growth and development of the real estate sector will greatly benefit the Indian electrical industry.
Our strong business presence in the housing segment gives us confidence in our growth trajectory. By continuously focusing on our strategic initiatives, we have cemented our position as the fourth-largest

wire and cable company in India in FY24. Our commitment to innovation, capacity expansion and the introduction of high-margin products coupled with our efforts to deepen distribution channels are the key drivers of our success.
We believe these strategic initiatives will not only bolster our market position but also enhance our financial performance in the coming years.
Now, let's discuss the financial and operational highlights of Q1 FY25. The wire and cable segment remains the cornerstone of our business, contributing 87% to our revenue.
In Q1 FY25, we recorded our highest-ever quarterly revenue of approximately INR 1,808 crores, reflecting a growth of around 13% on a y-o-y basis. This growth was driven by increased volume in our wire and cable segment, despite the challenges posed by slow economic activity due to elections, heatwaves and copper price volatility. Our EBITDA for the quarter stood at INR 95.4 crores, with the profit after tax at INR 64.4 crores.This decline was preliminary due to a reduction in contribution on account of raw material price volatility and an increase in advertising and other expenses. We continue to be the largest exporter of wire and cable from India, which is contributing approximately 24% of our total revenue.
Now, focusing on segment-wise performance, our wire and cable business recorded a revenue of INR 1,578 crores in Q1 FY25 compared to INR 1,423 crores in Q1 FY24, making an 11% growth in revenue on a Y-o-Y basis.This growth is preliminarily attributed to approximately 13% volume growth. If we further break down this geographically, the domestic volume growth

is approximately 20%, mainly coming from cables. While export business remained flat due to delay in shipments and container shortage.
However, the EBIT decreased by 9.3% in Q1 FY25, reaching to INR113 crores due to volatility in raw material prices and slowdown particularly in domestic wires. We reiterate our guidance to improve our EBIT margins by 60 to 80 basis points in FY25, driven by increased export of value-added products and operational efficiencies. We will continue to enhance our market share and retail presence in domestic markets through Project Karma.
In the FMEG business segment, we achieved a revenue of INR 230 crores in Q1 FY25, representing an impressive growth of 32%. This growth was driven by volume increase mainly in fans, appliances and switches. In the quarter, we have undertaken significant advertisement campaign towards brand transition, towards RR signature.

Despite higher advertising expenditure, we managed to limit losses in this segment. Our revenue growth in the FMEG segment is ahead of the industry and we anticipate achieving break even in the next three to four quarters. This will be driven by new product launches, minimization through our RR signature brand and investment in distribution channels.
Through Project Lakshya, we are expanding our distribution for fans and lights via field sales officers and successfully transforming into the RR signature brand.
During Q1 FY25, the company maintained its working capital days at 67 and going forward we are working towards improving this further, demonstrating our commitment to sound financial management.
Our strategic initiatives including expanding our product categories and increasing our manufacturing capacities have positioned us well for continued growth. The planned capital expenditure of INR 500 crores, said to be completed by March '25, will further help us to maintain our healthy volume growth targets.
With this overview, I would now like to open the floor for questions. Thank you for your attention and continued support.
Moderator: Thank you very much. We will now begin the question-and-answer

session. Our first question
is from the line of Praveen from Prabhudas Lilladher. Please go ahead.
Praveen: Thank you for taking my question. So the first question is related to the volume growth. As you had mentioned that 20% of volume growth is there in the domestic market. Can you give some indication how much is the cable contribution in this growth?
Rajesh Jain: So almost like 50% came from cable and 7% from wire in domestic.
Praveen: Okay. And in the opening remark, you have mentioned 60 bps to 80 bps improvement. So that is for the wire and cable margin profile you had indicated or overall?
Rajesh Jain: This is for wire and cable segment like on year-to-year basis. On yearly basis, we are targeting to improve our margins by 60 to 80 basis points.
Praveen: So in that, sir, last year we had done a bit margin of 8.5% and then you are talking about 60 to 80 basis point improvement. But if I look at the first quarter where you had done in the range of around 7%. So ask rate for the next nine months seems very high. So you are still sticking to that and you will achieve that?
Rajesh Jain: Yes. We will try our best to achieve this margin improvement because see what happens on quarter on quarter always we have seen some volatility or difference in performance but when we see collectively over 12 months then these are achievable range.
Praveen: Okay. And second question on the realization because if I look at copper and aluminum prices for a quarter has been on the higher side increased. But your realization down in wire and cable. So apart from the product mix towards the cable is there any else has changed?

Rajesh Jain: See product mix why it is important since we have grown more in cable and which is mainly in aluminum. So if you see aluminum prices are in the range of INR 250 per kg while copper is almost INR 850 per kg. So there is always difference between volume growth and value growth. As I indicated that in wire we have grown by 7% while in cable it is growth is almost 50%. So that will result into 11% revenue growth compared to 13% volume growth. I hope this will explain your theory.
Praveen: Yes, so only because of product mix your realization is down and that also resulted contraction

in the margin.
Rajesh Jain: Yes.
Praveen: Okay, and in the FMEG portfolios that you indicated that the advertisement has increased and which again has elevated your losses. So how much is the advertisement and as you also guiding for three to four quarters breakeven. So how can you give some you know qualitative information how you are expecting this to breakeven?
Rajesh Jain: So like in particularly in this quarter also if you see we have grown by 31% in FMEG and even our gross margin has increased by 1% and further if we consider the extra expenses of INR 12 crores in this quarter in FMEG advertisement in spite of that we were able to achieve or we could able to maintain the losses to last year levels. And going forward also since this quarter was major advertising expenses for our brand transition going forward when it is come to normalized level of advertising and promotion expenses we are hope that with this kind of growth we will able to have breakeven in next three to four quarters.
Moderator: Thank you. Our next question is from the line of Rahul Agrawal from IKIGAI Asset Management. Please go ahead.
Rahul Agrawal: Hi, good evening. Thank you for the opportunity. This is Rahul from IKIGAI. Sir, first question on exports. Obviously, we had export issues across a lot of other industries as well because of continer shortage and freight pricing. Wanted some kind of outlook on full year exports. Will you recover whatever you have lost in 1Q over the balance 9 months? Because my sense is we were targeting to grow like 20% plus for the full year. So, any guidance please?
Rajesh Jain: So, Rahul, again see this what happened parti

cularly in this quarter our shipment got delayed.
Still we have very healthy order book and we have continuous order since our major exports are distributiondriven and regular order. So, there is not the problem of demand. The only thing in quarter one shipment got delayed and it got postponed to second quarter. It may have some later effect also but still on a yearly basis we are on line to have achieved this 20% volume growth in export as well.
Rahul Agrawal: Okay, perfect. So, second quarter you already seen the dispatch is done or it is still pending?
Rajesh Jain: So, like whatever spillover of quarter one we have covered in the month of July but still I am not saying that the situation has become normal. But since now it will be in cycle. So, quarter

two will be like not flat quarter what we have seen in quarter 1. So, there will be growth and it will be in the line of our yearly plan.
Rahul Agrawal: And on cable and wires again I think domestic volume got 20%. I think it is a pretty strong number. So, largely going forward in terms of how do you see domestic wire market in any sense would you like to share in terms of how the wire demand is behaving? Obviously, we all know that it is not up to the mark but what is the feeling like you are getting in July?
Rajesh Jain: See, when we see break up from wire and cable perspective, then of course now cable is growing faster. In our case also since our base is small compared to wire. But even at industrial level also cable is expected to do better compared to wire. And even for this year itself it seems cable will grow faster than wire.
Rahul Agarwal: Sure. So this 20% volume what you've done domestic for first quarter, should that be a right number for the full year as well, like overall for domestic markets?
Rajesh Jain: This quarter, though bifurcation was 7% versus 50% but going forward the traction will be less. We may expect to grow wire also at 13%-14% and maybe cable at 30%, something like that.
Rahul Agarwal: Okay, got it. And lastly if you have the numbers, what was the operating cash flow for the quarter? Is it possible to share?
Rajesh Jain: That numbers are not handy with me.
Rahul Agarwal: Okay, no problem. I will fall back in the queue. Thank you so much. All the best.
Moderator: Our next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.
Shubham Aggarwal: Hi, thank you for the opportunity. Just one question from my side. I wanted to understand -- so from what I understand, the copper pricing is generally passed on.it's passed on to the trade with a slight lag. In this period, in this quarter, we saw the prices of copper increase as well as decrease both of which would have been passed on to the trade with a lag.
I just wanted to know what actually goes and impacts the margin in volatile times. This is not the volatility we saw in COVID, so the magnitude has been lowered but still the impact on margin seems to be a bit more than what we were expecting. Just need to understand from your perspective how should we see it going forward from this?
Rajesh Jain: Thanks, Shubham, for your question. If you see, and rightly said by you, that it has some time lag impact while passing on the prices either going upwards or downwards. But particularly what happened in this quarter in the month of April and May, copper prices went up sharply but at

that time also due to elections there were activities were less and that could not result to very high demand. And at the same time in the month of June, copper prices went down very sharply. So that impacted demand also and passing on the price of increase could not be possible. But if, again, as we have seen in past also if you will see on a longer period of 12 months, then we will be able to pass on this impact to our consumers in a lagged manner. The only thing, see,

whenever there will be very sharp correction either upward or downward, then it may seem as an impact on profitability for shorter term but not on consistent or regular term.
Moderator: Our next question is from the line of Manoj from Equirus. Please go ahead.
Manoj: Thanks for the opportunity, sir. So my first question is in continuation with FMEG margin. So obviously you highlighted like during the quarter, the A&P spends were relatively higher and second major lever that you highlighted was on the operating leverage. But if you look at during the current quarter also, despite strong sales and obviously operating leverage would have benefited to some extent, but still the percentage loss has largely been maintained on y-o-y basis. So just want to understand in detail, like apart from operating leverage and A&P spends, what would be the other trigger points for this breakeven that you are targeting by fourth quarter of FY'25? And also if you cut down on your A&P spends, could that have a risk on your top line performance on FMEG? First question on this, sir.
Rajesh Jain: So, Manoj, if you see on our advertising and sales promotion expenses, as I told earlier also, this was one-time brand transition expenses which was extra. Obviously for our FMEG business, we have to focus and we will keep continuing expanding -- spending on advertising and sales promotion.
But in this quarter if you see, first our revenue increased by 31% then gross margin increased by 1% and this INR 12 crores of extra advertising spend which is resulting to almost 5% of my revenue. That's why we were at the same level of last quarter. Otherwise, if you see going with this kind of volume growth, revenue growth and normal advertising expenses, we are expecting to achieve that breakeven by another three to four quarters
Manoj: Right, sir. And secondly, how has the response been from the channel? So obviously in the past you have indicated like it's going as per your plan. But any quality feedback that you have been receiving from the channel with regards to transitioning of the brand to RR?
Rajesh Jain: So two things are important here to note that like this 31% revenue growth itself indicates that our brand is transitioning in a very well and planned manner and having very positive impact of our signature brand. And secondly, if we see like we have introduced some new product and models in quarter four of last year which has contributed almost 18% in my revenue which is again a very good sign of new product development and acceptance by consumers.
Manoj: Correct, noted. Sir, secondly, on wires and cables, so I would just like you to repeat the reason why the wire and cable margins deteriorated because what I understand is your export margins are lower and that business has actually degrown. So in this context your overall impact on margins should have been limited. So just want to understand on that.
Rajesh Jain: So the major reason of reduction in margins is the raw material price volatility, one. And second, even as I have given the breakup of my wire and cable growth, so since cable has grown at a higher pace than wire and still we have to achieve the scalability in my cable segment. So cable margins are going to come lower compared to wire and that is the reason that we see -- this is

two reasons; one higher growth in cable and less growth in wire, and secondly raw material price volatility. So this has impacted this quarter performance.
Manoj: Okay. And this cable growth faster, so that's in the domestic market where you have highlighted like your cable margins would be lower as compared to wires, correct?
Rajesh Jain: For time being, these are lower. But as we are on the path of getting scalability and availability of inventories, so we are expecting -- we are expecting margin improvement by year end.
Manoj: Okay.

And sir, on cables capacity, how are things shaping up for the new capacity? And if you can outline any capex plans beyond FY'25 because obviously we have already highlighted till FY'25, how we are looking at the things overall probably from two years, three years point of

view, what should be the product mix that you are aiming internally, that would be helpful, sir?
Rajesh Jain: At the beginning of FY24 we had made a capex plan of INR 500 crores that is spread over FY24 and 25 and I am happy to inform that we are on track and this will be completed by March'25 which will help us to achieve the volume growth of what 20% we have planned for next two to three years. At the same time now we are working on our new capex plans also which will start from April 25 onward. Right now we are making these plans and will be like finalized by this quarter end.
Manoj: Correct sir. Thanks a lot sir and wish you all the best.
Rajesh Jain: Thank you.
Moderator: Thank you. Our next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Yes, good evening sir. This is Achal Lohade here from Nuvama Institutional Equities. Sir, I wanted to understand in terms of the industry growth is it possible for you to comment for cables have we gained market share and for wires have we gained or lost market share if we work on a 12-month basis, trailing 12-month basis. Any comment on the same?
Rajesh Jain: So Achal, if you see from industry point of view of course industry is doing very good growth. We have seen very good traction in demand particularly in cable and wire also, but of course still cable is growing at a higher pace due to infrastructure or maybe green energy and various other initiatives. Cable is doing good. In our case normally if you see historically also we were always growing in volume terms ahead of the industry curve and even in last 12 months also if you see we have achieved volume growth of almost 18% to 20% which is like either at par or above the industry average of 13% to 14% or 15%.
And even going forward also it seems all the growth indicators are intact and we see based on this domestic demand and even the demand from export market it seems like next six to eight years are very good for this industry particularly for cable and wire will also grow simultaneously. So growth rate may be somewhere down in compared to cable.

Achal Lohade: Understood. Is it possible to give us some more sense with respect to when you say that all growth indicators are intact for next six to eight years which are those two, three key industries and how are we placed for those industries in terms of product offering? Are there any gaps which we need to fill or we just have to add capacity and start selling?
Rajesh Jain: The biggest growth area what we see in India is one is infrastructure, secondly even railway defense or maybe solar or alternative electrical manufacturing resources. So all will require wire and cable and if you see since we also have our plan to have capacity expansion in terms of power cable or even with a similar kind of machine is what we have. We can produce all kinds of wire and cable and we have capabilities, technical capabilities also. So we are on the right path to tap the growth sector what indicated by me.
Achal Lohade: Also in terms of approvals for those types of cables?
Rajesh Jain: For approval of course it is part of regular business process only. So whenever or wherever approvals are required we are on continuous working on those. We are not in a phase where any major approvals like which can take very longer time. So we are in regular growth area.
Achal Lohade: Got it. Sir just one more question with respect to capacity utilization for the quarter is it possible to give us some sense in terms of what was the utilization for wires and also for the cables?
Rajes

h Jain: These are almost similar. Since we have grown by 13% and we have expanded our capacity by removing some bottleneck also. So even if I see a cable it is 90% to 95% and wire it is around 65% to 70% in that category we are okay.
Achal Lohade: Got it, understood. And just one more question. In terms of the capacity for the industry we see that almost all the players are talking about capacity additions. You think that will create any surplus capacity or we will be still at an industry level we will be still in shortage?
Rajesh Jain: At industry level still it seems the demand is much higher than the supplies or capacity building what is being done by industry players. At least as I told you for the next two years we see very good demand and secondly even whatever capacity building is being done still they are shortage and now every expansion will require another two to three years. So I don't find any oversupply position.
Achal Lohade: Understood. That's all from my end sir. Thank you so much. Wish you all the best.
Moderator: Thank you. Our next question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.
Vidit Trivedi: Thank you for the opportunity. My question is regarding the wires and cables mix. Could you please give us a sense what will be the mix and what are the price hike taken in this quarter?
Rajesh Jain: Can you repeat please because your voice is not clear.

Vidit Trivedi: Okay. So I'm asking what was the price hike taken during the quarter and what is the cables and wire mix during this period?

Rajesh Jain: So like wire and cable mix is almost 70% comes from wire and 30% revenue comes from cables in my wire and cable segment. And if you see we have seen the price hike also in this quarter when in April and May there was almost 12% copper prices were on the higher side and at the same time in the month of June and July we have seen almost 20% decline also. So as per basic principle of our industry and company like whenever there is a hike of plus or minus 3% then we change our prices. So like these are directly related with our raw material prices.
Vidit Trivedi: Okay. And so what was the capex done during the quarter?
Rajesh Jain: So capex we are working on since this is a larger project so like it is continuous going on and it will be major part of this will be completed by March 25.
Vidit Trivedi: Okay. Got it. Thank you.
Moderator: Thank you. Our next question is from the line of Amol Rao from One Up Financial Consultancy. Please go ahead.
Amol Rao: Sir, good evening. You mentioned a figure of INR 12 crores for A&P advertising and promotion, sir. So is it correct to understand that this is a non-recurring A&P spend that the extent of the expense will not be so high in subsequent quarters? Is that what you were implying, sir?
Rajesh Jain: Yes your understanding is correct that this INR 12 crores was extra than our normal activity.
Amol Rao: Okay. And sir I don't want to drive home to find up a question, but is this so high because we advertise during IPL season and all that is why, I mean, was it so high? I mean we were doing a brand expansion exercise so is that because we did it during IPL the rates were so high?
Rajesh Jain: No, no, that was not the reason. If you see our background, like the 2 years earlier we took that Luminous brand, the home electrical business of Luminous and we had to do brand transition from Luminous to RR Signature.
Amol Rao: Okay.
Rajesh Jain: And particularly ahead of the Fan season or during Fan season we took this advertising and drive from Luminous to RR Signature. So that was the main purpose.
Amol Rao: Okay, sir. Sir, my question was answered, sir. Thank you so much.
Rajesh Jain: Okay, thank you.
Moderator: Thank you. Our next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.
Shubham Aggarwa

l: Okay. So just a follow-up. Thanks for the opportunity again. Just wanted to help you recall that when we were paying some amounts to Luminous as royalty what is the amount per quarter now and when was it supposed to end? If you can just give a brief.

Rajesh Jain: As per our agreement, we had to pay already we paid 5 crores in 2022 for two years and since now already we have done brand transition so now we are not paying anything. So whatever payment was done that was upfront payment was done during the deal only. So now no recurring or any expenses we are paying to Luminous.
Shubham Aggarwal: So now nothing is being paid. So these margins are after royalty payment?
Rajesh Jain: No, no, no. See, first that whatever payment we done in 2022 was part of deal and it was part of overall purchase consideration only. So there was no separate payment.
Shubham Aggarwal: There was no recurring payment after that. Every month or every quarter or every year there is no recurring payment, right?
Rajesh Jain: There is no recurring payment.
Shubham Aggarwal: Okay. And there was a sunset, right? That you have to transition the brand up till a specific date. What date was that? Which year?
Rajesh Jain: Once we started the brand transition then we have a 12-month period and already we are passing through that period.
Shubham Aggarwal: Right. And when does this period end?
Rajesh Jain: This will be end by December.
Shubham Aggarwal: December’24.
Rajesh Jain: December’24, yes.
Shubham Aggarwal: By then you have to remove the Luminous brand in January, right?

Rajesh Jain: So already what we have done if you see our packing now it is like Luminous is now RR.
Shubham Aggarwal: Is now RR. Yes, I saw that in the channel.
Rajesh Jain: And Luminous is becoming smaller and smaller.
Shubham Aggarwal: Right, right. Okay. That was all. Thank you.
Moderator: Thank you. Our next question is from the line of Ashish from Citi. Please go ahead.
Ashish: So the first question is on the cable part. You said that the capacity utilization is already at 90%-95% and if you are forecasting a 30% kind of growth do you see a capacity constraint there and by when your capacity addition or commissioning will happen in cables?
Rajesh Jain: What capacity expansion we have planned for March 25th that is 100% like doubling our capacity in compared to previous year. So like this will be coming in phases. So a few machines

will be operational in September, October also. So this will be fulfil my additional demand volume growth.
Ashish: Sure, sir. And second thing on the margins. So if I look at your earlier comments. So one, you know, copper prices still seems to be kind of coming off. And secondly, you know, I think cables continue to grow higher versus wire and export also. You continue to face the, you know, container shortage. So from that perspective, you know, when you look at your margin guidance of 60-80 basis point expansion, do you think it will be more, you know, loaded towards the second half and in 2Q also there could be some margin pressure because mix again may not be extremely favourable and RM prices are also volatile?
Rajesh Jain: So if you see even this industry as a whole, always the second half of the year remains some like heavier than compared to first half because in second half you have festive season, you have year-end where many projects get completed. So it is like normal phenomena that in second half of the year you get more business, more volumes. And secondly, like in this quarter our margin decline was mainly due to very sharp volatility in copper prices.
See, there will always be volatility, but anything which is very sharp impact our margins to some extent for a particular quarter. If we see on yearly basis, then we will be able to recover all these losses also and even volume grow

th like even for this quarter also, whatever like delay in shipments that will be executed in this quarter. So this quarter on volume growth, we are confident that we will be able to achieve and profitability will come to normalize and improvement at year-end.
Ashish: Sure, sir. That's helpful. Thank you.
Moderator: Thank you. Our next question is from the line of Manoj from Equirus Capital. Please go ahead.
Manoj: Yes. Thanks for the follow-up opportunity. So my question is on the distribution side. So probably since the time we have been listed, we have been emphasizing a lot on the distribution network expansion for both wires and cables as well as FMEG business. Can you share your insights like probably how things have progressed over the last six months?
How like any new markets we have identified? Any markets, sunrise markets where we are scaling up very well? Anything that you would like to highlight, the incremental data points on the markets and probably how we are shaping up for next two years?
Rajesh Jain: If you see our distribution like strategy, then we have focused approach separately for both segments like FMEG and wire and cable. In FMEG, of course, we have seen a good demand growth also just by focusing on new products and distribution channel and geographically also we are entering to new areas. Same way in wire and cable being electricians being our major influencers.
So our focus is there and we are doing continuous activity of adding new electricians or making more and more active electricians. So this will remain in focus being B2C business is the major

segment and largest segment of our business. And this approach will continue for next two years also to remain and to improve our market share.
Manoj: I completely agree with that, sir. But I just wanted to understand how we are shaping up because if you look at some of the markets we were highlighting like where we are very strong, some of the markets we were looking to scale up our presence and strengthen our presence. So probably how things are progressing over there, just wanted to understand probably the new growth opportunities, the new markets that you have identified for next two years point of view because

again that would be one major driver for your outperformance versus industry?
Rajesh Jain: Sure, Manoj. So this is continuous journey. As I last time also informed that we have made a very good base and network of my dealer distributor then retailers and electricians. Though every market have different nature and it may take some time in some area while some area we are already doing good. So we have equal focus on our all markets but at the same time wherever we have our presence is not that much or our market share is less. We have made the base and by regular focusing on that area, we will get new demand, which will be like higher than industry average what indicated by you.
Manoj: Correct, sir. Thank you, sir and wish you all the best.
Rajesh Jain: Thank you.
Moderator: Thank you. Our next question is from the line of Praveen from Prabhudas Lilladher. Please go ahead.
Praveen: Thank you for follow-up question. Sir, my question is pertaining to the export business. As you had mentioned that the July has covered your last quarter losses because of container unavailability. Is it possible to quantify those numbers and how because still I am hearing the container availability or the freight rate is challenging. How you actually seen the recovery in the July?
Rajesh Jain: So, Praveen, it is not recovery, complete recovery. And rightly said by you that still there are delays in shipment and container shortage also. But what I highlighted that whatever spillover of like say last quarter or Q1 of FY '25 that is now getting regularised in Q2. So still there will be leftover or some but like since in Q1 we had a heavy impact but now this will be

spillover to
next quarter and now we will be able to have that 15% to 20% of volume loss in export in this quarter also.
Praveen: Okay. And any geographical location you can highlight where you are largely exporting to?
Rajesh Jain: Our biggest market still is Europe and still it remains the same by large.
Praveen: Okay. And on the, again coming back to my earlier question on the margin, if I consider your guidance for the margin profile the next nine months you have to do around double digit of a margin for the wire and cable. So is it like what the confidence you are getting in the business to deliver such a very strong double digit margin in the next nine months?

Rajesh Jain: On a yearly basis, again what margin guidance we are seeing and to achieve that 60 to 80 basis point growth, we understand that we have to do better than what we have done last year but these are looking to our volume growth and looking to our product mix it is achievable seems achievable.
Praveen: Okay. And that September expansion like the first phase of expansion is planned so there is no concern on that, that will come up, right?
Rajesh Jain: Yes, so these are as per plan and this will help me to increase volume growth what we are planning in second half of this year also.
Praveen: Okay. And can you give some mix on the export like wire and cable, how is that?
Rajesh Jain: It's like almost in that line only like in export also our share is almost 70%-30% only, so since we have not done any volume growth in this quarter, so the ratio remains the same.
Praveen: Okay. Got it, sir. Thank you and all the best.
Rajesh Jain: Okay. Thank you.
Moderator: Thank you. Our next question is from the line of Naushad Chaudhary from Aditya Birla Mutual Funds. Please go ahead.
Naushad Chaudhary: Thanks for the opportunity. Just a follow-up, one clarification on the margin side of wire and cable, sir. As we understand the growth for FY '25, which would largely be cable-led and with this also we are expecting 60-80 margin improvement. Can you give us some specific area where you see that would help you to gain this improvement on FY '24 base?
Rajesh Jain: What happened in our like cable particularly in cable business though our margins are lower historically at the same time when I am getting the scale of operations my inventory availability will be improved then I can expect good price recovery also and that will improve my margins. So though major growth will come from cable only and at the same time like this year we have also introduced that Firex LS0H-EBXL though that is part of my building wire but I can say that that is the best available product in the market from technology point of view. So we are quite confident to get that improvement in our sales also and profitability also.
Naushad Chaudhary: And this new product should contribute what percentage of your revenue by the end of this financial year?
Rajesh Jain: It will take some time, so it will be tough to predict right now the share but as awareness will increase in the market this will get momentum maybe at later half of the year but we have not

quantified yet.
Naushad Chaudhary: Alright, sir. All the best. Thank you.
Moderator: Thank you. Our next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Hi, thank you for the follow-up. Sir, could you talk a bit more on the new products and the new geography within India? How is the focus there in terms of let's say even in wires, what are the few states where you're focused on in terms of increasing your channel? And in terms of purely from a technological perspective do you see any -- what gaps are you filling up on the cable side, please, for domestic states?
Rajesh Jain: So in wire, if you see from geographic point of view, we are v

ery strong in the west and north
part of the country. At the same time, we are growing and exploring our growth opportunity in the south and east region also. Still in a few of the states, we have very good market share in north and west part of the country. And secondly, even in cable since our base is very small, so still major supply area is west and north only. And since we do not have many large capacities, so south will be our it will be not top supply area.
Rahul Agarwal: I understand that, sir. What I was trying to say was, let's say within south and east, we have to just talk a few states in your mind, which take maximum mind share and maximum input. Like, which are the states you are working on to? That's one question. And second was, on the product gap side, I mean, what new products should we expect from RR Kabel on the cable side for domestic market going into next 12 months?
Rajesh Jain: So in cable, like we started our cable journey in 2011 and that HT cable, we started in 2019 only. And if you see from industry point of view still 65% of revenue comes from this HV LV cables and while wire is only 35%. So in that way, since we are very small, so first we have to complete that product and more growth will come from HV cables, where the utilities and institutionals are the bigger customers. So in that area, our major sales will grow.
And secondly, from geographic point of view, the good thing that in last 2 years, we have made very good distribution network, though my market share in few states are very less, but we have made the network of retailers and dealer distribution and getting connected with electricians. So now this is just a matter of time to convert our presence into sales and revenue growth.
Rahul Agarwal: So the cable gap, which you mentioned, that we are still under-indexed on cables, are the new capacity expansion, which will complete by March 25, that will take care of most of these products, or there'll still be gaps?
Rajesh Jain: So most of these products will be covered in this expansion.
Rahul Agarwal: Right, so we'll be starting sending that from October onwards, right? That's what you mentioned. Is that correct?
Rajesh Jain: If you like, as we have planned, almost 30% of my cable business will go at 30%, and we are already at 90%, 95% capacity utilization. So whatever capacity will be built in September, October, this will help me to fulfill this volume growth in second half also, and for next another 1 years or 2 years also. And as of now, if we see from our product capability point of view, then already we can manufacture up to 66 kV of Power Cable.

Rahul Agarwal: So moving ahead, on the growth rates, you clarified that cable and wire, we're still targeting 20% CAGR on volumes. This is including exports, right?
Rajesh Jain: Yes.
Rahul Agarwal: And in terms of FMEG, obviously we're looking at break-evens, but in terms of top-line growth, how should we see that segment, please?
Rajesh Jain: So at revenue, we are expecting 25%, 30% of revenue growth on yearly basis.
Rahul Agarwal: And at that growth rate, we'll still break-even, like the exit quarter of 4Q, we'll see zero EBIT loss is what you're saying?
Rajesh Jain: Yes.
Rahul Agarwal: And so from a capex perspective, just wanted to know, what is going to be the cash outflow on capex for fiscal 25 only, from a cash flow statement perspective?
Rajesh Jain: So even from cash flow point of view, this will be met through our internal accruals and reserves, what already we have. So there will be no, like term loan or great facilities for this. And this will

be self-funded capex, which will be completed by March 25.
Rahul Agarwal: Yes, Rajeshji, that is, I'm absolutely clear on that. What I was asking was, how much capex, in terms of cash outflow, will the company do for fiscal 25?
Rajesh Jain: So like, last year we did capex of INR 20

0 crores, and this year, what already we have done and
what is planned to do will be INR 300 crores of cash flow outflow for capex point of view.
Rahul Agarwal: Okay. And, one last question was on replacement capex, which basically is more maintenance, which gets capitalized in the balance sheet. Typically, on an annual basis, how much would that be?
Rajesh Jain: So, though that is not very big and this is part of INR 500 crores capex, what we have mentioned, few of this is like maintenance capex also, where we are changing one or two major machinery.
Otherwise, major is new capex, but few of them are maintenance capex also.
Rahul Agarwal: Would you quantify that? Like INR20 crore s, is that a fair number?
Rajesh Jain: That will be not very specific. I do not have that kind of figure, but not very big, that I can say.
Rahul Agarwal: Okay, no problem, sir. Thank you so much.
Rajesh Jain: Sure. Okay, thank you.
Moderator: Thank you. In the interest of time, we will take this as a last question. I would now like to hand the conference over to Mr. Shreegopal Kabra, sir, for closing comments.

Shreegopal Kabra: Thank you, everyone, for joining this call. We appreciate your participation. If you have any questions, feel free to reach out to us. Thank you.
Moderator: Thank you. On behalf of R R Kabel, which concludes this conference, thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

29 October 2024

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 25 October 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on 25 October 2024.

Kindly take the same on your record.

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Himanshu Navinchandra Parmar
Company Secretary and Compliance o■cer
M. No. – F10118

“R R Kabel Limited Q2 FY'25 Earnings Conference Call”

October 25, 2024

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR, R R KABEL LIMITED
MR. RAJESH JAIN – CHIEF FINANCIAL OFFICER, R R KABEL LIMITED

MODERATOR : MR. RONAK JAIN – ORIENT CAPITAL

R R Kabel Limited
October 25, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q2 FY'25 Earnings Conference Call of R R Kabel Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ronak Jain from Orient Capital. Thank you and over to you, sir.
Ronak Jain: Thank you. Good afternoon. On behalf of R R Kabel Limited, I extend a very warm welcome to all participants on Q2 FY'25 Earnings Conference Call.
Today, on this call, we have Mr. Shreegopal Kabra – Managing Director and Mr. Rajesh Jain – Chief Financial Officer.
Before we begin this call, I would like to give a short disclaimer:
This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions, and expectations as of today. These statements are not guarantees for our future performance and involve unforeseen risk and uncertainty.
With this, I hand over the call to Shreegopal Kabra, sir. Over to you, sir. Thank you.
Shreegopal Kabra: Thank you. Hello and good afternoon, everyone.
On behalf of our R R Kabel Limited, I wish you Happy Diwali in advance and extend a very warm welcome to all the participants on our Q2 FY'25 Financial Results discussion call. On this call I have with me our CFO – Mr. Rajesh Jain.
Despite facing a few challenges and achieving more than volume growth, we are pleased to report our highest ever quarterly and half yearly revenue. This growth was primarily driven by double-digit volume expansion in our domestic wires and cable businessOur FMEG segment also delivered a strong revenue performance given by robust volume growth and improved product mix, maintaining its status as the faster growing player among peers. With current growth momentum and gross margin improvement, we expect to achieve breakeven in FMEG business by early FY'26
Our numerous strategic initiative including capacity expansion, the introduction of high margin products, new launches with international accruals and the expansion. Our distribution channels continues to progress as plan. These initiatives are designed to enhance our performance with a major focus on achieving double-digit margin in the coming years.

With that, I would like to hand over the call to Mr. Rajesh Jain to take this Discussion Forward.
Rajesh Jain: Thanks, Shreegopal ji.
India's growth story remains intact with its core drivers, consumption and investment demand gaining strong momentumThis foundation coupled with the buoyant real estate sector is set to make a substantial impact on India's GDP, potentially contributing to double-digit growth. The resilience of the domestic environment has played a key role in supporting our volume growth in the Indian market, particularly in our cable and wire business.The export market, especially in Europe, has been impacted due to delay in shipments impacting our export demand. The slightly sequential volume decline along with the impact of a higher base year-on-year is something we are addressing with the strategic focus on strengthening our domestic growth and exploring new opportunities internationally. Despite these short-term challenges, we are optimistic about our long-term prospective and remain confident that the momentum in the domestic market along with our ongoing initiatives will lead to a better performance ahead.
Now, let's walk through the Financial and Operational Highlights of Q2 FY'25:
We are pleased to report that in Q2 FY'25, we achieved our highest ever quarterly revenue of approximately Rs 1,810 crores, reflecting a stron

g year-on-year growth of 13%. Similarly, we also
posted a 13% growth in the first half of FY'25 marking our highest ever half yearly revenue over the same period last year. This growth was primarily driven by domestic volume expansion in our wire and cable segment and more particularly in cable segment.
Similarly, our FMEG top line has also grown by an impressive 25%. Our EBITDA for the quarter stood at Rs.86 crores while profit after tax was Rs.50 crores. The reduction in EBITDA and PAT was largely influenced by a contraction in contribution margin driven by heightened volatility in metal prices during the quarter. However, we remain optimistic about overcoming this temporary headwinds.
Looking at the segment-wise performance:
Our wire and cable business recorded a revenue of Rs.1,612 crores in Q2 FY'25, up from Rs.1,450 crores in Q2 FY'24, marking a growth of approx. 11%.

On a half yearly basis. We saw a similar 11% growth with revenue reaching to Rs 3,190 crores in H1 FY'25 compared to Rs.2,874 crores in H1 FY'24. This growth is primarily attributed to volume expansion of approx. 4% on YoY basis and 8% on half yearly basis. The EBIT margin for the segment stood at 5.1% impacted by copper price volatility and delay in passing the cost instantaneous.

Our export market showed resilience contributing around 27% of total revenue in Q2 FY'25, up from 24% in Q1FY'25. Despite some challenges, we believe our ongoing efforts in both domestic and export market position us well for sustained growth moving forward.
When we talk about guidance of our wire and cable business, given the situation of high volatility in copper prices during the first half of the impact on demand due to shipment delays in export markets, we have revised our guidance to reflect a more measured outlook. For the second half of FY'25, we now expect a volume growth of approx. 15% which should help us to achieve an overall volume growth of 10% to 12% in FY'25. We anticipate a stronger performance in H2 FY'25 and expect our EBIT margins in the wire and cable segment to improve back to the range of 8% to 8.5% for the second half of FY'25.
On the export front, while shipping delays may persist for a while, we are actively addressing these challenges. We are in process of getting key product approval in both the European and U.S. markets, which once secured in the near future, will enable us to introduce higher margin products to these regions. Despite short-term hurdles, these efforts are aimed at strengthening our position and drive sustainable growth in the long run. We remain confident that the measures we are taking will set us up for an improved performance ahead.
In the FMEG business segment, we are pleased to report a solid revenue of approximately 198 crores in Q2 FY'25, reflecting an impressive growth of 25%. For the first half of FY25, we have delivered a remarkable revenue growth of approx. 29% over H1 FY'24. This growth was driven by sustained volume increase across key product categories such as fan, appliances and switches.
Our segment margin improved, benefiting from an enhanced contribution margin driven by higher sales volumes and a favorable product mix. This performance has allowed us to maintain our position as the fastest growing player among our peers in FMEG segment.
Additionally, we have successfully maintained our working capital days at 63 as of September 30th, 2024, further underscoring our commitment to sound financial management and operational efficiency.
Our strategic and initiatives remain firmly on track and we are on course to complete the current CAPEX cycle, which will enable us to achieve our future growth. In parallel, we are actively working on our next CAPEX cycle for the coming three years and we look forward to updating you as we mark progress on this front.
Our FMEG segment is also well on track with continuous initiatives such as new produc

t launches,
investment in brand transition and increased advertising efforts. These steps will help us to move

closer to break even in the near future. With these initiatives, we are confident that our strategy will drive long-term growth and profitability.
With this overview, I would now like to open the floor for questions. Thank you for your attention and continued support.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Praveen Sahay from PL India. Please go ahead.
Praveen Sahay: My first question is related to the volume growth. Sir, can you explain how is the volume progressing now as you had already given a guidance of a 10% to 12% for a year or a 15% for a next half, so how you are seeing from a soft volume in the Q2 to Q3 of October, how that's progressing and what exactly the confidence you are getting from the market for 15% of the growth for the next half?
Rajesh Jain: Praveen, when we see this first half growth, like our growth was around 8.5% in first half of this year and based on our historical growth and looking to the market conditions even in wire and especially in cable where we are aiming to grow at a much higher pace. So, this gives us confidence that we can achieve a growth of 15% in the second half, which will enable us to get the growth of 10% to 12% on yearly basis. Even if we now also see, in spite of some challenges in export segment, still, we were able to achieve this volume growth of 8.4% in first half.
Praveen Sahay: So, if you can highlight like from where wire is doing well or expected to recover or the cable growth to continue for you for the next half as well looking at? And also, the new capacity which you had highlighted earlier that is expected to come in the stages in the financial year FY'25. So, how is the situation here for cable especially?
Rajesh Jain: Out of total CAPEX plan for FY'25 or till March '25, already some of the capacity is available for production and based on that only like when I am talking about approx. 15% volume growth, by thumb rule we understand that approx. 10% growth can come from wire and 25% growth can come

from cable which will give us weighted growth of around 15%. More particularly, though our base is very small in cable, but looking to the industry side, looking to the demand cycle, and the way we have orders in pipeline and even the Indian infrastructure is working, we are expecting that we can achieve this growth of 15%.
Praveen Sahay: Sir, next question is related to the margin. Also, in the margin front you had given 8%, 8.5% of margin guidance, whereas 6% of the margin in the wire and cable EBIT margin you had delivered in the first half. So, the contraction in the margin is only because of a fluctuation in the raw material prices or more to do with the product mix changes, why that's got impacted 6% and from where you are getting that 8, 8.5% of a margin to achieve actually?

Rajesh Jain: So, when we see figures of this quarter or even for this first half of this year, the major contraction has come at the gross margin level only. So, it was reflected by two things: one, copper price volatility, and secondly, like passing on this impact to consumers in timely phase. So, in this quarter, we were not able to completely pass on the impact of higher prices to consumers and that is why our reduction is approx. 4% when I compared to last year, but the same thing reflected our transit in EBIT level also. So, the major difference was at gross margin level only. And at the same time when we are talking about the 8% to 8.5% kind of EBIT level, which we could have achieved in last year also, so at same level we are expecting that in H2 of this year we'll be achieving the same which are normal level for our business, EBIT margins of 8% to 8.5% for wire and cable segment.
Praveen Sah

ay: Without considering any fluctuation in RM prices?
Rajesh Jain: Yes.
Praveen Sahay: Sir, last question is related to the FMEG, because from the last couple of quarters, you are delivering a very strong growth. So, this quarter also this 24% of a growth, if you can highlight, is that more to do with the value growth or the volume growth is also there, and if the volume growth is there, from which segment you are getting this volume growth, if you can highlight the segment as well as geographical mix?
Rajesh Jain: Praveen, in FMEG businesses, it is not exactly you are directly linked with volume growth because you have different, different units be it fan, lights or switches. So, ultimately if you see we have achieved very good growth in fan, appliances and switches. So, majority of the contribution have come in spite of the challenge in like price pressure or price correction in lighting, in spite of that, we were able to achieve this growth of 24%. So, it is mix of like shifting some sales from economic category to premium and mid-premium category which are high margin products and even getting new prices from new product launches what we have done in last year.
Moderator: Our next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.
Rahul Agarwal: Firstly, to start with, did I get the volume growth numbers correct? So, on domestic cable and wire, you said the overall growth was 8.5%. Is that number correct?
Rajesh Jain: No. So, my 8.5% is on H1 versus H1 of previous year, while my domestic volume growth is more than 10% if I just compare quarter-on-quarter basis.
Rahul Agarwal: So, 10% volume growth for India business for the second quarter of fiscal '25?
Rajesh Jain: Yes, yes on YoY.

Rahul Agarwal: And how much was international YoY for second quarter?
Rajesh Jain: YoY we were negative since our last year base was at a little bit higher side due to delay in shipment it is almost negative by 9%.
Rahul Agarwal: One more question I had was that in case we were unable to pass on the price hike, my sense is from a pricing perspective in India, RR Kabel was pretty competitive versus other brands in the quarter. So, despite that the volume growth looks like when we compare it to listed peers, the data what we have right now with us, looks like we are the lowest in that hierarchy and which basically means that you have lost market share. So, if our prices were lower, then we would have done better, right? So, was there a regional divergent in terms of how you performed, another performed, could you elaborate a bit on this.
Rajesh Jain: Rahul, as per my understanding, the impact on pricing was with all competition also. If you see their margins have also reduced in the similar line what we have done. The thing was that since the fluctuation in copper prices were very high and whatever the approach we have to pass on this price in systematic manner with some lag impact to consumers, this time this cycle could not be completed as there were some delays in implementation of new prices or effect of giving new prices. So, there was a reduction at gross margin level, and I think it is similar with my peers also.
Rahul Agarwal: Peers have reported better volume growth. So, I was just concerned with that. Margin, I understand.
Rajesh Jain: I do not have that data, but just if I compare the gross margin level of peers and myself, then there is similar kind of contraction in gross margins.
Rahul Agarwal: One clarification I wanted was in export business. Our margins when we export I think 70:30 is the

mix between wire and cable in exports also. Our margins are better than India or lower than India?

Rajesh Jain: So, again, there are two segment. In wires, the margins are less when I compare with India, but in cables, margins are better in export market when I compare with Indian market. So, it is both way,

in cable it is higher and wire it is less in export market. But since we started our export journey from wire only, so still majority of our export is coming from wire only. But now we are focusing on changing the product mix to have higher profitability and our cable exports are increasing as my capacity is also enhancing and we are getting good demand from the export market, but this is a continuous process.

Moderator: The next question is from the line of Huseain Bharuchwala from Carnelian Capital. Please go ahead.

H Bharuchwala: Sir, just wanted to understand from you, basically your competitor who is the largest player in the segment has said that his growth in the wire segment was 2x that of cables and you have a better mix

of wires compared to cables, right? Your business, your volume should have been better. So, what went wrong in terms of the volume growth, because I understand the margins, but what went wrong in the volume growth? The street was estimating much better numbers when it comes to demand and real estate is in a good cycle. So, ideally your volume growth should have been much higher.

Rajesh Jain: So, what happened like when copper prices were very volatile at the end of Q1 and that impacted the demand of June as well as July and till mid-August. So, at the end of this quarter there were good volume upbeat also, but it's still like the initial first half of this quarter have impacted us to a large extent in terms of wire demand.

H Bharuchwala: My point is volatility in the copper prices we understand, that is completely there, but if your competitors are able to grow much faster in the wires and you are being the leader, so have you lost market share in terms of wires, that is we can basically understand from you market share?

Rajesh Jain: Since we do not have exact data of how much growth in wire and cable, but still we are giving the understanding what you are saying if others have gone higher in wire and we are almost flat in wire. So, by that logic it seems there may be some impact in our market share. But we do not have exact data.

H Bharuchwala: Secondly, sir, on the export side, can you give us some color how it's spanning out in the export market, have we got any approvals or any registration there, how we are seeing the export market, what is the status in Europe, is the demand better in Europe or things are better going forward, can you give us some color on that front?

Rajesh Jain: So, overall, see, we are very strong on the export front. We have more than 42 international product approval, also like our export market is established, we are the largest exporter, as well as almost 25% of my revenue is coming from export. So, in that way we are doing very good. At the same time Europe is my largest export market and due to some delay in shipments, what happens like if it was taking 25 days, now it is taking 35 to 40 days. So, this has delayed some shipments also and even some few parties changed their orders from us to maybe some other suppliers also. So, there was some temporary impact on my wire demand from European market, at the same time like we are in process to get approval of my cable products or some special cables in U.S. market also which is in pipeline and we are expecting that by this quarter end, we'll get those approvals and slowly we'll get additional business from new product lines also.

H Bharuchwala: If you can give us a ballpark figure of your US share in your total exports?

Rajesh Jain: As of now, US is almost 10%, Europe is maybe 50% to 55%, in that way we are very good in developed countries.

H Bharuchwala: Do you think your US will share with time will go up and pricing if I suppose it will be better in US compared to Europe?

Rajesh Jain: It is not about Europe and US, but it is related to product. If we are in cable exports or maybe specializ

ed cable products. So, in the US we are focusing only on high value-added products only, and same way Europe also our focus is increasing the cable segment where we have higher valuations. So, overall we are focusing on how we can increase our sales in high value added products in export market.

H Bharuchwala: But in the domestic market in the overall segment, I think there are a lot of very small players who have also entered in the market. So, do you see heightened competition in the segment when it comes to wires and cables with the new small players, a lot of players have got funding recently, so they are also competing on some of the tenders, so is there something that you're seeing?

Rajesh Jain: So, still as per our understanding like 65% to 70% market is only with organized player and rest is with unorganized. Though over time we have seen very good improvement in market share by an organized player and what we understand that every brand has their own strength like geographical strong presence. So, every company is doing their best and competition will always be there, but we

have our own strategy to expand my sales base and getting higher volumes in wires also in domestic.
H Bharuchwala: And last thing on BharatNet tenders are supposed to get announced, and a lot of your competitors are basically bidding for those BharatNet tenders. So, what I understand is a Rs 50,000 crores sizable opportunity in cables. So, are you bidding for some of those tenders and what are you eyeing in that front, so if you have some color on that?
Rajesh Jain: So, as of now, not on BharatNet, because we have very limited capacity in cable, but still we have already good demand from government as well as private sector. So, we have sufficient demand in current customer base only. As of now we have not participated in those tenders.
Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: Two questions. First is with respect to competition. Now as we have seen in case of margin impact as well, has that continued in the month of October? Is this one-off? Is this a new normal according to you? In terms of the pricing, how do we stack up against the peers in terms of pricing our product -- are we at par, are we at premium compared to the market data? That's my first question.
Rajesh Jain: So, if we see, it seems that Q2 which was extraordinary and one-off only in terms of reduction in profitability, but as a normal practice and based on the historical data also and based on our experience we will always keep on passing this price impact to our consumers in a systematic manner.

Though there will be some lag impact and there may be some impact when we see month-on-month basis, but when we see at longer time origin, then we will always be able to pass on this price. The effect in Q2 especially was like one-time only where all of a sudden the huge volatility we are not able to pass on both the sides like at increase time also and that reduction price time also. So, there was a one-off impact. But otherwise, you see every company has their own brand positioning, brand pricing, so we are at par with competition and the price movement is almost similar for all companies.
Achal Lohade: I missed that guidance. So, you said you are looking for a 15% volume growth for the second half. And what margin guidance you have given sir?
Rajesh Jain: 8% to 8.5% EBIT margins for wire and cable for second half.
Achal Lohade: Does that assume normal pricing scenario, or it assumes a weak pricing scenario compared to competition, the aggressive pricing or anything of that sort?
Rajesh Jain: It is based on current pricing scenario like not very strong or weak, but it is like how industry is behaving currently, it is based on that scenario only we are assuming.
Achal Lohade: With respect to the distribution,

can you help us understand what are our target we're looking at in terms of the distributor and the retail account for FY'25 and FY'26 and what is it currently if you could spell that out?
Rajesh Jain: So, for a distributor and retail level, what we think is that our current bandwidth is sufficient enough to serve my current expansion plan also and growth also. The only thing now we want to increase the depth of my distribution. So, per distributor sale should increase and in that way we are working. At the same time, our focus on retail and electrician is a continuous process and we are working, earlier also, we are always focused like we have more than 1.25 lakhs retailers or maybe more than 4.5 lakhs electricians in our loyalty management program. So, that focus will continue to be there. The only thing on my distribution level is now we are focusing on increasing the depth.
Achal Lohade: Do you think the breadth is already there? We want to have more extraction out of this current setup in terms of the sales support. Is that right now?
Rajesh Jain: Yes, yes, exactly right.
Achal Lohade: Capacity utilization for cables and wires for the second quarter.
Rajesh Jain: It was similar to last time only like almost 90% to 95% in cable and 65% to 70% in wire.

Moderator: Our next question is from the line of Venkat Samala from DSP Investment Managers. Please go ahead.
Venkat Samala: Earlier, you used to guide for 20% volume growth for us for the full year, right? Now, we're talking about recovery in H2, but still we're talking about only 15% growth, right? So, what has led to some moderation in our guidance versus the earlier expectation?
Rajesh Jain: So, when I see the current H1 growth and some impact on my export market also, so like overnight, I don't want to overcommit that our growth will be something, when we have achieved a growth of 8% then what we see 15% is quite a moderate growth and first we want to achieve this only and then we'll see how market moves ahead.
Venkat Samala: So, the impact essentially is on the export side but since earlier expectation. Domestic side, you don't see a challenge?
Rajesh Jain: No, see competition is there, always it will be there, but even 15% is a good growth, though it is below our earlier guidance, but first we want to achieve this figure and then we'll see.
Venkat Samala: That I understand. I am just saying versus the earlier expectation, domestic has changed or export?

Rajesh Jain: Export has changed like as you have seen like we had degrown in this quarter in export market. So, ultimately it will have some impact in my export growth. Domestically, things have not changed that much.
Venkat Samala: In response to your previous question, you did mention losing out for some of your orders to another vendor. Can you elaborate that?
Rajesh Jain: So, what happened like earlier what we were making export to Europe, like they were taking regularly from us, but when there were delays in shipment, so they might have some purchased some quantity from Turkey or similar places which are very nearby to them. So, in that way we might have lost some order.
Venkat Samala: Is it to an Indian guy or somebody else?
Rajesh Jain: I am saying Turkey because Turkey, see, their transit time is hardly 7-8 days while it is taking almost 35 days from here. So, in that case some of my orders, since there were delay in shipment, some customers might have shifted some orders to Turkey, nearby country there.
Moderator: Our next question is from the line of Amol Rao from One Up Financial Consultant. Please go ahead.

Amol Rao: Would you be kind enough to tell us what could be the possible quantum of any inventory loss that we may have had, I mean just because of the quarter ending copper price, not cash loss, what is the notional loss that we could have incurred, because this ev

ens out over the course of the next few quarters, just to get a sense?
Rajesh Jain: No, it is not always possible to quantify that inventory loss because what happens here, price is moving on like fortnightly or monthly basis or sometimes even weekly basis also it keeps changing. But yes, if we see from a notional level, there may be some impact, but again this you cannot predict that for going basis also it will be in the similar fashion. So, since there were like very high volatility when I compare with just H1 of this year or even Q2 of this year, so there may be some impact that some prices we could not pass on to whatever price we were having inventory and could not be passed on and converted into sales. So, there may be some impact of say 15, 20 crores in this quarter.
Amol Rao: That limits to 15, 20 crores. Just wanted to get a sense how much because copper volatility it's been very rare to see such volatility, it does not happen very frequently in the last 10-years.
Rajesh Jain: Yes.
Amol Rao: Just curious on the profitability sides. Even though our FMEG sales the losses have narrowed, so you attributed it to a product mix change. So, what products did we favor this quarter that we got that we reduced the cash burn in this quarter?
Rajesh Jain: If you see even within fan or maybe other products or so, now what we are doing is that we are focusing to have increased sales of premium and mid premium category products. So, like always economic category have limited profits or higher competitions. So, now we are focusing that how we can achieve higher valuation by focusing on premium and mid-premium category products or new products what we are launching in market, even like if you see lights have higher volatility in pricing also. But in this quarter also though it is offseason for fan product but still we could manage good growth in fan also. So, in that way, it is like improving my gross margins and reducing the losses.
Amol Rao: I mean this product optimization, obviously, we're going to take a tactical call every quarter, but you see this to be a trend over the next few years that we are more towards the mid-premium and premium side rather than the economy side, what I am trying to ask is, will economy still continue to be a big chunk of our FMEG thing because we need to have a wholesome product?
Rajesh Jain: So, see one thing is for sure, in FMEG, you have to focus on all the categories. If you have to make higher growth, then you have to focus on economy category also. But at the same time, if you have to become a premium consumer brand, then we have to add a few products in premium or mid-premium category also. So, it will be always a mixed approach that at one side we will always focus to have increased sales of premium, mid-premium category, at the same time to spread my market

and to have a higher presence in market we will have focus on mass sales also. So, it will be always like having good approach or equal approach on both sides.
Amol Rao: Sir, just to take that question, one step forward, sir. We have got a decent size and we have guided towards a break even in FY'26 in the FMEG business. Is it safe to assume that 1,500 crores of annual run rate would see the cash burn end? At that level we stopped burning cash because then our product portfolio is quite mature, it covers all the categories and we are making enough money to cover up everything, all our expenses, Rs 1,500 crores.
Rajesh Jain: So, we are expecting to achieve that one much before that like Rs 1,100 crores of level of top line EBIT level break even.
Moderator: Our next question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.
Rahul Agarwal: I think I got dropped off when I was asking a question last time, Sir. one question was on the status of capacity expansion. If you could explain product wise what's really happening on

the cable and
wire side, how is that shaping up?
Rajesh Jain: So, like what we explained is that we are doubling our power cable capacity, and at the same time, we are also increasing almost 20% to 25% our wire capacity. We are on track to enhance this capacity, and this CAPEX cycle major part will be completed by end of this financial year and few machineries are already operational out of that. So, it will be an ongoing process that whatever capacity we are enhancing, this will help us to achieve the growth of next two years.
Rahul Agarwal: What I wanted to know is a bit more specific in terms of we were planning to launch power cables both for export markets as well as for Indian markets. So, has that already started?
Rajesh Jain: No, no. Few capacities have increased but still the major part of power cable will start in April '25 only.
Rahul Agarwal: Most of the October month is over, but copper has been acting funny, I don't think it's pretty stable even in this month. How are you seeing the channel behave for this month, any color?
Rajesh Jain: So, like this month is at a normal level. So, what we have seen is very good demand in September or very poor demand in July or June, but this is a normal month in terms of demand, even at copper price though we have seen volatility on day-to-day basis but on monthly average if you see like copper prices are almost 3% up than September level. So, in that way it is like a normal month for us.
Rahul Agarwal: Which means that we are better off from September to October is we are better off?

Rajesh Jain: No, no. As I told, September was really a good month for us in terms of volume and that could make whatever we could not do in the month of July or till mid-August also, but at the same time, if we see on average basis, yes, we are doing better than previous quarters.
Moderator: Our next question is from the line of Tanay Shah from the DAM Capital. Please go ahead.
Tanay Shah: I just wanted to understand as to the guidance which we are reiterating for FY'25. How is the demand which we're kind of looking at it like what is the demand outlook -
Rajesh Jain: Can you speak a bit loudly, please. Can you repeat?
Tanay Shah: So, I just wanted to understand, given that H1 has relatively been weak versus our expectation, how are we kind of expecting the demand outlook for H2, because the ask is fairly high for H2? And similarly, apart from the demand, how are we seeing the RM price volatility kind of fairing out for us because even the margin ask per se for the EBIT margin is fairly high, so sir, if you could just guide on that, it would be great?
Rajesh Jain: First, you have to see historically also or traditionally also, H2 is always better than H1. In this industry what happens like majority of the products or real estate projects also get executed in H2 at much higher volume in compared to H1. So, one is that reason. And secondly, even when we are talking about margin improvement, what we are thinking is what we have achieved in last year like our EBIT margins for wire, cable in the range of 8.4%, so we are expecting that range only. So, like we are on back to normal situation where we could achieve whatever margins we were historically achieving. So, we are not forecasting any much, much improved version of higher targets. These are in line with our trend and industry figures only.
Tanay Shah: So, while it's obviously is in line with what we kind of achieved last year, but given the other volatility which we've kind of seen and obviously the increased competitive intensity as well, so is there any improvement in that front as to where we believe that this can kind of normalize going forward into the second half?
Rajesh Jain: As per our industry, the impact in Q2 was abnormal. If you see normally there is always a price fluctuation of volatility and there was a good system also to pass on thi

s price impact in a systematic
manner by changing your sales side and passing on this price impact to our consumers. The only thing is in this quarter we could not pass on that impact completely because there were high volatility and with a very small span of time, there were both high movement. So, that is one of the things. Otherwise, this normal price movement will always be there, and we will always pass on this impact to our consumers so that will not impact my gross margins.
Moderator: The next question is from the line of Naushad Chaudhary from Birla. Please go ahead.

N Chaudhary: A couple of clarifications. So, firstly on the margin side, if I look at the nature of the business, one or two quarters here and there is fine, but if I look at your number from that -.
Rajesh Jain: I think I am not getting exactly. Can you repeat?
N Chaudhary: So, firstly, on the margin side, sir, see, one or two quarters volatility here and there is fine, but from last 5-6 quarters consistently we are losing margin and given the nature of the business, we have not experienced this kind of consistent decline in one direction of the margin. So, is there anything else which we should understand from the business or mixed point of view or is there any unfavorable contract which is sitting in our book which is impacting this margin, help us understand it more, what exactly is there, apart from the raw material volatility which we are not able to understand with this

consistency in the margin decline?
Rajesh Jain: So, here I would like to clarify one thing that we are not in a long-term contract kind of business and majority of our business is since it is more B2C, so the current prices only impact or whatever long-term orders we have is that all are having (PV) Price Variation clause. So, frankly the major impact is due to price volatility and the time gap between my purchase or my stock cost versus passing on the prices impact to consumers. When we compare on a quarter-on-quarter basis, there are some variation but if you see on a yearly basis like last year we have seen improvement of margins by almost 140 bps in my wire and cable segment. So, this year again the first half of this year was one off our normal figure, but again second half we are having target of getting that normal EBIT level or margin level only. So, we are on track on that and there is no impact other than what the volatility -
N Chaudhary: I understand that sir. Help us understand in terms of your overall length of the contract which you signed, what percentage of your business comes from the contractual business and how often you change the price?
Rajesh Jain: So, hardly 5% to 10% my business comes with that kind of long-term contract business and there also we have like 100% businesses with PV clause only. So, PV means last month raw material prices, it keeps changing on every next month supply. So, we do not have any fixed term contract either for three months, six months or one year.
N Chaudhary: No, but see nature of our export business it takes 35 days to deliver the product, so somebody has to agree on some price, if you are making the product, you're taking 15, 20 days, then 35 days to deliver the product, so in a way directly or indirectly way we get into 45 to 50 days of the contract, right?
Rajesh Jain: Yes, yes. So, this is a very good question by you. But just let me explain in export, our prices are very transparent. At the time of placing orders like three things are variable, copper price, PVC price and freight, while my conversion profitability is fixed. So, whenever they are placing the order, they

place their order either on a monthly average basis or some average or some days average and whatever basis they are placing the order on me I also cover back-to-back on my purchase side also. So, my export business has zero risk in t

erms of price volatility as well as FOREX fluctuation also.
Both end we are quite secure. I hope this will answer your query.
N Chaudhary: I'll take it offline. I'll just have one other question to clarify. In terms of your overall copper procurement policy, if you can help us understand what percentage of the requirement you import and why do we import it, is it because the price difference or availability and do we hedge this position, overall, help us understand your procurement policy?
Rajesh Jain: Yes, just I will answer briefly, maybe in detail we can later also. But right now what I can say you that like almost 30% of my copper procurement we are importing and the reason being since I am exporting also and my exports are covered under advanced authorization scheme where I can import duty-free material. So, that is good way to compensate my import and export balancing.
N Chaudhary: We have reduced our growth guidance, and we are giving some reasoning to the export market. So, can we be a bit more specific here when we were giving 20% growth guidance, what was the thought process there and what has exactly changed here to reduce our growth guidance?
Rajesh Jain: See, historically also, always we were in the range of 20%. This first H1 was one-off and where we could not achieve, and the major reason was export only. That's why we are just moderating for this half of our guidance and later we will see how things move. So, since we are meeting every quarter, so we'll keep updating you about it.
N Chaudhary: Yes, I take that point, sir, but if you can be more specific what exactly is changing there in the export market, Is there overall slowdown you are experiencing in the -?
Rajesh Jain: So, I think I have already answered this question that there is no slowdown but some impact due to delay in shipment, there were some orders shifted and due to this shipping time changes, there is some impact, but it is not a permanent kind of impact, still our business, demand is good and there is good presence of our brand all over Europe, and particularly in more than 85 countries. The good thing is that we export our products in our own brand, which is again a very big achievement for us.
N Chaudhary: So, is it because of the high volatility in the copper prices and nobody wants to take 35 days open exposure in the copper, that's why they are preparing a nearby supplier?
Rajesh Jain: No, I think that's not the reason, but they don't want to have that kind of material in transit. See, when they are getting at 8 days transit time then why will they wait for 35 to 40 days. So, this is just time-being, otherwise normally like -

N Chaudhary: But this was the case earlier also, sir, right?
Rajesh Jain: There was like gap of two week only earlier like 8 days versus 25 days, now it is 8 days versus 35 to 40 days and plus, if you have seen like freight cost were also very high and since this cost is variable, so everything they were bearing. So, that was also one of the reasons.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.
Shrinidhi Karlekar: Sir, you said 10% volume growth in the domestic cable and wire business. Would it be possible to further break down in how wire has grown, now cable has grown?
Rajesh Jain: It's still like in domestic also we have grown at much higher pace in cable compared to cable wire. So, in domestic, our wire business has grown by 2% only while cable business has grown by 36% and I am talking this about on YoY basis for Q2.
Shrinidhi Karlekar: Sir, 2% volume growth particularly looks not only on an absolute basis, but very weak compared to on a relative basis compared to some of your peers. So, anything that happened like why your growth rate was just 2% in the domestic wire business particularly given there was a lot of stocking that happened in the channel because copper wa

s inflationary towards the end of September?
Rajesh Jain: So, we had a high impact of lower demand in the month of July and mid of August. So, like my first 45 days or first half of this quarter was very badly impacted. Though we could make good progress in the last month of this quarter like in September, but still like it was much lower than our expectation.
Shrinidhi Karlekar: May I ask a second question which is on the margin front. So, do you get to track your contribution margins and the EBIT margins by product category, like how much is the domestic wire, how much is domestic cable, how much is exports cable like you do you get to track that like separately both at contribution level and EBIT level?
Rajesh Jain: So, to some extent, we have our MIS system where we track these margins and whatever impact we have seen in this quarter mainly in reduction in my gross margins at wire level in domestic. So, that was the big reason of sharp fall in our margins.
Shrinidhi Karlekar: There is 400 basis points kind of a reduction. How much would you say is basically underlying margin decline at this wire segment and how much is actually related to the cable business growing faster than wire which actually comes at lower margins, is it possible to break down in mix versus underlying decline?

Rajesh Jain: Not in that way, but what I can say when we see 4% reduction in gross margin and this was again mix of both the things. One, we were not able to pass on the increased price. So, then maybe I can say 1.5%, 2% impact on that side, at the same time since my copper prices have also increased, so for example if prices have increased by 4% and I was able to pass on 2% only and there was time impact also. So, the major impact was in wire only and of course cable also there but cable was not that much impacted because there again the effect was to the extent of orders what we were having in hand only.
Moderator: The next question is from the line of Raman KV from Sequent Investments. Please go ahead.
Raman KV: Sir, can you give the volume guidance for the FMEG business?
Rajesh Jain: So, in FMEG, volume is very tough because all three lines like switch, lights or fan have different kind of units. But still when we talk about like 20-25% kind of revenue growth we are expecting in FMEG business.
Raman KV: In next quarter or in the next half?
Rajesh Jain: In next half also.
Raman KV: What is the CAPEX you're planning to do in Q3 or in H2?
Rajesh Jain: So, overall, our CAPEX plan was of Rs.500 crores, which was spread over two years, which is like FY'24 and FY'25. Since we are executing CAPEX only, this will be completed by March '25. So, this is like an ongoing CAPEX plan. So, particularly for this quarter or half, it is not separate CAPEX plan, but whatever we are executing is part of our master CAPEX plan only.
Moderator: In the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments.
Management: Thank you, everyone for joining this call. We appreciate your participation. If you have any questions or queries, please feel free to reach out to us directly or contact Orient Capital. Look forward to connecting with you again next quarter. Thank you. Once again, I wish you Happy Diwali, Happy New Year.
Rajesh Jain: Happy Diwali to everyone and thanks for joining the call.
Moderator: On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

1 February 2025

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 29 January 2025.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 29 January 2025 in relation to the financial results of the Company for the quarter and nine months ended on 31 December 2024.

Kindly take the same on your record.

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

“R R Kabel Limited
Q3 FY '25 Earnings Conference Call”
January 29, 2025

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF FINANCIAL OFFICER – R R KABEL LIMITED

MODERATOR : MR. RONAK JAIN – ORIENT CAPITAL INVESTOR RELATIONS

R R Kabel Limited
January 29, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of R R Kabel Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.
I now hand the conference over to Mr. Ronak Jain from Orient Capital, their investor Relations. Thank you, and over to you.
Ronak Jain: Thank you, Steve. Good afternoon, everyone. On behalf of R R Kabel Limited, I extend a very warm welcome to all participants on Q3 FY '25 earnings conference call of R R Kabel Limited. Today on this call, we have Mr. Shreegopal Kabra Sir, Managing Director; and Mr. Rajesh Jain, Chief Financial Officer.
Before we begin this call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinions and expectations as of today. These statements are not guarantees for our future performance and involve unforeseen risks and uncertainties.
With this, I hand over the call to Shreegopal Kabra Sir. Over to you, sir. Thank you.
Shreegopal Kabra: Good afternoon. On behalf of R R Kabel Limited, I extend a warm welcome to all participants on our Q3 FY '25 financial results conference call. I am joined today along with our CFO, Mr. Rajesh Jain. Despite navigating through a challenging macroeconomic environment, characterized by slowdown in the economy, political transitions and volatile commodity prices, we are pleased to announce our highest ever revenue for the nine-month period FY '25. This achievement is a testament to the strength of our business model and our ability to adapt to dynamic market conditions.
Our cable and wire segment demonstrated moderate volume growth on a nine-month FY '25 basis, supported by steady demand fundamentals, especially in cables business. Additionally, our FMEG segment continued its impressive trajectory, delivering a robust revenue growth of approximately 25% during this period. This growth was driven by strong volume performance and improved product mix and leadership in key categories, such as fans, reinforcing our position as one of the fastest-growing players in this space. We remain committed to achieving breakeven in FMEG business by early FY '26.
Despite the uncertainties in the external environment, the demand for cables and wire remains resilient. To capitalize on this demand, we continue to undertake several strategic initiatives, including capacity expansion, the introduction of high-margin products, new launches and the ongoing expansions of our distribution network. These initiatives are progressing as planned and are aligned with our long-term strategy to enhance growth and profitability.

Looking ahead, we are focused on achieving double-digit EBITDA margins in the coming years. Our efforts remain centered on strengthening our operational efficiencies, enhancing our product portfolio and delivering sustainable value to all stakeholders.
With that, I would like to hand over the call to our CFO, Mr. Rajesh Jain, to take this discussion forward. Rajesh, over to you.
Rajesh Jain: Good afternoon, everyone. Thank you for joining us on this earnings call. As we reflect on Q3 FY '25, I would like to share some insights into the factors influencing our performance and our outlook for the remaining of the fiscal year.
India's GDP growth moderated in Q2 FY '25 compared to Q1, and this deceleration had varying impact across sectors. Moreover, the sector faced added pressure from copper price volatility, a key determinant of material costs.
On the export front, the environment remained challenging during nine

months FY '25. Weak economic conditions, shipment delays and logistical disruption, exacerbated by geopolitical factors like the Red Sea crisis, adversely affected export demand during the period.
Despite this, the export revenue saw an increase of 11% Y-o-Y in Q3. Additionally, we have been actively working on securing new certifications to strengthen our position in global markets and ensure readiness for future opportunities.
Domestically, despite slowdown in the economy, we have seen 6% growth Y-o-Y in Q3.
Looking ahead, we anticipate a significant boost in infrastructure and housing activity driven by higher government spending, positioning us for a robust recovery in coming quarters.
Now talking on the financials and operating highlights of Q3 FY '25. In Q3 FY '25, revenue

reached to INR 1,782 crores, reflecting a 9.1% year-on-year growth. This performance was supported by growth in both wires and cables and FMEG segment. On a nine-month FY '25 basis, revenue grew by approx. 12%, achieving our highest ever revenue of INR 5,400 crores compared to the same period last year.
Operating EBITDA for the quarter stood at INR 111 crores, while profit after tax amounted to INR 68.6 crores. The marginal reduction in EBITDA and PAT was primarily due to impact of volatile price -- commodity prices in the first half of FY '25. However, this was a temporary phenomenon, and sequential growth in margins indicated a stabilizing trend.
Segment-wise performance in the wire and cable business recorded a revenue of INR 1,543 crores in Q3 FY '25, up from INR 1,433 crores in Q3 FY '24, making a y-o-y growth of approx. 8%. On a nine-month FY '25 basis, the segment achieved a revenue of INR 4,732 crores, a growth of approx. 10% compared to INR 4,306 crores in nine months FY '24.
Revenue growth was driven by improved realization along with strong growth in cable business. The segment profit stood at 7%, although the same is lower y-o-y due to volatile metal prices.

Margins improved sequentially, reflecting our focus on cost management and operational efficiency.
In the export market, which contributed around 27% of our total revenue in Q3 FY '25, resilience was evident despite some headwinds. Efforts to enhance our global presence have positioned us well to capitalize on future opportunities. Domestically, strong demand, especially in cable and ongoing strategic initiatives continue to support growth, and we remain confident in achieving sustained progress as we move forward.
Guidance, if you see about wire and cable, given the high volatility in copper prices during the first half of FY '25 and the subsequent softening observed in recent months, we are gradually getting back on track. The improved stability in commodity prices have provided some relief, and we are optimistic about future margin improvements.
We continue to anticipate a volume growth of approx. 15% in the last quarter, which should help us to achieve an overall volume growth in the range of 10% to 12% for FY '25. In Q3 FY '25, our segment profit in the wire and cable showed sequential improvement, and we remain confident in achieving a margin in the range of approx. 8% in the last quarter.
For the nine-month FY '25 period, our margin stood at approximately 6.4%, reflecting the challenges earlier in the year. On the export front, looking to improvement in business scenario, we expect that our export growth will be on normal track, backed with additional certifications. Further, with favourable changes in the product mix and additional capacity building, we are confident of growth and margin improvement. In the FMEG business segment, we achieved a robust revenue of approx. INR 240 crores in Q3 FY '25, continuing to deliver consistent growth in the range of 20% to 25% on quarterly basis.
For the nine months FY '25 period, we recorded a revenue growth of approx. 25% c

ompared to
nine months FY '24. This impressive performance was primarily driven by strong volume growth in fans, which remained the largest contributor of our segment revenue, followed by growth in appliances and switches.
On segment margin, we saw a remarkable improvement depicting reduction in losses significantly, both year-on-year and sequentially, supported by operational cost savings and a slight increase in contribution from an optimized product mix and volume growth. This accomplishment have solidified our standing as a key growth leader in the FMEG segment, and we remain dedicated to maintaining this momentum in the future.
Additionally, we have successfully maintained our working capital days broadly in the range of 60 to 65 days as of December 31, 2024, further underscoring our commitment to sound financial management and operational efficiency.
The current capex cycle continues to remain on track. Further, the company plans to incur approx. 1200 crores capex over the period of next three years. This will help the company to

boost its top line by another INR 4,000 crores to INR 4,500 crores annually. Beyond capex, our strategic priorities continue to progress well in Q3 of FY '25.
Additionally, we are on track to increase our revenue contribution from the cable segment from

30% to 35%. This initiative positions us for sustained growth and enhanced market presence in the coming quarters.
Our FMEG segment is progressing well with continuous initiatives, including new product launches, premiumization and expanding geographical reach. These measures are designed to bring us closer to breakeven in the near future. While we are navigating through some short-term challenges, we remain confident that these strategic actions will foster long-term growth and profitability.
With this overview, I would now like to open the floor for questions. Thank you for your attention and continued support.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Praveen Sahay from PL Capital.
Praveen Sahay: The first question is related to the guidance you had given 15% of a volume growth for Q4 and so as for a year 10% to 12%. So how is the volume growth in the 9 months? Is it in the single digit? So 10% to 12% for the entire year is achievable with a 15% growth in the fourth quarter?
Rajesh Jain: Yes. So if you see on a 9-month basis, our volume growth is around 6%. And if we achieve this, our volume growth of 15% in Q4,we would be in that range.
Praveen Sahay: Okay. And in this related to that 15% of volume growth, are you seeing any kind of a traction, especially in your majority segment, which is the wire?
Rajesh Jain: Yes. So off late, at the end of Q3 and even at the beginning of Q4, we have seen good demand in wire. So earlier in Q3, like channel was also not taking so much stock, so channel was very light at that time. And now inventory is building up and we are getting good demand in Q4 also.
So we seems other than cable where already we have very good demand, even wire segment will also see good growth in Q4.
Praveen Sahay: Okay. And can you give the capex number for 9 months and then this '25 and '26 expected?
Rajesh Jain: So, if you see overall capex plan, which was planned till FY '25, which was INR 500 crores spread in the last 2 years, so it is on track like some of the capacity were added in Q3 also, especially in power cable. And now going ahead also, the majority of the capex will get completed by March '25 and a few like capacity will be added out of this capex by September '25 also.
Praveen Sahay: So our contribution of cable has increased, because of this capacity expansion?

Rajesh Jain: We will get only part of this year only, this added capacity was available for partly in this ye

ar
only. But if you see on a quarterly basis, of course, our contribution from cable is increasing.
And as you have already seen that our cable growth is like almost 20%.
Praveen Sahay: 20% for this quarter or 9-month, how is that?
Rajesh Jain: On nine-month basis, our volume growth is almost 20% in cable.
Praveen Sahay: Okay. And on the export, as you had mentioned, shipment delay and Red Sea crisis, all led to the impact in the export. How you are seeing in the export business right now? Is that, it started picking up and these prices has somewhere subside?
Rajesh Jain: Yes. So already now, like prices have come down, logistic prices also. And even from demand point of view, like now at the end of Q3, we have seen a good demand in export segment also.
So now it will be on normal track sequentially in Q4 and onwards.
Praveen Sahay: Okay. How is the Q3 for export?
Rajesh Jain: So Q3, again, since our major part of exports go to Europe and normally due to this December end leaves in Europe, so there was less shipment. And traditionally also, it is always less shipment in the October and November months. So now export has picked up in the month of December onwards.
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management.
Rahul Agarwal: Congratulations for recovery in margins. Sir, one question was, I just wanted to hear your thoughts on what is really happening on wire, both in India and exports. So you explained a bit in the earlier question, but just wanted to be more specific, what should we expect in terms of revenue run rates for exports and in India for wires over the next three to six months? Could you just help us understand that, please?
Rajesh Jain: Thanks, Rahul. So as you have seen that though there were challenges and situation was different, but our growth in terms of revenue and volume were almost similar in both the markets, export and domestic as well. Now going forward, as I explained now like, our channel is also picking up the demand and looking to the positive momentum in copper prices also. We are seeing good growth at least at the end of Q3 and at the beginning of Q4 as well.
So it seems now like whatever there was a degrowth in the first half of the year or even in export also due to other challenges, now it will be on the track and we will -- what like, planning we

have made up for 15% volume growth is achievable by focusing or by having growth from both
the segments, be it domestic or export.
Rahul Agarwal: And export specifically, could you help us understand more as in apart from Europe, what else are we doing? What should be the quarterly run rate?

Rajesh Jain: So in export, the good part is that we have gained some of very good orders in the cable segment and in the future also, like our focus is more on exports of cable where we have comparatively
higher margins. And whatever like developments we have made in this first 9 months also and
now also, we are in the process of getting a few certifications from Europe as well as U.S. also,
which will give this additional growth.
Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.
Achal Lohade: Sir, if you could just give specific a sense about the volume growth for the nine months in terms of domestic cable growth and domestic wires growth, please -- volume growth?
Rajesh Jain: Sure. So our -- like on nine months versus nine months, our total growth is around 5%, where cable is 20% and wire is negative in the range of 3%. But when we see in terms of export and
domestic, then like wire in domestic and export, both were impacted by almost negative 9%,
while cable have grown in domestic, it is 18% and in export, it is 7%.
Achal Lohade: Sorry, in wire, the export is minus 9%. Is that, sir, y-o-y for nine months volume?
Rajesh Jain: Yes.
Achal Lohade: Okay. And domestic, h

ow much did you say, sir? I didn't follow that.
Rajesh Jain: It is minus 1.9%.
Achal Lohade: Minus 1.9%. Yes, yes. And domestic also similar number, domestic would be more?
Rajesh Jain: Domestic is almost 10%.
Achal Lohade: Minus 10%. Is that sir? Okay. So is that the industry trend according to you? Or is there any specific reason for us to have a lower domestic wires volume growth?
Rajesh Jain: No. So as I explained earlier, in domestic, of course, when we are comparing on nine months versus nine months, the major impact was in the first half of this year only.
Achal Lohade: Right. Fair point. So you think basically, the industry would be flattish, would have also seen a decline or would have seen some growth? I'm just trying to figure that out in your estimate?
Rajesh Jain: Sorry, can you just come back again?
Achal Lohade: For the industry, for the wires industry, the volumes will be flat, would have seen some growth or would have seen also a decline for nine months?
Rajesh Jain: For nine months, like it seems industry had also pressure in the wire growth and cable was doing good, though we do not have exact breakup from peers also as publicly figures are not available.
But still what we understand based on our input and channel, say, that it seems wire was like
almost having less growth in compared to cable.

Achal Lohade: Understood. And help us understand in terms of the cables, the capacity, where are we in terms of addition? You said there will be some capacity which will come by March and some will
come by September. So what is the potential revenue of cables out of these two and existing
capacities put together?
Rajesh Jain: So, what happened like this capex, what we have done like have potential to have a further
growth of around INR 2,500 crores. But since this will be like on -- like, sequential growth will
be there. So this capex will help us to meet the additional growth demand of FY '26 and '27.
Achal Lohade: Understood. And the next round of capex, I was a bit confused. You said INR 1,200 crores over next 3 years. Is that so?
Rajesh Jain: Yes.
Achal Lohade: Which these 3 years, sir? Sir, is it '26, '27, '28 or '25 '26, '27?
Rajesh Jain: '26, '27, 28, because see, what capex already we have done, it will be get completed by March
'25. So, what capex I'm narrating is INR 1,200 crores is for next three years, it is starting from
April '25 onwards.
Achal Lohade: Understood. And can you be a little bit more specific, sir, on this INR 1,200 crores? Where is it going to spend in terms of location and in terms of which category?
Rajesh Jain: So this will be like brownfield project in the existing facility at Waghodia, which is near
Vadodara. And majority of this export will be in cable only, because since still our share in cable

is very less and we have a high potential growth area also. So -- and it will be like balanced with wire, growth in wire as well to have sequential growth over year-on-year. So majority of my capex will be focused on cable only.
Achal Lohade: So is it fair to say like 70%, 80% of this...
Rajesh Jain: Almost 80% will go in the cable.
Achal Lohade: So almost INR1,000 crores, and that would give what, incremental INR 5,000 crores of revenue?
Rajesh Jain: No, no. On a consolidated basis, it will be in the range of INR 4,000 crores to INR 4,500 crores, because majority of the cable wire as per thumb rule, you can expect a return of capex of 3x to 3.5x only.
Achal Lohade: 3x to 3.5x. Understood.
Rajesh Jain: For cable.
Achal Lohade: Understood.

Rajesh Jain: Just I would like to clarify on volumes, because I mentioned the figures on Y-o-Y basis. So like -- just to clarify the volume growth on nine-month versus nine-month basis, my domestic wire was almost flat, while cable grew by 21%. And export wire was like negative by 5.6%, while

cable was 18.5%.
Achal Lohade: Understood. Sir, last question, if I may, with respect to the exports. Can you help us understand in terms of particularly to U.S., how large is for us U.S. market out of the total export? And in terms of the SKUs, whatever U.S. imports do we have all the capability, certifications, what percentage of their imports we are entitled for or eligible for?
Rajesh Jain: So as of now, almost 10% of my revenue is coming from U.S. And in this quarter, like we have in the process, almost we have received the certification of one and two products. But to get that streamlined, I think by next quarter, we will start another new products in U.S. market. So there -- in this quarter, we may not see a huge growth in U.S. exports, but from next year onwards, we can see good improvement in our export basis.
Achal Lohade: Understood. Just to drill on this. Who do we compete here, which country? And what advantage or disadvantage we are against the other exporters in terms of percentage of the value?
Rajesh Jain: So, every market has different competition like, in Europe, we have competition from Turkey, while in U.S., still China is the largest supplier of cable, though now the tax and import duties are not favourable to them also. But right now, it seems, India still have a lot of export potential, and we are at very small contributor in overall exports at the international level. So we have good scope to improve, particularly in U.S. and Europe.
Achal Lohade: Got it. And just to clarify, 10% of export revenue is from U.S. or 10% of total revenue is from U.S.?
Rajesh Jain: Total export only.
Achal Lohade: Okay. Europe is the largest. Got it.
Rajesh Jain: Europe is like more than 50%.
Moderator: The next question is from the line of Natasha Jain from PhillipCapital.
Natasha Jain: Sir, my first question is on the export mix. So out of the 20% -- 27% of your exports, how much is wires and how much is cables currently?
Rajesh Jain: So it's like 70:30 ratio of 27%. So what happens like at an overall basis also, our wire and cable ratio is 70:30, now which is moving towards like improvement in cable, which is moving by 1% or 2% every quarter. And in export also, we are almost maintaining the same ratio.
Natasha Jain: Understood, sir. So when you say 1% or 2% every quarter, next year -- next financial year, when your cable capacities come up, can we expect this shift to move to at least 60-40 in terms of exports?

Rajesh Jain: That maybe 35:65.
Natasha Jain: All right. So your 35 of your export would be your cable exports?
Rajesh Jain: Yes. And similar, we are expecting in domestic as well. So I'm saying even at company level, we try to improve our cable sales ratio, and it may now -- by next year end, it may be in the range of 65:35.
Natasha Jain: Got it. Sir, and a question on wires again. So wires, what I understand is, at least at an Indian industry level, there is overcapacity for wires. Now I want to understand, is this market a very

brand-conscious market? Because otherwise, scaling up of capacities is very easy for wires. So having said that, do you see any near-term risk for wires as a product category?

Rajesh Jain: So good part about Indian wire market that, is that, this is like, now it is directly B2C category product where people care about brand, quality and it is like B2C category. And like day by day, the organized sector is getting more market share. Of course, competition will always be there, and -- but it is more about how you build your brand, how you generate or get full factor in market. So it is all about marketing efforts as well as focus on your quality.

And even when we see like of late, we have seen that after this GST or demonetization, we have seen that day-by-day organized share is increasing. So it's all about the big brands or all the top peers, how they achieve or how they impro

ve their market share.

Natasha Jain: Got it, sir. And sir, you mentioned in your opening comments about the governmental capex slowdown, which is obviously there. So I want to understand, can that pose a near-term risk for us or in fact, for the industry? Because a lot of cables capacity will come live in calendar '25. So any slowdown in governmental capex and then a slowdown in power distribution and then a slowdown in cables, do you see that as a risk in, in say, the next one-year time frame?

Rajesh Jain: So what I consider that, is that, decrease in government spending was temporary. Because if India has to focus on growth or if we have to build infrastructure, then government has to focus on spending and they have to increase the spending. We may wait for sometimes how government declaring budget also.

But as fundamentally, I believe that there will always be a good scope of improvement in infrastructure investment and therefore, wire and cable demand will always be there. And even whatever additional capacity we see it is in the building, still there will be more demand in terms of export market as well as India is spending on infrastructure building.

Natasha Jain: So it's safe to say that the capacities that are coming live will still be short in terms of what the demand for cables is?

Rajesh Jain: At least for next three-four years, it seems like there will be short of supply only.

Natasha Jain: Got it. And sir, last question, if I may. You mentioned about the Red Sea crisis, which affected your exports. So has that kind of eased down now? And what about the freight charges? Has that also softened?

Rajesh Jain: So freight charge, of course, they have softened, and we have seen like a reduction in freight to Europe as well as USA also. Yes, the Red Sea crisis also, to some extent, it has eased up, and there are some delays, but now it is not extraordinary delays and things -- or people have also adjusted the delays in their shipping requirements.

Moderator: The next question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Sir, since over the last one-one and a half years, we have been targeting to scale up our presence into weaker or probably into newer geographies. And we believe like this should have resulted into better than industry growth rate, especially in the wires. wires, we do understand that there have been underlying demand challenges.

But ideally, we should have outperformed the industry and probably the geographical strength that we were looking to build, that's not visible in the numbers. So can you throw some light like where are we lagging probably, what's actually offsetting this growth? That's my first question, sir.

Rajesh Jain: Yes, I can understand. Of course, there is like we have grown lesser than industry pace also, and there were challenges. It doesn't mean that we were not having efforts towards that. But like the copper price volatility has affected more in compared to other industry players in the first half of this year, and that's why we have seen lesser growth.

But on the basis of fundamentals where we are working, first, we are like best in quality in terms of like we are the only company in REACH and RoHS compliance. Same way, even our loyalty managed program is the largest in the industry. So there are some short-term impact, but as a fundamentally, still we are confident that we'll do better than industry average.

Manoj Gori: Sir, I will ask it a bit differently. So probably last one and a half years, can you throw some light like which are the new geographies that you have ventured into and how things are progressing over there?

Rajesh Jain: So if you see our current strength, like we are very strong in West and North part of the country, but still like we have to weigh our path of growth or increasing our market share in Southern part of the country and Ea

stern part of the country. So we -- now we have like a good network of dealer and distributor, but still we were not able to get the quantum what we were looking for.

And it seems now -- since we have already made the best, so now it is time how high it is that efforts and how we get the result of our investment, what we have done in previous year or even current year nine months in this new geography. But it will be like more from Southern and Eastern part of the country.

Manoj Gori: Okay. And sir, lastly, if I may, how do you read the overall underlying demand environment? We know it's challenging, but probably -- see, long-term macros obviously will continue to remain intact. But probably from a six-month or to nine-month period, like overall, if you look at underlying demand for the last couple of years for wires as a category has been under pressure. So if you can throw some light, like how do you read the situation for the industry in specific?
Rajesh Jain: So even when we see at GDP level, we have seen some like downward trend in GDP even what figure -- publicly figure available for first half of this year. So there was some pressure and still there are some pressure in wire -- especially in wires. But overall, if you see and if you see at micro level, there are good demand, at least in cable. And there are so many reasons, like first and the biggest is like this wind and solar.
So moving towards this non-traditional power generation, there are a lot of opportunities are there. Same way infrastructure work is like low, pace was slow in the first half, but now it seems it will be on track. So fundamentally, it seems even in short term or a little bit longer term also wire may have some challenges, but cable, of course, has very good growth and wire also sequentially, it has to grow.
Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.
Shrinidhi Karlekar: Congratulations on good improvement in margin. Sir, a couple of questions, just one clarification. On guidance for Q4, are you saying cable and wire EBIT margin can go to 8% from 7% in Q3?
Rajesh Jain: Yes, yes. So what we have seen like 8% even last year, our overall like margins were in the range of 8.4%. And looking to the trend of last quarter also and current trend, it seems we will be able to achieve 8% kind of EBIT margin for Q4.
Shrinidhi Karlekar: Right. And sir, second question is, in the quarter gone by, did you face capacity constraint in the cable business?
Rajesh Jain: Cable, always we are getting that challenges, particularly in HV cable, where we have very limited capacity and still like -- though we have added some capacity in Q3 also, but I think more -- we can have some relax in terms of capacity constraint in Q4. And later on next year onwards, we will have some capacity.
Shrinidhi Karlekar: And sir, last one, when you say you aspire to -- you have a long-term vision of reaching double-digit EBITDA margins, here, are we specifically talking about the cable and wire business? Or we are talking about at the company level? And in what timeframe you try to achieve there?
Rajesh Jain: So like for both, of course, we have to achieve this. I mean, like, company level also, we are trying to get double-digit margins, but first, we will get in wire and cable. And it is expected that by FY '28 we can expect double-digit margins in both at company level also.
Moderator: The next question is from the line of Naushad Choudhari from Aditya Birla Mutual Funds.

Naushad Choudhari: Two clarifications, sir. Firstly, I was just curious to understand, in terms of what specific calculation you have and what is the math you have that makes you believe that there will not be a supply -- there will not be a capacity step-up issue in the industry, especially in cable business? Why there

should be a continued supply shortage for next two-three years? What is the calculation you have that makes you believe this?
Rajesh Jain: So, Naushad, if you see the capex plan of all the big players of -- like peers of particularly cable manufacturer and Indian cable growth is growing. So normally, like it seems by looking to the plan of government or development in infrastructure or development in wind, solar power generation or even the opportunity in export market. So even if this industry, particularly in cable, is it grow by, say, 20%, then the sum of this industry average may not suffice to supply this, this all capex.
Because now these days, even the capex cycle is almost 24 to 30 months to get whatever capacity you are building. Like even in our case, what capex we started in FY '24, now it is getting completed. So in that way, it seems India has more growth opportunities than the -- what capacity

it is getting built up. And already, we have seen that even last year or in this year also, there was a huge supply shortage at least in power cable.
Naushad Choudhari: Yes, sir. But historically, if we look at the industry capex average, if you look at last 3 years, 5 years, so broadly, it has been in the range of between 700, 800 or max 1,000. Last year was a peak in terms of capacity addition from a capex point of view. And next two-three years, it is going up substantially, and we have seen the peak of demand for '24. And on that base, we have to grow. And with this kind of capacity, at least we should have some very strong visibility at least in one or two piece of end user industry where we are confident that this should be able to help to absorb all these capacities.
Don't you think the kind of run rate, which used to be INR 1,000 crores has gone up to INR 4,000 crores annual gross block addition in the industry started from FY '24 should be a problem in '25, '26, at least for short term? We understand the growth point of view, but because this is B2B. Everybody's capacity would come together, at least for short-term period, everybody would fight to absorb this capacity, in short term. Do you think you might have the -- have to compromise on the margin side? And long term, I believe, it take, okay, five years, this capacity would be absorbed. But short term, one has to compromise on the margin to fill the capacity?
Rajesh Jain: So first, regarding if you demand, I may clarify that you have to see -- even if you see the way government has planned the growth in solar power generation, like what we have done till now, five times or more government is planning in next four-five years. So even if it happens not in four years, but in six-seven years, you can assume the quantum of solar cable will be required. Same way, like the infrastructure, though this year, we have seen some slow growth in first six months, but still see, if India has to grow, then we have to invest in infrastructure growth. Thirdly, even in export opportunity, we have seen a very good demand. Earlier, like there was hardly an export of wire and cable. And now we have seen a good demand from Europe or

U.S.A. also. So that is giving us the confidence that in long term, there will be a good demand. Even at our level, when we are very small player in cable and our capacity is very limited, we know there is huge potential of expansion and growth. And that is also without compromising on price. So we are confident to have a higher growth in cable segment in coming years.
Naushad Choudhari: Okay. And second, on the margin side, can you share the specific levers which you have, which makes you believe that your 6% should go to double digit? What should drive it?
Rajesh Jain: Yes. So two or three reasons are there we are working. First, this -- like last year, we were in the range of 7%. So though this year, we have seen this degrowth. But even if we take

the
improvement of 100 to 120 bps year-on-year, then we can be -- by FY '28, we can be in the double digit. And this will be backed by my first change in product mix where we are improving our margins. We are having high-margin products like export of cables or solar cable or specialized cables. So -- and plus we will get the benefit of scale also. So this will give improvement in our margins.
Naushad Choudhari: So your first lever is change in product mix, export of power cable, solar cable, would it come at the cost of the overall business economics in terms of do you have to compromise on the working capital or have to deploy some more money to get this 1% margin?
Rajesh Jain: No. The working capital cycle is only 60 days, which is like almost at the best of the industry average. So -- and export doesn't mean that I will need higher inventory or higher working capital. So this is factoring all the factors, we are saying that our margins will improve. One thing, if my scale will improve, so I'll get a cost benefit advantage also.
Moderator: The next question is from the line of Rohan Vora from Envision Capital.
Rohan Vora: So sir, to one of the previous questions that you answered, you said that volatility in...
Moderator: Sorry to interrupt. Mr. Rohan, your volume is coming very low.
Rohan Vora: Is it better now?
Moderator: Yes.
Rohan Vora: So, one of the previous answers, you mentioned that volatility in copper impacted us more than the other industry players. So just a little bit more color on how that was the case and what we've done so that this is not repeated going forward, because that resulted in us losing market shares in wires. So that is why -- so this is my question one.
Rajesh Jain: Yes. So Rohan, what I mean to say by, like more impact on -- of volatility in my margins, because see, we are like having highest revenue coming from wire, which is B2C product. And what happens, always there will be like time lag between passing on the prices of like whatever raw material prices has been changed.

The only extraordinary things happened in first half of this year was that there was like a sudden rise in the copper prices. And by the time we could pass on that prices rise of impact to our consumer, the copper prices again came down very sharply.
So if there is too much volatility within a very small span of time, then, of course, we may have some impact in our profitability. But overall, it will be like always passing on the effect of copper prices to consumers. So this was like a kind of onetime only effect.
Rohan Vora: Okay. Understood. And sir, so second question was -- sorry, if it is a repetitive one. The capacity that is coming in, in the coming quarter. So how much volume growth would that enable us to do? And what is the color on FY '26 volume growth that you're looking at?
Rajesh Jain: So, this overall capex is like have a probability or possibility of adding top line of INR 2,500 crores. But like looking to our historical growth and even our current expansion plan, like for this Q4, we are planning having volume growth of 15%. And for coming years, we are making detailed plans and we'll give guidelines by end of Q4.
Moderator: The next question is from the line of Praveen Sahay from PL Capital.
Praveen Sahay: My question related to the FMEG business. There, you had mentioned that there is a very strong volume growth in the fan. So if you can give some color on this in the nine-month, the growth you had achieved, how much is from the -- which segment and also volume value mix, if you can give how much is like a 23% of growth comes from the volume and how much is the value? And related to that, by when you are expecting to achieve a breakeven in this segment?
Rajesh Jain: In FMEG, like we have seen a very good growth in fan, particularly in fan. And like earlier, our -- like almost 40% revenue was comin

g from fan. Now it has increased to 45%. In lights also, we have seen a very good growth, but due to that price rationalization and negative pricing in lighting, the growth is flat at value level.
But at the same time, we have seen like a very good growth in appliances also. So by top like broader product mix in my FMEG, like 45% of revenue is coming from fan, 32% is coming from light and rest 23% is coming from appliances and switches. And when we talk about breakeven, like as I mentioned earlier also, we are expecting that Q1 of next FY '26, that is like June '25 quarter, we will be able to come into green at the EBITDA level.
Praveen Sahay: Right. And volume growth, can you give color on that out of a 23% of growth, how much is from the volume?
Rajesh Jain: So like approx. -- though I do not have exact breakup of this, but 55% growth came in Fan segment. And like 20% of our sale in fan came from new products, which we introduced in this year. And we are getting almost 23% to 25% revenue in fan from premium category. So this is a very broad breakup of our FMEG sales.

Praveen Sahay: Right, sir. And how much of the capex is planned in this segment? And at what level of utilization of your capacity currently in?
Rajesh Jain: So in FMEG, we have not made any big capex plan. It will be very small, like in the range of INR 20 crores, INR 25 crores only. Because still like majority of our FMEG, we are sourcing through third party only. So almost wo-third of my revenue is coming from on trading basis and only one-third is coming through manufacturing.
Moderator: The next question is from the line of Shivam Kadhi from 3A Financial Service.
Shivam Kadhi: Hello, am I audible?
Moderator: Yes, please.
Shivam Kadhi: So, I just wanted to know the capacity utilization over the segment.
Rajesh Jain: Yes. So in -- particularly in wire, we are at 65% to 70%, while in cable, we are already at 90% to 95% capacity utilization.
Shivam Kadhi: 90% to 95% in cable, right? Okay. And sir, what about the order book, the current order book and the targeted order book as well over the next couple of years?
Rajesh Jain: So here, since we are more into B2C category also. So like it is an ongoing project, and we do not have very long order book where we have orders of two years or three years or one year since majority of the sales in B2C category. So it is continuous process.
Shivam Kadhi: And any revenue guidance as a business as a whole, like where do we see ourselves in the next four years or something by 2030 or something like that with the data centres and everything coming up?
Rajesh Jain: So we are making our detailed vision statement and growth plan, which we'll give by next

quarter.
Moderator: Ladies and gentlemen, that was the last question for today's conference call. I now like to hand the conference over to the management for the closing comments.
Shreegopal Kabra: Thank you, everyone, for joining this call. We appreciate your participation. If you have any questions or queries, please feel free to reach out to us directly or contact Orient Capital. We look forward to connecting with you again next quarter. Thank you.
Moderator: On behalf of RR Kabel Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

8 May 2025

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 5 May 2025.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 5 May 2025 in relation to the financial results of the Company for the quarter and year ended on 31 March 2025.

Kindly take the same on your record.

Thanking you,

Yours sincerely,

For R R KABEL LIMITED

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

Encl.: as above

"R R Kabel Limited
Q4 & FY25 Earnings Conference Call"
May 05, 2025

MANAGEMENT : MR. SHREEGOPAL KABRA – MANAGING DIRECTOR –
R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF FINANCIAL OFFICER –
R R KABEL LIMITED

MODERATOR : MS. DARSHNI DESAI – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of R R Kabel Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Darshni Desai from MUFG Intime, their Investor Relations. Thank you. Over to you, Ms. Darshni.
Darshni Desai: Thank you. Good afternoon, everyone. On behalf of R R Kabel Limited, I extend a very warm welcome to all participants on Q4 and FY '25 Earnings Conference Call of R R Kabel Limited.
Today on this call, we have Mr. Shreegopal Kabra, Managing Director and Mr. Rajesh Jain, Chief Financial Officer.
Before we begin this call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guarantees of our future performance and involve unforeseen risks and uncertainties.
With this, I hand over the call to Shreegopal Kabra ji. Over to you, sir. Thank you.
Shreegopal Kabra: Thank you. Hello, everyone, and good afternoon. On behalf of R R Kabel Limited, I extend a very warm welcome to all participants on our Q4 and FY '25 financial results discussion call.
On this call, I have with me our CFO, Mr. Rajesh Jain.
FY '25 has been a dynamic year filled with both challenges and meaningful achievements that have set up our resilience and positioned us for continued growth with revenue from operation and EBITDA margins reaching its highest level among all quarters of FY '25. We have made a strong recovery from the previous quarter and an improved Y-o-Y numbers, making a significant upward trajectory. This momentum has been driven by substantial volume growth in both Wires & Cables and FMEG segments, solidifying our position as a leading player in the industry.
Looking ahead, we see strong potential for continued growth in Wires & Cables segment, driven by strategic capacity expansion, targeting new markets, the launch of new products and optimized product mix, all of which we are expected to contribute to achieve revenue growth and sustained margin expansion. We are equally focused on growth and profitability of our FMEG segment and have made continuous initiatives in strengthening our presence in this segment through enhanced advertising efforts and focused brand transition strategy.
This past quarter, we significantly enhanced our brand visibility through a high-impact sponsorship, including a multiyear principal partnership with Kolkata Knight Riders, KKR. In addition, R R Signature proudly became the principal sponsor of UP Warriorz for the Women's Premier League, WPL 2025. This especially underscores our belief in growth, progress and pushing boundaries amplifying brand recall and asserting our reach across key markets in line

with our history of creating value for our shareholders and considerably paying dividend. It pleased me to announce that the Board of Directors of the company has approved a dividend of INR3.5 per share, 70% of face value.
With this, I would like to hand over the call to Mr. Rajesh Jain to take this call further.
Rajesh Jain: Thanks, Shreegopal ji. As we look ahead, we are optimistic about the broader economic environment with India GDP projected to grow at a healthy 6.5% for FY '25-'26. The Wires & Cables industry, which typically outpaces GDP growth, is poised for robust expansion. Currently valued at INR90,000 crores, the industry is expected to grow at a CAGR of 15% and reach approxima

tely INR2 lakh crores by FY '31.
Wire and cable industry continued to experience dynamic expansion, reflecting the substantial growth potential inherent in this sector. With the industry growing at nearly twice the rate of GDP, the increasing participation of new entrants signals robust demand and a promising future.
In this evolving landscape, every brand, including R R Kabel brings a distinct value proposition, and we believe there is ample room for all the players to grow and succeed together.
Now let's discuss the financial and operational highlights of Q4 and FY '25. The Wires & Cables

segment continues to be the cornerstone of our business, delivering strong performance and driving substantial growth. In Q4, this segment recorded the highest volume growth of the quarter at 24% sequentially and approximately 14% year-on-year, reflecting strong market demand.
Wires and cables demand was robust in both domestic and export market after 2 quarters of relatively subdued demand. For FY '25, this segment contributed a remarkable 88% of our revenue from operations.
Our revenue for Q4 FY '25 stood at INR2,218 crores, reflecting a growth of approximately 26.4% year-on-year. We have posted a consolidated revenue of INR7,618 crores for FY '25, marking a 15.5% annual growth. EBITDA for the quarter grew by 69.4% year-on-year, reaching INR196 crores with a margin of 8.8%, the highest margin during the year and amongst the highest in our company's history. The margin expansion was supported by a favorable operating leverage and contained operational expenses, aligned with our earlier guidance of achieving double-digit EBITDA margin.
PAT stands at INR129 crores, an increase of 64% year-on-year and 88.3% quarter-on-quarter with margin expansion of 133 and 197 basis points, respectively. For the full financial year, our EBITDA reached INR488 crores and PAT reached INR312 crores, reflecting growth of 5.4% and 4.5%, respectively. Overall, our strong Q4 has significantly uplifted our FY '25 performance compared to the first 9 months.

Let me now turn to our segment-wise performance. Our Wires & Cables business recorded a revenue of INR1,956 crores in Q4 FY '25 compared to INR1,523 crores in Q4 of FY '24, a growth of 28.4% year-on-year. For the full year, revenue stood at INR6,689 crores versus INR5,830 crores last year, up by 14.7%. Quarterly and annual growth in the Wires & Cables segment was driven by a balanced contribution from volume and value growth.
On a sequential basis, growth was purely volume-led. Segment profit grew 47.1% year-on-year and 80.6% quarter-on-quarter, reaching INR194 crores. Our export business contributed 26% to our total revenue in FY '25, stable compared to FY '24. In absolute terms, exports grew by 11% year-on-year despite global uncertainty, a testament to our strong international strategy.
In the FMEG segment, revenue reached INR262 crores in Q4 and INR929 crores in FY '25, marking 13.3% and 21.5% growth, respectively. As highlighted earlier, this segment has shown clear progress in both profitability and growth. We reduced losses in FMEG by approximately 33%, down by INR23 crores from FY '24, a strong sign of improving operational efficiency and effective strategy execution.
We remain committed to achieving breakeven in FY '26. The company has also been consistently improving its working capital cycle from 88 days in FY '22 to 56 days in FY '25. This was achieved through reduction in inventory and receivables and an increase in payables, driven by our long-term efforts to enhance efficiency.
Now I would like to talk about our strategic vision for the next 3 years. R R Kabel is embarking on a focused 3-year growth journey under the strategic initiative, ‘Project Rise’. This vision is incurred on accelerating growth in both the Wires & Cables and FMEG segment with the goal of transf

orming our revenue and profitability profile. Over the next 3 years, we aim to deliver a Wires & Cables revenue CAGR of 18% and FMEG revenue CAGR of 25%, together, driving a 2.5x growth in EBITDA.
This will be achieved through a multipronged approach, balancing organic expansion, export leadership, margin improvement and capacity enhancement. A key part of our strategy is to grow our domestic Wires & Cables business to 1.6x by leveraging the resurgence in real estate, increasing demand from the data center, renewables and industrial capex. We aim to scale our cable business while maintaining a high-quality, value-focused portfolio.
Simultaneously, our FMEG segment will maintain its fastest growth position, supported by a shift towards premium products and better channel efficiencies.
We are also strengthening our export business, targeting 1.8x growth by leveraging our strong brand equity and India's favorable trade dynamics. Entry into new markets and categories will further enhance our global competitive edge.
To support this trajectory, we are investing in manufacturing with a 1.7x increase in capacity at Silvassa and Waghodia. This will help us to meet rising demand efficiently while ensuring

quality and scale. Margin improvement will be a critical driver of sustainable growth. In Wires & Cables, this will be achieved through a rebalanced product mix and scale efficiency. In FMEG, our focus remains on higher-margin products and efficiencies across procurement, factory operations and supply chain. ‘Project Rise’ represents a bold focused strategy to accelerate R R Kabel's growth trajectory.
By driving strong revenue, global presence and operational excellence, the company is laying the foundation for long-term value creation. With clearly defined initiatives and measurable targets, R R Kabel is poised to emerge stronger, more competitive and future-ready.
We have already begun executing our INR1,200 crores capex plan in FY '26 to FY '28, primarily aimed to increase cable capacity to support a 15% to 20% volume growth and margin improvement. These initiatives reflect our commitment to delivering high-quality, environmentally competent product while building a robust scalable platform for the future.
Looking ahead, our long-term growth will be supported by structural drivers and expanding share to the organized market and government initiatives.
We are focused on operational excellence, smart innovation and future-ready products. At the same time, we are strengthening our brand recall through targeted marketing and strategic visibility. Our commitment to distribution expansion and electrician engagement positions us well to capture emerging opportunities and sustain growth. Encouraging macro signals, combined with our internal strength, give us confidence in our outlook for the years ahead.
With this, I would request to open the floor for questions and answers. Thank you so much.
Moderator: Thank you very much. The first question is from the line of Praveen Sahay from PL Capital. Please go ahead. The current participant has been disconnected, we'll move on to the next participant. The next participant is Naushad Chaudhary from Aditya Birla Capital. Please proceed.
Naushad Chaudhary: Congrats on a decent set of numbers. First, on the capex announcement of INR1,050 crores with 36,000 tons capacity. So this despite being brownfield expansion and assuming in a best case, we reached a full utilization of 36,000, assuming INR1,000 per kg realization, we get around INR3,500 crores of revenue. So looking at our historic number versus our peers, the asset turnover of this investment looks very low, sir. How should we look at this, if you can explain?
Rajesh Jain: So see, you have to see our expansion plan in totality. We have announced capex at Silvassa as well as Waghodia also, which is a combined of around I

NR1,200 crores new expansion apart
from INR500 crores capex, what we have already announced, and it is on verge of completion in this year. Majority part was already executed. With this capex, we are targeting like top line growth of around INR4,500 crores, which is around 3.5x. See, if you see within Wires & Cables, like wires have a different asset turn and cable have lesser asset turn. So with the combination of this, we are targeting to achieve 3.5x asset return.

Naushad Chaudhary: Okay. Second, was there any inventory gain in this quarter, sir?
Rajesh Jain: I will not say inventory gain, but since the copper prices or other metal prices were on upward trends, so always whenever there is upward trend, we get -- like first, it is always good, and we see a very good upliftment in demand, stocking of traders. And at same times, since we have like capability or we need to pass on this price impact, so there is a little bit always the upward trend is always positive or helpful to us in improving margins. But the majority of the margin improvement due to our volume growth only.
Naushad Chaudhary: Okay. And your staff cost also looks substantially improved. If I look at sequentially also, last quarter, INR90 crores run rate, which has come down meaningfully despite such big volume growth. How do you explain this, sir? And should we look at this as a new normal for the company?
Rajesh Jain: So staff cost, first, we cannot compare in percentage terms because it depends on the like -- though my volume may increase and the fixed cost may remain the same. So at that level in percentage terms, it may have come down, but optimally, it will be like on current levels only.
Naushad Chaudhary: Even in absolute term, it has come down, sir?
Rajesh Jain: Yes, there may be some changes in some provisioning or something like that. Otherwise, it is like normal norms only.
Moderator: The next question is from the line of Charanjit Singh from DSP IM.
Charanjit Singh: First question from my side is in terms of the volume growth. When we are talking about like 18% kind of CAGR going forward in the Wires & Cables segment, if you can touch upon maybe for the next year itself, how is the kind of volume growth expectation and what are the key

drivers? Because we have more dependence on the wire side versus cables. That's my first question.

And second is on the cables, we had started increasing our portfolio in terms of bringing in new SKUs and starting to penetrate further into the cable segment. How is that journey going on as for the -- specifically for the cable segment? So these are the two questions from my side.

Rajesh Jain: Thanks, Charanjit ji. See, if you see our 3-year projections and our strategy, of course, we are targeting 18% CAGR growth and -- which will be largely driven by growth in cable. And the reason behind that if you see like this industry is balanced at like around 65% market is for cable and 35% is for wires. And since we are wire-heavy company, so in our case, it is like almost 70%, we are getting revenue from wires and only 30% from cable.

And this gave us natural opportunities to grow at a much higher pace than market also. And in cables, we can grow at a higher pace. And if you see even our expansion plan like we are targeting in major expansion in cable only, and already, you have seen that whatever capex we

have done, this will give additional capacity in this year. And we are quite confident to getting this growth of 18% year-on-year in our Wires & Cables segment, which will be majorly driven by cable growth only.

Charanjit Singh: Okay. And sir, the second question, in terms of the SKUs in the cables, what all new products we are introducing? What we are lagging in terms of the product gaps we had?

Rajesh Jain: So as of now, we are very small in LV HV

both, but particularly in HV we have seen a very good demand, but we were having manufacturing capacity constraint. And this we are in the process of removing and we have already enhanced our capacity. So within cable, majority of the growth will come from export SKU as well as and MV cables in domestic market also, which ranges from 11 kv to 66 kv.

Charanjit Singh: Okay, sir. And just if you can touch upon the exports market, how has been the -- your discussions with the customers? Because you have like 26% of revenue mix coming from exports. How is the outlook specifically and which geographies are driving the exports market? And do you see that in the near term, there could be some weakness in the export market because of all these tariff-related issues or any kind of issues related to freight or those kind of factors?

Rajesh Jain: So now things are already getting normal whatever disturbance we had in the first 2 quarters of previous year. And since we are the largest exporters and have seen a very good demand in this year also, like we are getting good demand from our Europe market. And even though things are not certain in U.S. market, still there is a lot of uncertainty.

But what we believe, that whatever things happen, it will be more favorable to India, particularly wire and cable industry. And our majority of the export is like distributor driven, where we have set up our market in the last 20 years to a greater extent. And we have seen a very positive improvement in demand/supply chain situation. And we see a very positive growth in coming years.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Congratulations on a good set of numbers. So my first question is related to the capacity. If you can give in metric tons how much of the capacity you have right now and at what utilization you are operating at and also the capex for a yearly basis, FY '26 and '27?

Rajesh Jain: So if you see like already, we are at around 75% capacity utilization on overall level, and that's like around 70% in wires and almost 90%, 95% in cables. So fairly very good utilization of capacities, and already now we are -- what capex we did in last year, that will give me full capacity this year. At the same time, we have already announced our next 3 years expansion plan, which will give us almost 1.7x of our capacity what already we have. And this will be like majorly driven by expansion in cable segment, of course, supported by wires also where we are targeting good growth. So this capacity is what we are enhancing will make a good base to meet our year-on-year growth targets, and this will suffice our purposes.

Praveen Sahay: '26-'27 capex number, if you can, how you are dividing this INR1,200-odd crores of capex?

Rajesh Jain: See, what happens, since this is a very big expansion plan, so out of this in first year, whatever we invest we'll get -- give me capacity maybe after mid of FY '27 onwards only. But for this year growth plan, we already have like extra capacity what we built in previous year or the

completion of our previous capex and what we will complete this year.
Praveen Sahay: Okay. And the last question is related to the EBITDA margin guidance of -- or the EBITDA guidance of 2.5x you are expecting, and that leading to around 300 basis points improvement.
So how you are expecting to achieve these numbers, if you can drill down some the benefits for that which we are envisaging to...
Rajesh Jain: We are targeting our EBITDA margins to improve and get double-digit margins by FY '28 in the range of 10.5%, and this we'll achieve by like yearly sequential growth of almost 100 basis points year-on-year. And this will be like achieved by higher volumes, better product mix and even improvement in our profitability in FMEG segment also, where we have seen a good improvement, almost 400 bps im

provement.
Our losses were reduced by almost 400 bps in this year. So in the same way, we are targeting to achieve a higher and a better margin improvement in this year and even next 3 years also.
Moderator: The next question is from the line of Rahul Agarwal from Ikigai Assets.
Rahul Agarwal: Congratulations on a good set of results. Sir, two questions and then maybe I'll get back in the queue. Firstly, on the 3-year vision, just wanted to know, along with this, these are more hard financial targets, but any gaps that you would have noticed to achieve these targets over the next 3 years? Let's say, hiring in the team, technology, maybe R&D investments for new product development. Anything like that, which you want to fill up as you achieve these targets? This is question number one, sir.
Rajesh Jain: Thanks, Rahul. So rather than challenges, we see as opportunity based on our like last so many years of experience in domestic and international markets, we have identified our growth opportunity in terms of geography as well as product segment also.
And now it is a matter of scaling up our capabilities and capacities and getting higher margin improvement as well as market share also. So of course, this is a continuous process where we will keep adding our work on R&D side. But at the same time, we have like very clear vision that how to get and from where to get the higher growth in sales as well as profitability also.
Rahul Agarwal: Sir, I just wanted to be more specific. Maybe I'll flip the question. What would be a risk in terms of achieving these targets? I understand volatility in raw material and general industry risk, but from a company perspective, what -- I was referring to more gaps that we need to address to achieve this growth. So if you could help me with some specific points, that will be helpful.

Rajesh Jain: So like in this scenario, we have to focus for achieving this growth targets. Of course, we have to be -- like our presence in market should be increased and noticeable by way of our brand expansion and covering more and more areas, and at the same time, getting more market share in cable segment.
As I explained in last question also, since we are very small and there is a lot of opportunity, so how I structured my business in such a way that I can capture each and every business at a higher pace and make my growth higher than industry average. So our growth will be -- our focus will be on making more robust market and production capabilities also at the same time.
Rahul Agarwal: All right, sir. Secondly, on balance sheet, that's my last question. This increase in payables, right, it's been pretty consistent since last 3 years. This INR760 crores of creditors at end of March 2025 doesn't appear to be very normal. Any changes to credit terms? Or should we expect this to stay here? Is it sustainable? Any comments on that, please?
Rajesh Jain: Yes. So at least on payable system, it will be like on a stable basis because whatever freight arrangements we have done with our suppliers, these are working good, and we have seen good improvement in our working capital cycle based on this only. So it will remain stable on this side.
Rahul Agarwal: So there is no one-off sitting there in the INR760 crores number, right?
Rajesh Jain: No, no, nothing one-off. It's like our regular trend. Though since we were at a very high volume at the year-end figure, it seems large, but if you see in like days terms, it's like normal only.
Moderator: The next question is from the line of Nattasha Jain from PhillipCapital.
Nattasha Jain: Congratulations on a good set of numbers. Sir, one clarification. You mentioned in your opening remark that your sequential growth for Wires & Cables is completely volume-led, right?
Rajesh Jain: Yes, yes. Though there is some balance between value and volume, but yes, it was majorly by vo

lume basis only.
Nattasha Jain: Okay. And sir, I heard you earlier today in a TV interview, you had said that for FY '26, you were planning a volume growth of 18% and your 3-year plan, per year your CAGR is 18%. So is it fair to rather deduce that in this industry, it will mainly be a volume-led growth and pricing

advantage won't be there, especially given the competition coming in?
Rajesh Jain: So Nattasha, whenever we talk about our growth in future, it is like based on volume growth only. Like if I'm talking about 18% growth, it means we are assuming that these metal prices will remain the same while making the projections. So we know things are very uncertain, but we measure our growth in terms of volume only. So whatever we are guiding is based on volume growth only.

Nattasha Jain: Understood, sir. Sir, my second question is on FMEG. Now your numbers have been very, very strong on that side. You also mentioned today morning in your interview that you will probably breakeven in the first half of this year itself, this financial year. So when I listen to your peers' commentary, they mentioned that the season has been quite tepid, and in fact, 4Qnumbers were not that great because offtake of cooling products has not been strong.
When I see your numbers, you've outperformed both on top line as well as margins. So sir, I wanted to know what is it different that we are doing from peers? If I benchmark you on aggressive marketing, digital, physical marketing, geographical indexation, everybody else is also doing that aggressively. So where are we really outperforming our peers here?
Rajesh Jain: So like what we have done in our previous years, it is now we are getting execution and getting good results. And the good thing, we have seen a very good acceptance in market of our new products like premium and mid-premium category. Like earlier, whatever contribution we were getting, now we are getting almost 20% of our revenue from premium and mid-premium category, which gives you brand presence also and improvement in profitability also. So in that front, whatever strategy we have made in previous years, it is giving good results now.
Nattasha Jain: That's fair, sir. Just one last quick question. Sir, if I ask a near-term question, we've seen copper prices again beginning to fall. Now first quarter usually -- rather first half is seasonally a weaker period in terms of Wires & Cables plus there is a copper price fall that's happening. Last year, we were sitting at a low base because of not so much great execution on account of elections. So how do we see this first half panning? Will we get benefit of a low base here?
Rajesh Jain: See, it will be too early to speak now, though, like 35 days of this quarter is already over. But still things get keep changing also. Of course, historically also, whenever in this industry, you see Q1 is always like very light when you compare with our other 3 quarters. So it seems that this quarter may remain like subdued or stable kind of demand. But it is in routine basis only, nothing abnormal in growth or reduction in growth also.
Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.
Shrinidhi Karlekar: Congratulations on a great set of numbers. Sir, a couple of questions from my end. Firstly, given some capacity constraints that you have in the cable business, may I ask how much volume growth you can achieve in the cable business over the next 2 years?
Rajesh Jain: So we are targeting almost 25% growth in our cable business on a year-on-year basis. And this will be like balancing between my capacity also and having favorable market share also.
Shrinidhi Karlekar: Do you mean the capacity allows you to grow 25% in volume terms?
Rajesh Jain: Yes, 25% in volume terms.
Shrinidhi Karlekar: For both F '26, F '27, right?

Rajesh Jain: Yes.
Shrinidhi Karlekar: Okay. And sir, second question is on the profitability of your business across domestic and international business, exports business. Would it be possible to give us color how are the margin differences between your domestic business and export business in Cables & Wires segment?
Rajesh Jain: So of course, like we have seen a good improvement in margins in export business also driven by a very good -- like now our focus is more on getting good businesses in cable, where we have higher margins. So if we see sequentially, in coming years, our margins even from export markets are getting better. Of course, there is some difference between domestic and export margins. But with this product rebalancing, we hope and expect to get a very good improvement in margins in both domestic as well as export markets.
Shrinidhi Karlekar: And sir, last one, if I may, so you have a very strong aspiration targets in terms of improvement in the margins. And this, you are guiding in the context that your export business, which is typically lower margin, growing at a faster clip than domestic. And second, within the domestic

also, your relatively subscale cable business growing faster than the wire business. So are you assuming, sir, like a substantial relative price hikes in your portfolio as in your currently pricing is lower compared to peers and you plan to bridge some gap?
Rajesh Jain: So these are mix with two things. One, as earlier also we had informed that in our export market, we have comparatively very higher margin when I compare with wire. But since we were wire related company, so earlier, our export wire was contributing more. But now as my cable share is increasing in export, my margins will improve.
Same way in India, since our scale was very less, earlier here, I was not having sufficient capacity, waiting period to my customer was very long when compared to peers. So once I improve at supply side and at the same time, if I get the scale also, so I will improve my sales margin -- sales prices also and margins will also improve. So combined level, this is like a very favorable and positive progress towards margin improvement.
Moderator: The next question is from the line of Nikhil Purohit from Fident Asset Management.
Nikhil Purohit: Sorry if I missed this question earlier, but what was the volume growth for the full year and this quarter?
Rajesh Jain: So like our volume growth for the year was 7%, but for the quarter, it is like 14% on Y-o-Y basis.
Nikhil Purohit: Okay. And could you give me the volume growth for both the segments separately?
Rajesh Jain: Wires & Cables is almost same, like almost 13% in wire and 15% in cable.

Moderator: Ladies and gentlemen, the participant's line got disconnected. We'll proceed to the next participant. The next participant is Vidit Trivedi from Asian Markets Limited.
Vidit Trivedi: Congratulations on great set of numbers. My first question is with respect to the channel activity, any channel activity during the quarter and any price action during the quarter? And second is that, if you could please give me a breakup of the margin profiling in terms of wires and cables both on the domestic front and on the exports front?
Rajesh Jain: See, this channel activity is a continuous process. We have like a continuous program for engaging our electricians and retail partners. And since in this quarter, we have done a very good activity in IPL by sponsoring KKR and at the same time WPL for FMEG business. So we have seen a good improvement and enhancement in our channel activity. But these are all similar lines of what we do continuously.
Vidit Trivedi: Sir, any price action during the quarter?
Rajesh Jain: Sorry?
Vidit Trivedi: Any price action during the quarter, price hike or price cuts?
Rajesh Jain: Price hike or price cut, since these are based on

our metal prices, so these were in similar lines to that only.
Vidit Trivedi: And could you please give me a breakup of the margins, both in the Cables & Wires segment, on the domestic and the exports front?
Rajesh Jain: So as you see in India, we have very good margins in wire compared to cable, and in export market, it is other way around. But these are whatever we have, historically margins are on those lines only. The only thing product mix, as it changes favorably, we get more exposure of cable in export, then our margins will keep improving.
Vidit Trivedi: No, actually, I was asking in terms of any ballpark number, like for the wires, let's say, 12%, 13% kind of a number, if any number would be helpful.
Rajesh Jain: So it's like almost 12% in wire while -- in domestic wire, while 5% to 6% in export wire. The reason being, there, we are a distribution-led business, and we do not have these marketing and every kind of expenses. And there, we have a very stable business in export wire. Same way in cable, export cable market is very highly profitable in the range of 12%, 13%, while domestic cable is in the range of 6% to 7% for me only, though on a normalized basis, it will be in the range of 9% to 10% once I get the scale and availability.
Moderator: The next question is from the line of Aryan Jain from Groww Mutual Fund.

Aryan Jain: Congratulations on the great set of numbers. So my first question is a follow-up on one of the previous participant's question. So this reduction in the working capital cycle, is it sustainable? And also, how will it change going forward with growth in cable exports and FMEG business?

Rajesh Jain: So like though on this quarter basis, we have 56 days, but normally, our working capital base cycle is around 60 days. And we expect to remain maybe plus or minus 1, 2 days, but in this range only.
Aryan Jain: Okay. And second question is, can you highlight what would be the mix of domestic wires? So as you mentioned that the breakup was 70-30, 70% wire and 30% cable, so of the 70%, what would be the share of domestic wires?
Rajesh Jain: So in export and domestic, both, we have similar range only, like 70% is wire and 30% is cable in both the segments, be it domestic or export, almost same only.
Moderator: The next question is from the line of Nikhil Purohit from Fident Asset Management.
Nikhil Purohit: Sorry, I got disconnected back there. I wanted to confirm what was the volume growth in absolute number for wires and cables for this quarter and for the whole year? Could you please help me with that?
Rajesh Jain: For this quarter, our volume growth was 14%...
Nikhil Purohit: No, no, absolute number.
Rajesh Jain: Similar 13% in wire and 15% in cable. While on a yearly basis, our volume growth was around 7% only, where wire was like almost having 1% or 2% growth, while cables grew by almost 19% on a yearly basis. I hope this answers your question.
Nikhil Purohit: No, I understand that. I was asking more on the lines of on the absolute number amount, I mean the quantity, absolute number.
Rajesh Jain: No, no. I think that I do not have that figure handy, but this will give you a fair idea about our growth.
Moderator: The next question is from the line of Naman Parmar from Niveshaay Investment.
Naman Parmar: First, I wanted to understand on the minimum capacity that is getting built up in the Silvassa? So it will be for cable or majorly it will be for wire only? And how much kv of cable will we be producing in that facility?
Rajesh Jain: So at Silvassa, we are coming with capacity expansion in wire only. And since cable facility is complete, we have at our Waghodia plant only.
Naman Parmar: Okay. Waghodia, there will be cable?

Rajesh Jain: Yes, Vadodara, yes. Waghodia is Vadodara only.
Naman Parmar: Okay. And sir, currently, what would b

e your gross block for FY '25?
Rajesh Jain: It's around maybe INR900 crores at WDV basis gross only. We need to refer our balance sheet, but that is available in our balance sheet.
Naman Parmar: Sir, I just wanted to know means how much total revenue potential you can do with this gross block and with the new capacity coming in? Means say, would it be around INR8,500 crores to INR9,000 crores?
Rajesh Jain: Yes, we have enough capacity to cater the demand of 18% volume growth what we are targeting on a year-on-year basis. So we have sufficient capacity with this coming expansion and even the new capex what we have announced.
Naman Parmar: I mean the asset turn of 3.5 you're talking right, no?
Rajesh Jain: For -- yes, for new expansion. But already in our old capex itself, that was wire-led heavy, so we have higher asset turns in our wire capacity is what we have built until now.
Naman Parmar: Okay. And lastly, how would we your margins will be over the 3 years? Because big competition is coming in, in this segment. So how you think the margins will be going ahead? Even though 80% is your raw material, aluminum and copper, which is majorly passed on, then also what margin you were expecting that to give such statement?
Rajesh Jain: So like I explained earlier also that based on our increased capacity, getting more scales and getting more efficiency and getting better product mix, we are expecting to improve our margins by 100 basis points in the coming years, and this is quite achievable.
Moderator: The next question is from the line of Rahul Agarwal from Ikigai Assets.
Rahul Agarwal: Just one question, sir. On the sponsorship for IPL and WPL, anything -- any costs which were booked in fourth quarter?
Rajesh Jain: Yes. So like for WPL, it was completely booked in previous year since event was over. For IPL, it will be on a pro rata basis as per accounting norms.
Rahul Agarwal: Okay. Would you mind sharing how much the cost is booked?
Rajesh Jain: No, no. That, we cannot disclose, but it is absolutely in agreement with whatever accounting norms are there and it is completely on pro rata basis.
Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla.

Naushad Chaudhary: Two clarifications, First, with the new investment, if I heard it correctly, capacity would expand by 1.7x. This is on the Waghodia and not on the blended capacity, right? Or will this be on blended?
Rajesh Jain: It will be from blended. See, when we talk about our capacity and everything, it is on a company level obviously because we cannot be that much excessive about plant by plant.
Naushad Chaudhary: But INR1,000 crores is adding only 36,000 tons capacity, right?
Rajesh Jain: Yes.
Naushad Chaudhary: But if we calculate reverse, today FY '25, we closed with INR6,700 crores of turnover. Assuming roughly INR900, INR950 of realization, and we are running at 75% of utilization, this would bring roughly 1 lakh ton capacity, rough calculation, on which if you're expanding 36,000 tons, it would be 36% only. How would it be 70%?
Rajesh Jain: No, so you have to take care weightage between wire and cable also. There is different product mix also at Wires & Cables segment. And at the same time, we have capacity expansion at Silvassa also. It is not only 36,000 tons, but it is a combination of 36,000 plus 18,000 tons.
Naushad Chaudhary: Okay. 18,000 at Silvassa?
Rajesh Jain: Yes.
Naushad Chaudhary: Okay. And second, just curious on the outlook point of view, historically, if I see last 3 years, 5 years, despite the industry had -- you had a low base, industry had a capacity constraint, we have been able to grow at 13%, 15%, our volume CAGR of 3 years, 5 years. And now though a lot of capacity is coming in the industry and we have a high base, what give us so much confidence that we will achieve better than what we have achieved in the p

ast despite high base?
Rajesh Jain: There are two things. One, of course, we were also having capacity constraint in cable, which lowered our growth to some extent. At the same time, whatever work we are doing in our export market by entering into new geography and new products, same way in India also, we have done very good work in the last 3, 4 years to enhance our dealer network and our electrician network. So this will give us good results in coming years.
Moderator: Thank you. In the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Shreegopal Kabra: Thank you, everyone, for joining this call. We appreciate your participation. If you have any questions, feel free to reach out to us. Thank you.
Moderator: On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

5 August 2025

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 1 August 2025.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 1 August 2025 in relation to the financial results of the Company for the quarter ended on 30 June 2025.

We request you to take the above on record.

Thanking you,

Yours faithfully,
For R R KABEL LIMITED

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

Encl.: as above

“R R Kabel Limited
Q1 FY26 Earnings Conference Call”
August 01, 2025

MANAGEMENT : MR. MAHENDRAKUMAR KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF FINANCIAL OFFICER – R R KABEL LIMITED

MODERATOR : MS. DARSHNI DESAI – MUFG INTIME – INVESTOR RELATION

Moderator: Ladies and gentlemen, good day and welcome to R R Kabel Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand over the conference to Ms. Darshni Desai from MUFG Intime, the Investor Relations. Thank you and over to you, ma'am.
Darshni Desai: Thank you. Good afternoon, everyone and I extend a very warm welcome to all participants on Q1 FY '26 Earnings Conference Call of R R Kabel Limited. Today on this call, we have Mr. Mahendrakumar Kabra, Managing Director and Mr. Rajesh Jain, Chief Financial Officer. Before we begin this call I would like to give a short disclaimer. This call may contain some forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guarantees of our future performance and involve unforeseen risks and uncertainties.
With this, I hand over the call to Mahendrakumar Kabra ji. Over to you, sir. Thank you.
Mahendrakumar Kabra: I, Mahendrakumar Kabra, on behalf of R R Kabel Limited, I extend a warm welcome to all of you joining us for our Q1 FY '26 financial results discussion call. I am pleased to be joined today by our CFO, Mr. Rajesh Jain. It is an honor to address you for the first time in my new role as Managing Director of R R Kabel Limited. I would like to express my sincere gratitude to the Board of Directors and our leadership team for placing their trust in me.
RR Kabel has built a strong legacy of innovation, resilience and performance and I am humbled to have the opportunity to lead the company into the next phase of growth. We are pleased to report that Q1 has been a strong start to the new fiscal year marked by broad-based growth and operational resilience.
Our business continued to benefit from sustained demand across key sectors especially driven by infrastructure expansion, housing construction and increased electrification efforts nationwide. These developments created a robust environment for wires and cables and RR Kabel has responded with agility and focus. The domestic market saw steady momentum with deeper penetration in semi-urban and rural regions.
On the international front, our export business continues to scale steadily underlining our growing global relevance and competitiveness. We have enhanced supply chain efficiency and maintained product reliability despite underlying commodity pressure, all while aligning with strategic pricing and procurement practices.
Above all, what makes this quarter truly encouraging is the consistency across metrics not just in top line growth, but across every element of our financial and strategic metrics. This reflects our continued investment in automation, optimized production planning, operational efficiency

and execution. We approach the future with confidence and a clear road map for sustained growth and leadership in our industry. Thank you for your continued trust and support.
With this, I'd like to hand over the call to Mr. Rajesh Jain to take this call further. Thank you, everyone.
Rajesh Jain: Thanks, Mahendra ji. India continues to shine as one of the fastest growing major economies. The momentum is being driven by strong consumer demand, accelerating infrastructure development and supportive government policies. These factors have created a favorable environment for industrial growth and RR Kabel is proud to be contributing to and growing alongside this progress.
I am pleased to report that we have delivered a strong performance across all areas of o

ur
business in Q1. Our distribution network has expanded further in Tier 2 and Tier 3 cities, which has helped us to increase our market presence and improve brand visibility in these regions. International market continued to shine with our focused efforts in Europe and Middle East delivering encouraging results.
Despite fluctuation in commodity prices, there has been marginal improvement in the margins on Y-o-Y basis supported by strong purchase strategy, effective production planning, supply chain management and efficient operations. Revenue from operations stood at INR2,058.6 crores in Q1 FY '26 representing a solid 13.9% year-on-year growth from INR1,808.1 crores in Q1 FY '25.

This growth reflects healthy demand across our core product categories and increased traction in both domestic and export markets. While there was a modest sequential decline compared to Q4 FY '25, this is largely attributable to seasonal trends and inventory normalization across channels. Our EBITDA for the quarter rose sharply to INR143.1 crores, up 50% from INR95.4 crores in the same quarter last year reflecting improved operating leverage and better cost absorption.

The EBITDA margin also expanded to 7% compared to 5.3% in Q1 FY '25 driven by efficiency gains and prudent cost controls. On the bottom line, profit after tax stood at INR89.8 crores registering a significant 39.4% growth from INR64.4 crores in the corresponding quarter of the previous fiscal. This strong PAT performance underscores our continued focus on profitability and disciplined capital allocation.

In terms of business segment, the wire and cable segment posted revenue of INR1,833.5 crores in Q1 FY '26, up 16.2% from INR1,578.1 crores in Q1 FY '25. The segment profit also rose to INR139.1 crores compared to INR113 crores in the same period last year. This performance was supported by modest volume growth and better realization. Geographically, domestic revenue grew mainly due to wire business while cable remained subdued due to spill over impact.

The FMEG segment narrowed its segmental loss to INR7.1 crores from INR20.7 crores in Q1 FY '25 even though the revenue declined marginally to INR225.1 crores from INR230 crores on

Y-o-Y basis showing signs of recovery despite Q-o-Q softness. Fan segment has underplayed due to early monsoon having a tad impact on overall revenue. We remain optimistic about this segment as distribution channels strengthen and product mix improves.

We remain focused on building a responsible and future-ready business. The market outlook for the wire and cable sector is highly positive with projected industry growth expected to outpace GDP. We believe RR Kabel is well positioned to capitalize on this opportunity. Structural reforms and government initiatives around electrification, smart cities and renewable energy are providing strong long-term demand drivers.

Looking ahead, our focus remains on strengthening our brand and making it a household name across the country. We aim to expand our product offerings to better serve industrial, residential and commercial clients while continuing to grow our international presence and deliver on key projects. Thank you for your continued support and we remain confident in our ability to deliver sustained value and leadership across the industry in the quarters to come.

With this, I would request to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: Congratulations on great set of numbers. First of all, Mahendra ji, congratulations on the elevation and all the best to you, sir. My first question is on the volume front. Could you please give me a breakup of the volumes growth between wires and cables? And given the margin expansion that

we have seen in the EBITDA front despite a moderate volume growth, was it because of the shift in the pricing strategy or the product mix?

Rajesh Jain: Yes. So our overall volume growth is around 6.5% where if you see in breakup, then wires grew by approx. 10% while cable grew by 2%. And see, the improvement in margin is as we are trying to improve our product mix towards higher profit products. So it's in trend with our planning and budgeted figure.

Vidit Trivedi: Got it, sir. Sir, second on the capex front, you have already guided us that close to INR1,200-odd crores will be spent over a course of 3 years. My question is that how long does it usually take to reach the optimal levels?

Rajesh Jain: So first of all, our capex of INR1,200 crores over next 3 years so it is sequential addition on a yearly basis. It is not overnight we will get all the capacity at one go. So it is we have planned in such a way that as we keep getting capacity and we keep improving in our demand and sales scenario. So it will match as per demand and it will be gradually in line with our overall expansion plan and growth plan.

Vidit Trivedi: Got it, sir. That’s helpful, Thank you.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.
Praveen Sahay: Congrats for a good set of numbers. First question is related to your guidance of 18% of the volume growth for FY '26 and also the margin improvement, EBIT margin improvement of around 100 basis points for this year. This lead to ask rate for the next 9 months is quite higher. So would you continue with such guidance or there is any revision? And if, then how you are expected to report such a high volume growth?
Rajesh Jain: So Praveen, our 18% volume growth guidance and 100 bps improvement in our margins is intact and we are hopeful to achieve the same figures because the growth, already we have seen 40 bps improvement in margins and even volume front as we are expanding our capacities and we are quite confident to get the guided figures.
Overall, already as you have seen also, always the H2 of year remains very strong in this industry and it is as per our budgeted and planned figure only.
Praveen Sahay: Okay, sir. And next is as in the last 2 years you had built the cable capacities as well. But so far, we have not seen your wire and cable mix has changed any bit. So do you see in this financial year there would be any shift towards cable in the mix?
Rajesh Jain: So our high growth will come from cable segment only. And as already in the past also we said that within wire and cable, cable is expected to grow at industry level also and for us, particularly more because earlier we were having limited capacity. And now as we have built the capacity also, we see a good demand also in domestic as well as export market. So you will see higher contribution from cable segment in coming quarters.
Praveen Sahay: You are still at 70-30 mix, right, sir?
Rajesh Jain: Yes. So it will gradually change. Looking to our very high base in wire so still I think maybe after 3 years, it may tilt towards 60-40 or maybe 58-42 type of movement.
Praveen Sahay: Sir, next question related to FMEG. When you are expecting a breakeven in that and how much is the growth expectation for this year?
Rajesh Jain: So if you see in this quarter itself, our losses have reduced by almost 550 basis points to 600 basis points. And though we were targeting early breakeven, but as you have seen this quarter was not that much good so now we are expecting that within this year, on yearly basis we will be at EBIT positive in FMEG.
Praveen Sahay: Okay. And growth, sir, how would be the growth projected?
Rajesh Jain: Around anything between 20% to 25% growth we are expecting in our FMEG business.
Praveen Sahay: Okay. And last question related to your creditor days, which has reached to around 40 days. So is there any a

rrangement, anything changed in that, which has a gradual increase from quarter-on-quarter we are seeing there?

Rajesh Jain: So in our cases, the major raw materials are copper, aluminium and then we have some imported material also where we are using LC facility in an effective way. So our creditor days have increased.
Praveen Sahay: Okay. And we will maintain at this level?
Rajesh Jain: Yes, almost this level will be maintained. So as of now, we have already improved and got very good working capital days and we'll try to maintain those days.
Praveen Sahay: Thank you Sir and all the best.
Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.
Dhruv Jain: My first question is on cable. So in this quarter you saw about just 2% volume growth in cables, but you also said that there was some spill over impact. So if you could just quantify what was that impact in numbers, please?
Rajesh Jain: Yes. So two things happened in this quarter, Dhruv. First, April was not that much great in terms of cable and later on few big projects which are going to delivered in second quarter. So we could not achieve that kind of volume growth in Q1 itself. But as a growing business and looking to my overall order book, current quarter we are on track with our overall growth plans in cable.
Dhruv Jain: Basically 16% to 18% largely will be driven by cables and you have the visibility in terms of order book in that sense?
Rajesh Jain: Yes. So looking to this cable business segment even if I can give you further breakup like we are expecting around 10% to 12% growth in wire and 25% growth in our cable business.
Dhruv Jain: Okay. Got it, sir. And sir, incrementally over the next 3 years as cables capacities ramp up, just wanted to understand if you can just give some color on the approvals. So given the fact that cables is a very approval-driven system, do you have the approvals or say on a scale of 100, where you are in terms of the approvals in the cables business because next 3 years incremental growth will come through cables?
Rajesh Jain: Since we are already in this business though our scale is not that much yet and we have received

meaningful approvals also and this is continuous process. As I will keep adding my capacities, at the same time my approval process is also continuous. And good thing is that since already we have got approvals from few of the utilities, now it is just keep that pace going and we'll keep adding approvals quarter-on-quarter basis.
Dhruv Jain: Okay. Get the point, sir. And sir, you've spoken about 100 basis point margin improvement while we've seen margin improvement in this quarter. But given the fact that the growth incrementally will be driven by cables in this year as well, would the mix not be adverse for RR Kabel in this year?

Rajesh Jain: No, it will not be adverse because see, overall since our margins are on lower side and now we are expecting even with cable once I get the scale, once I improve my availability, then cable margin itself will improve and it will higher than my average margins only. So it is not dragging my margin and it will help me to improve.
Dhruv Jain: Got it, Thank you so much and all the best.
Moderator: The next question is from the line of Achal Lohade from Nuvama Institutional Equities.
Achal Lohade: Sir, if you could talk a little bit on the export part, what has been the volume growth and were there any deferment of the orders in terms of the shipments? Could that also be a reason for the slightly lower growth compared to the peers?
Rajesh Jain: No. So we have seen a very good growth in our export business in this quarter. And if I bifurcate between domestic and export, then we have seen like higher growth in terms of volume in export business. At the same time, till now we have not seen any impact.

We have good order book
from our all customers.
Our majority of the export is still in Europe and Middle East and though we are exporting few quantities through U.S. also, but still things are not clear at their end and it will be too early to comment anything on that. But as of now, it does not have a very big impact or any impact what we have seen till now in our export business.
Achal Lohade: And in your guidance, are we budgeting the exports will also -- export mix will remain similar or could there be a higher delta in terms of the export mix?
Rajesh Jain: So we are targeting both the markets, be it domestic or exports. But in exports, bigger change is that now we have got few approvals for our cable segment also and as my cable capacity is expanding so my export will also have share of cable exports. At the same time, there may be 1% or 2% here or there, but we'll try to have growth in both domestic as well as export market.
Achal Lohade: Got it. And just last question, if I may, sir. Just a ballpark number in terms of the EBITDA margin or EBIT margin for the export cables, export wires, domestic cable, domestic wires. Just a ballpark number, if you could, sir?
Rajesh Jain: So it is in line with our earlier quarters only. As we have told in domestic wires, we have higher margins while in domestic cable, we have less margin because I have very low base and my delivery cycle and still waiting time is little bit higher. But once I improve the scale and then it will help me to improve the margins.
On export, it is other way around. Wire is considered little bit simpler product so we have lesser margin while in cables we have higher margins and here we are improving our cable exports. So again, this will help me to improve my overall margins.

Achal Lohade: But if I were to just ask -- sorry, I'm asking a bit more nuanced question here. In terms of the margins, would domestic wires be the highest margin segment within these four or it will be the export cable margin will be the highest? If you could give some sense?
Rajesh Jain: Both are almost similar. In domestic wire and export cables, margins are in the range of 12%.
Achal Lohade: Okay. And how about the other two, sir?
Rajesh Jain: Other two is as of now in export wires, we have margins of around 5% while in cable, still we are in the range of 6% to 7% only, domestic cable.
Achal Lohade: Understood. And just last question with respect to the cables expansion. Can you help me understand the cables growth appear to be fairly low 2% while we are adding capacity. So is capacity a constraint, was a constraint for the last quarter or how do we see this when you are guiding for a 25% kind of a volume growth in cable?
Rajesh Jain: So as I explained particularly in this quarter, in April month it was starting of the year and

demand was little bit slower. But later on we have very good demand and the only thing, few of the big orders which were supposed to be delivered in the month of June could not be delivered and they are executed in this quarter. So you will see the impact of that growth in this quarter.
Achal Lohade: Understood. Could you quantify how large would that be, sir, in terms of...?
Rajesh Jain: That answer will remain in that now as we are targeting 25% growth in cable. So on quarterly basis, there may be some variation; but overall we will see this growth. In next 3 quarters we'll make up this.
Achal Lohade: Understood. Thank you so much and all the best.
Moderator: The next question is from the line of Nattasha Jain from PhillipCapital.
Nattasha Jain: Congratulations, sir, on a good set of numbers. My question is more export based and more macro-based rather. The tariff that's there on copper, sir, can you just help us understand is it like a blanket tariff both on wires and cables or does this supersede the existing country tariff? So first question is that?

Rajesh Jain: So Nattasha, still things are not very clear and what we could understand and even we could not receive any feedback from our customers also. So though by plain reading it seems the tariff is like very high. Apart from a general tariff of 25%, it seems they have imposed a custom duty of around 50% on copper products, which includes wires and cables both.
Nattasha Jain: Got it. So sir, maybe I'll ask this the other way around. So even if I just assume that it's a 50% flat tariff irrespective of the country tariff because if I see country tariff, we are at a disadvantageous position now because I think South Korea, Vietnam, Japan, Germany; all of them have lower tariffs than us and they are bigger exporters to the U.S.

But if I just consider 50% tariff, sir, do you think is it possible for any company in the Indian space to pass on that kind of tariff? If not, then do you think eventually this will become a very volume-driven market for us? And whatever we said that U.S. is a high-margin market, does that then slowly taper off? Because then you will have to probably eat up your margins a little and just play on volumes. Do you see that happening in the future?
Rajesh Jain: So there are two, three parts in your question. First part if I consider if it is commodity based tariff, then it will make things on equal ground for India as well as with other countries.
Secondly, if India specific duty is higher than other countries, then there may not be that much viability in that market.
But at the same time, see one, we are not only in copper export; but since we have aluminium cables also what we are exploring now. Right now we are doing only copper, but we are exploring cable made of aluminium also. So maybe that can make us more competitive. And at the same time here I would also like to give an explanation that since the overall we have 30% export and out of that, around 8% to 10% at U.S.A.
So overall, I have around 2.5% exposure to U.S. market. At the same time, we have huge opportunity in other countries. Good part with us that since we are largest exporter, I have presence in so many countries. So I'm not dependable on only one or two countries. And this gives me a good opportunity to cover either by new geographies or same geography with additional business and new products also.
Now when we are expanding our cable capacities, this will help me to grow my export business.
Nattasha Jain: Got it, sir. Just 1 follow-up on that. Sir, do you also see a possibility of dumping happening in other geographies and that probably eroding anybody's competitive advantage in other geographies barring U.S.?
Rajesh Jain: No, I don't think so. Though it is pure, pure -- right now it is like guesswork only. Since we are still not very clear how U.S. will behave so it will be too early to comment anything on that.
Nattasha Jain: Fair enough, sir. Sir, just 1 last question on FMEG. Your numbers have -- at least your degrowth was comparatively lesser to your peers given the fact that you are still indexed very highly to fans and your growth guidance is also strong here.
You've had good margin, at least your losses have compressed. I want to understand what product category within FMEG helped you kind of contract your top line growth to just 2% versus peers at double-digit degrowth. What parts move there?
Rajesh Jain: So yes, two things are important. Fan is contributing almost 50% in my FMEG business while lighting is around 30%, appliances is around 10% and rest is switchgear. Within fan since now we are not only in economy range, but we have introduced premium, mid-premium category; we are getting good market share in that. In my overall sales, we are getting 20% revenues from

premium products. So this is improving my visibility and also improving our margins and we
ar

e doing better than our peers.
Nattasha Jain: Understood. Thank you so much and all the best.
Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.
Rahul Agarwal: Sir, two questions. Firstly, on the domestic side. On the wires, how would have the markets behaved? If you could share some color on the entire quarter? I understand April was weak purely because of copper volatility. But overall for the quarter between your core markets, weaker states, new markets where you're entering; if you could give some color on how is the demand shaping up?
What are the new product launches happening on the wire side? Is there also the mix is improving on the value-added side? And you also mentioned distribution in Tier 2, Tier 3. If you could cover that as well in terms of overall domestic market for wire, that will be helpful, sir.
Rajesh Jain: So Rahul, as rightly pointed out by you, we have done better in this quarter in domestic wire segment. And as we are already very strong in our North and Western part of the country so though we are opening up new markets also and they are doing very well in South and Eastern part of country also, but still since base is very small so overall it seems like reasonable growth only. But as per our plan, slowly and steadily we are expanding our distribution base all over the India. And just now it is a matter of time how I improve the depth of my overall market.
Rahul Agarwal: Sir, is it possible -- you mentioned overall volume growth for the business was 6.5%, wires was 10% and cable was 2%. Is it possible to know domestic wire volume growth and domestic cable volume growth, if it's possible?
Rajesh Jain: So in domestic cable, we were little bit on negative side. So whatever growth we got in domestic was majorly driven by our wire growth only. So exact numbers I do not have readily available, but majorly driven by wire and cable was only growing to some extent in this quarter.
Rahul Agarwal: Got it. So sir, when I'm benchmarking it to other peer sets, right, I mean I understand there is some spill over on cables. I don't know whether that's domestic or export, but I'm assuming that's export. If you could clarify that. And overall...
Rajesh Jain: Just I would like to clarify that that is on domestic side only where few of our orders could not be executed in those quarters and that is the reason on prima facie it seems on degrowing side.
But overall, looking to my production and overall demand facility, we are on positive and planned figures only.
Rahul Agarwal: Yes. Okay. Got it. So like we've already -- July is already finished. Is that entire spill over already taken care of or it's going to be more spread over?

Rajesh Jain: So I could not comment on current quarter, but as already told, we are quite confident to get that 25% kind of volume growth in next 3 quarters itself explains the situation.
Rahul Agarwal: Got it. And just to come back on the previous question on the domestic side. It looks like peers have done much better. Any comments on market share or is it more to do with just seasonality and some bit of up and down on the volatility? What is this -- why is this number so low for RR Kabel?
Rajesh Jain: So overall, in the beginning also I said that we are planning to grow around 12% in wire and 25% in cable. So we are in that line only. Since we are a wire heavy company and more growth is coming from cable so the major growth will be seen in the coming quarter.
Rahul Agarwal: Got it. Thank you so much and Mahendra Ji best wishes for the role and look forward to interacting with you very soon. Thank you and all the best.
Moderator: The next question is from the line of Raman KV from Sequent Investments.
Raman KV: Sir, my first question is with respect to copper prices. So with current copper prices increasing during this particular quarter, can we expect margin

pressures in the coming quarters?
Rajesh Jain: No. So see, copper volatility is part of our business and, as you are aware, there is a mechanism where we keep passing on the prices to our consumers based on whatever there is upward or downward trend. So it is a continuous cycle.
Raman KV: Okay. So I just wanted to clarify this part. So it's easy to pass on the prices to the customer, right?
Rajesh Jain: Yes. So whenever there is, say, plus or minus 2% or 3% variation in our copper prices, then we

change our selling prices also. So it could not be done on daily basis since we are in B2C category. So what happens at the industry level, we see and observe the price trend of last 15, 20 days and change our selling prices also.
Raman KV: So basically the price realization happens every 20 days like every month?
Rajesh Jain: Sorry, your voice is not clear. Can you repeat, please?
Raman KV: So I just wanted to clarify that you basically do the price readjustments every month based on the copper prices?
Rajesh Jain: So it's not every month. It depends on the fluctuation in copper prices or raw material prices. So sometimes it may remain same for 2 months also and sometimes there may be 2 price revision in the same month also. So as I informed that it is based or depends on the fluctuation in your raw material prices.
Raman KV: Okay, sir. And my, sir, second question is with respect to you giving us guidance of 25% growth in terms of cable volume mainly because there will be cable capacity coming online in the

coming quarter. I just wanted to understand what is the current manufacturing capacity of cables and what will be the manufacturing capacity of cables by the end of this year?
Rajesh Jain: So as of now, my cable is contributing 30% in my overall revenue while wire is contributing 70%. And as we are telling if I grow by 25% in cable segment, then this ratio may go in 32% or 35% by year-end.
Raman KV: No, no. I just want to understand the manufacturing capacity. What's the current manufacturing capacity of cables versus how much manufacturing capacity of cables will be coming by the end of this year, only with respect to cable?
Rajesh Jain: So right now within cable also, we have industrial cables, LT cables, ST cables and capacity is quite fungible also. Whatever capex plan we have done, whatever capacity we were having at the end of '23, now we are almost doubling our capacity with -- doubling the capacity, out of which few have already been added, few are in the process. And at the same time new capex, again we are doubling whatever capacity we have. So I cannot give figures exactly.
Raman KV: Yes. I understood. I just wanted to clarify. You are basically saying whatever was the cable capacity at the end of 2023, you are doing 2x by the end of this year and then within the next 3 years, you will do 2x of that?
Rajesh Jain: Yes, yes, exactly. That is our plan.
Raman KV: Sorry, come again, you said something?
Rajesh Jain: That's what we have planned to expand our business.
Raman KV: And sir, currently the exports are contributing about 30% of your total overall revenue. Going forward because we are seeing a huge demand from Australia and Europe in terms -- because they are doing various grid upgradation. So do you expect this percentage of exports to improve further?
Rajesh Jain: Yes. So this ratio may vary by 1% or 2% on quarter-to-quarter basis, but at max it can go up to 35% because we have equal focus on our domestic market as well.
Raman KV: Ok, Thank you Sir. I will rejoin the queue if i have any further questions.
Moderator: The next question is from the line of Mehul Mehta from Choice Institutional Equity.
Mehul Mehta: My question is related to capacity utilization. At the end of quarter 1, what would have been capacity utilization for cable and wire separately?
Rajesh Jain: So in wire we are at around 70% while ca

ble we are already at 92%, 95%.
Mehul Mehta: So that is similar to what we are having at quarter 4 end, is it?

Rajesh Jain: Yes, yes. So if you see our growth is on similar trends only and planning is also to grow in that way only.
Mehul Mehta: Okay. And is it in terms of cables, whatever capacity expansion, whatever capex we have incurred of about INR5 billion in the past 2 years. So that will be commencing in quarter 2. Is that correct?
Rajesh Jain: No, no. Already few parts of that was operational in last year, few part is operational from April. So it is like a continuous process. As I told in the beginning also, whenever we do capex, it is not like a Whitefield project where all capacity will be added on one night. It is like modular expansion where we keep adding few capacities on quarterly or half yearly basis. So this is

continuous process.
Mehul Mehta: Understood. And in terms of capex during the quarter 1, what would have been capex incurred by us so far?
Rajesh Jain: It may be around in the range of INR50 crores to INR75 crores.
Mehul Mehta: INR50 crores to INR75 crores. Okay. And I believe some about INR150 crores you were to incur for expanding capacity and post that, what you call, INR10.5 crores. So what has been so far incurred on INR150 crores?
Rajesh Jain: I'm not sure which INR150 crores you are asking?
Mehul Mehta: You said like INR1,200 crores is total capex which will be incurred going forward. So out of that INR150 crores separately and INR1,050 crores in I think Waghodia. So at Silvassa I think INR150 crores. So out of this, what would have been incurred in terms of INR70 crores, INR75 crores, it will be on Silvassa part or both put together?
Rajesh Jain: That was major. So when you are referring that INR150 crores and INR1,200 crores -- sorry, INR1,050 crores, that is based on location which is Silvassa and Waghodia. In Silvassa, yes, now currently expansion is going at Silvassa where we are completing the project, which was part of my last expansion. And even at Waghodia also the cable expansion, work is going on continuously and few of the capacity will be added in this quarter. So it is a mix of both the projects.
Mehul Mehta: Thank you and all the best.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.
Balasubramanian: Sir, regarding FMEG, right now we are doing improvement by doing cost reduction initiatives. So what are the key hurdles in terms of distribution, brand recognition, pricing pressures? So which are where we are lagging and what are the strategic initiatives we are taking to be profitable by end of the year? And secondly, I think that around 20% of revenue comes from

premium products a broader mix of premium, midrange and standard products in that FMEG segment?
Rajesh Jain: So in FMEG, we have done in previous 2 years and even in this quarter also. See, it is if you see one was a better product mix. Second, if you see, we have done better than the industry in terms of growth also and in terms of profit improvement. Rather in our case, it was reduction in losses. And in last year also, we reduced our -- on a yearly basis, we reduced our losses by almost 400 bps. And in this quarter when I compare with quarter-on-quarter, then our improvement is around 550 bps. These are driven by one is scale. As we are getting more and more scale in my FMEG business, the cost is being absorbed on higher basis.
Second, product mix is changing and if you have to make profit in FMEG, then the revenue must come from premium and mid premium category. And fairly we are doing good when our 20% of revenue is coming from premium products. And at the same time, we are improving our sales prices, we are improving on cost front and this is resulting in higher growth and reduction in losses.
Balasubramanian:

Sir, secondly, as per industry report, around 40% of revenue -- 40% of demand majorly comes from real estate side. And how products are majorly into whether it's residential or commercial focused? And secondly, how these renewables and data centers are growing as per our business? And what kind of contributions we can expect in these segments?
Rajesh Jain: So when we talk about -- I think you are referring to our wire and cable business. So in wire and cable business, in wire majority of the growth comes from construction be it residential or commercial properties. So growth is coming from all the segments.
But now we are more hopeful and we are confident that more growth will come from infrastructure, data center, export business. So our cable segment is expected to do better. Even at industry level also, the same thing is expected that even if wire may grow at 10% and cable may grow at 15%, 16% at industry level. So this industry can grow at 13% to 14%.
Balasubramanian: Got it sir, Thank you.

Moderator: The next question is from the line of Nikhil Purohit from Fident Asset Management.
Nikhil Purohit: Sir, my first question is can you tell me the current capacity across Waghodia, Silvassa and Roorkee and their current utilization levels?
Rajesh Jain: So we have two plants of wire and cable. One is at Silvassa and other is at Waghodia while Roorkee, Garget and Bangalore are our FMEG plants where we are producing fans and lights.
As I told in wire and cable, like already in wire we are at around 70% to 75% while in cable we are at 90% to 95%.

Most of the wires are got produced at Silvassa only while at Waghodia we have both wire and cable. Fan, it is seasonal products so capacity depends from season to season. Sometimes it is at 100% also, more than 100%.
Nikhil Purohit: Understood. And could you just update me with the current capacities at Waghodia and Silvassa particularly? Not the utilization, the current capacity?
Rajesh Jain: Capacity, sometimes it may be very tough because it depends on product to product also. We have quite fungible capacity where wire capacity can be used for industrial cables also and something like that. So it may not be that much particularly I can give the figure. But yes, more or less, I can say almost 30% to 35% capacity is at Silvassa while at Waghodia we have around 65% capacity.
Nikhil Purohit: Got it. And sir, just wanted to confirm what is our full year guidance for capex this year?
Rajesh Jain: It may be in the range of around INR300 crores.
Nikhil Purohit: 300 crores, Got it. Thank you.
Moderator: The next question is from the line of Nattasha Jain from PhillipCapital.
Nattasha Jain: Sir, just wanted to understand are we completely into distribution cables or do we also supply a little bit of transmission cables as well?
Rajesh Jain: So it's a combination of both distribution and transmission, both. So we are not in conductor business. We are purely in HT and LT power cable only, which range up to 66 kV.
Nattasha Jain: Got it. Sir, just a broader question here in terms of industry understanding. Sir, for transmission, the cabling which is underground would be very high voltage, right? It would be classified as EHV or would it still come as high tension?
Rajesh Jain: It will be a combination of both. EHV will be -- at a higher level, it will be at EHV. But then when it will be further distributed, it will convert to HV also.
Nattasha Jain: Got it. So we are present in both HV on the transmission as well as the distribution power cables.
Rajesh Jain: Yes.
Nattasha Jain: Got it. Thank you so much.
Moderator: The next question is from the line of Raman KV from Sequent Investments.
Raman KV: I just wanted to understand this INR1,200 crores capex, what will be the asset turn on this?
Rajesh Jain: So with this, we are expecting top line of around INR4,500 crores at full operational le

vel
because this is a combination of wire and cable both.

Raman KV: Okay, sir. Thank you, sir.
Moderator: Thank you. In the interest of time, that was the last question. I would now like to hand the conference over to management for closing comments. Thank you and over to you, sir.
Rajesh Jain: Thank you, everyone for taking some time out to participate in this call. In case of any queries, reach out to our Investor Relationship agency, MUFG Investor Relations. We wish you all the best and hope to interact with you soon. Thank you so much.
Moderator: On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

7 November 2025

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 3 November 2025.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 3 November 2025 in relation to the financial results of the Company for the quarter and half-year ended on 30 September 2025.

We request you to take the above on record.

Thanking you,

Yours faithfully,
For R R Kabel Limited

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

Encl.: as above

"R R Kabel Limited
Q2 FY26 Earnings Conference Call"
November 03, 2025

MANAGEMENT : MR. MAHENDRAKUMAR KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF OPERATING OFFICER – R R KABEL LIMITED

MODERATOR : MS. DARSHNI DESAI – MUFG INTIME – INVESTOR RELATION

R R Kabel Limited
November 03, 2025

Moderator: Ladies and gentlemen, good day. And welcome to Q2 FY '26 Earnings Conference Call of R R Kabel Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Darshni Desai from MUFG Intime, their Investor Relations. Thank you, and over to you, Ms. Darshni.
Darshni Desai: Thank you. Good afternoon, everyone, and I extend a very warm welcome to all participants on Q2 and H1 FY '26 Earnings Conference Call of R R Kabel Limited. Today on this call, we have Mr. Mahendrakumar Kabra, Managing Director; and Mr. Rajesh Jain, Chief Operating Officer.
Before we begin this call, I would like to give a short disclaimer. This call may contain some forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guarantees of our future performance and involve unforeseen risks and uncertainties.
With this, I hand over the call to Mahendrakumar Kabraji. Over to you, sir. Thank you.
Mahendrakumar Kabra: Good afternoon, everyone, and a warm welcome to all of you joining us for our quarter two FY '26 financial results discussion call. I'm pleased to be joined today by our COO, Mr. Rajesh Jain.
I hope you had a happy and a safe Diwali. Before I start, it is honoured to announce the leadership transition of Shri Rajesh Jain to Chief Operating Officer, following an exploring tenure as our Chief Financial Officer; and Shri Jigar Mehta, previously Vice President, Finance as our Chief Financial Officer. I extend my warmest congratulations to them as they step into their new roles.
The second quarter has been particularly encouraging for R R Kabel as we delivered robust growth, both in revenue and profitability. This strong performance was primarily driven by the resilience and expansion of our core wires and cable business, which remains the backbone of our company's growth strategy.
The wires and cable industry continued to perform well, supported by several economical drivers, robust construction activity, infrastructure expansion, renewable energy expansion, government focus on electrification and healthy demand from both institutional and retail markets.
R R Kabel has leveraged these trends to deliver another quarter of consistent growth driven by strong traction across product categories and sustained operational discipline, enabling margin expansion. Our focus on high quality, safety standards, value-added offerings and compliance

with global quality benchmarks has further strengthened our market position, which helped us maintain healthy momentum across regions and end markets.
In the FMEG segment, market conditions remained challenging, particularly in fans and appliances, while switches and lighting products have performed better. Despite softer demand and seasonal headwinds, we have maintained steady performance, reflecting operational discipline and the strength of our diversified portfolio.
Our continued efforts in product optimization, cost efficiency and network expansion have yielded visible results. Overall, quarter two FY '26 marked a quarter of solid progress for R R Kabel year-on-year, as well as sequentially. We are confident that we'll be able to continue to deliver sequential growth in all parameters in second half of the year as well.
With this, I'd like to hand over the call to Mr. Rajesh Jain to take this call further. Thank you, everyone.
Rajesh Jain: Thanks, Mahendraji. At the onset, I'm grateful to the Board and our leadership for their trust and supp

ort over the years. In my new role as COO, I will continue to work to sustain R R Kabel's strong growth trajectory and deliver value to all our stakeholders. India's growth story remains strong. The second quarter saw stable GDP momentum, supported by government infrastructure spending, healthy private capex and gradually improving consumer sentiment.
While inflation moderated and rural demand is showing early signs of recovery, the broader industrial ecosystem remained cautious due to input cost fluctuation and uneven weather condition. Nonetheless, the electrical and construction sectors continued to benefit from ongoing infrastructure investments, housing growth and urban electrification projects, all of which form the foundation of R R Kabel's long-term opportunity.

The Indian wire and cable industry is also witnessing a shift towards organized and branded players driven by highlighted consumer awareness around safety, efficiency and compliance. R R Kabel with its deep distribution network and premium product positioning is well aligned to capture this transition. Furthermore, export demand remains healthy, supported by rising global preference for Indian manufactured cables that adhere to international standards and certifications.
In this favourable environment, R R Kabel has delivered another quarter of consistent growth and operational excellence. Our continuous focus on value-added, energy-efficient and safety compliant products continues to differentiate R R Kabel in a competitive landscape.
Our revenue from operations for the quarter stood at INR2,163.8 crores, representing a solid 19.5% year-on-year growth, compared to INR1,810.1 crores in Q2 FY '25. This growth was primarily driven by robust performance in the wires and cables business, where we achieved healthy volume expansion and improved realization. This segment saw a 16% volume increase, reflecting both institutional demand and the continued trust of retail consumers. For the first half of FY '26, revenue grew at 16.7% year-on-year, marking the highest ever half yearly revenue in the company's history.

On the profitability front, EBITDA rose sharply to INR176.1 crores, an increase of 105.8% year-on-year from INR85.6 crores in Q2 FY '25. The EBITDA margin expanded to 8.1% from 4.7% in the previous year due to operating leverage, reflecting better cost absorption and sustained efficiency initiatives across the procurement and production chain.
Our ability to manage cost pressures while maintaining quality has been a key differentiator in an otherwise competitive market. For the first half of FY '26, EBITDA reached INR319.2 crores, up 76.4% year-on-year with margin expanding to 7.6%, compared to 5% in the same period last year.
Moving to the bottom-line. Profit after tax for the quarter stood at INR116.3 crores, registering a 134.7% year-on-year increase from INR49.5 crores in Q2 FY '25. PAT margin expanded by 264 basis points, reached 5.4%, compared to 2.7% last year.
On a half yearly basis, we reported our highest ever H1 PAT of INR206 crores, up 80.9% year-on-year with margins improving by 173 basis points to 4.9%. Overall, Q2 FY '26 has been a quarter of solid progress, demonstrating the strength of our core business, disciplined execution and robust demand environment.
In terms of segment performance, the wires and cable business remains the primary growth engine. The segment reported revenue of INR1,971.2 crores in Q2 FY '26, up 22.3% from INR1,611.8 crores in Q2 FY '25. For the first half, the segment delivered INR3,804.7 crores, a growth of 19.3% year-on-year.
Segment profit rose sharply to INR180.4 crores, more than double from INR81.8 crores in the same quarter last year, supported by a 16% volume increase and stronger realization. Our business benefited from consistent institutional demand and a firm retail base, supported by efficient executi

on and cost optimization.
The FMEG segment, on the other hand, experienced a marginal decline in revenue, recording INR192.6 crores compared to INR198.3 crores in Q2 FY '25. While the broader market environment remained challenging for fans and appliances, a festive-led recovery is underway. Our efforts towards product rationalization, operational efficiency and cost control helped keep losses largely stable. We remain confident that with the ongoing improvements in channel reach and brand strengthening, the segment will continue to its path towards gradual recovery and profitability. Our working capital has remained stable during the period with debtors days being in line with previous periods.
Inventory levels were increased to increase consumer demand and ensure uninterpreted supply amid rising demand. On the demand front, domestic sales continued to drive growth during the quarter, supported by increased spending in housing and construction as well as steady industrial and infrastructure activity. Export demand also improved, particularly from key markets, reflecting our efforts of diversify geography and expand our global footprint.

Looking ahead, we remain optimistic about the outlook for the second half of FY '26 and expect the second half to do better than first half. The underlying demand environment continued to be favorable, supported by government infrastructure initiative, the ongoing formalization of the electrical sector and increasing consumer preference for branded energy-efficient products.

R R Kabel remains focused on deepening its distribution reach, expanding export footprint and introducing technologically advanced products that cater to emerging sectors. Our strategic investment in automation, digital sales enablement and brand building will continue to strengthen our leadership in the industry.

With this, I would request to open the floor for questions-and-answers.

Moderator: The first question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Congratulations for good set of numbers. My question is, if I look at the performance over the last two quarter to three quarters, we have been probably doing well on the margin side. On wires and cables EBIT margins, we last year exited at close to around 7.4%. And currently, we seem to be on the upward trajectory. So, how should we look at the margin performance?

Q -- H2 should be similar to Q2 levels or H1 levels and probably the volume growth that we have registered during the quarter two. That momentum continues even in October and probably that should be expected in second half, how confident we are on that based on the current visibility?

Rajesh Jain: Thanks, Manoj, for your question. Like last year, we had EBIT margins of 7.4% in our wires and cable business. And at the same time, we had targeted to improve by almost 100 basis points and we are very happy to share that we have achieved this target in first half also.

At the same time, now also we have our plan to improve these margins and maintain the volume growth and even to do and achieve our target of 18% volume growth, what we have defined in our Project Rise. So, with that, we are quite confident that our H2 will be better than H1, what we have achieved.

Manoj Gori: Glad to hear that. Sir, lastly, if you look at probably the inventories that you just highlighted, so is it just a near-term thing and probably should we expect the working capital going back to normal cash flows turning positive at the end of the year?

Rajesh Jain: Yes. So, if we see only from cash flow point of view, of course, it is like a little bit on negative side. But at the same time, it will get normalized by this year-end. And if we see like inventory or our debtor's level, it is in line with our expected levels what we have planned, and like whatever levels we have, like net working capital of 57 days, we'll

maintain those levels.

Manoj Gori: Right, sir. Sir, lastly, if you can throw some light on progress on cables, how things are panning out there, probably, how the expansion plans are on track. So probably any progress over there, that would be helpful, sir.

Rajesh Jain: So our long-term expansion plan of investing INR1,200 crores, particularly in wire and cable business, in that also like major focus is or investment is in my cable segment only. The -- our overall project is in line what we have planned and expansion is going in line with our master plan only.

Manoj Gori: Sure sir, Thankyou and wish you all the best.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Yes . Congratulations to Rajeshji and Jigarji for elevation. My first question, sir, is related to the margin only because this quarter on an overall basis, gross margin improved 300 basis points. So, is there any inventory gain also accounted in this quarter because of LME prices?

Rajesh Jain: Thanks, Praveen. See, when you see this margin improvement, we are comparing with last year Q2 FY '25, which as I already told, that was not very normal. But when you compare with my yearly gross margins of last year also, we have seen a good improvement and this is sustainable. And this we have achieved through my better product mix and like whatever efficiency control we are bringing in our operations. So, these are maintainable and sustainable margins, and we'll keep achieving and improving in this front. There is no impact or larger impact on the copper prices.

Praveen Sahay: Okay. Okay. Good to hear, sir. Second question, sir, as you had earlier also and even in the media also, you had said 18% of a volume growth for a year. That tells that the second half required 23%, 24% of volume growth. So, from where and how confident you are to achieving such kind of a good volume growth?

Rajesh Jain: So in our Project Rise, what we have targeted 18% volume growth on CAGR basis. So -- and as per our plan, we are on track on quarterly or half yearly basis, there may be like 1%, 2% here and there, but we need to see this growth in larger business plan and prospectus.

Praveen Sahay: Yes. Okay. And any color on the export because export grew very fast this quarter. So, any geographical specific locations you are getting more of a traction from where you are getting

such kind of 35%, 36% a growth there?
Rajesh Jain: So export, of course, we got some new customers and new geography also. Still Europe and Middle East, our biggest market and we are getting very good growth from there. And overall, if you see like, there may be like 1% or 2% here and there, but our focus is on domestic, as well as export market. It is equal focus, but the result or figures may vary by 1% or 2% here and there.
Praveen Sahay: Okay. Last question, sir, on the FMEG, when you are expecting a breakeven?
Rajesh Jain: By Q4 of FY '26.
Praveen Sahay: Okay. So earlier guidance is maintaining that. Okay.
Rajesh Jain: Yes. Yes.

Praveen Sahay: Thankyou sir and all the best.
Moderator: The next question is from the line of Achal Lohade from Nuvama Wealth Management Limited.
Achal Lohade: Congratulations for strong results. Sir, the first question I have, you've said that exports have grown 20% Y-o-Y. And particularly, you've made a comment that Europe and Middle East continue to do well. So, if you could give us some sense in terms of what is the mix in terms of regions?
Where the customer additions and see if any further certifications or additions on approvals we have seen? And how do you see this exports growth? Will that be absolutely in sync with the overall growth? Or do you think there could be an opportunity to have a much larger growth?
Rajesh Jain:

So in export, if you remember, like earlier, we were having some exports of around 8% to U.S. also. And there were like some talk and some disturbance due to tariff challenges also. But still, since we have very diversified export market, and so we were able to get or compensate it through our existing market and new customers also. Still like most of our sales in export is coming from Europe and Middle East, which is almost 75% to 80% of revenue coming.
At the same time, like we are making very good efforts for new approvals and new market. And we hope that, again, U.S. market very soon, it will be on a normalized basis, and we'll have higher growth from those markets also.
Achal Lohade: So, are we seeing like was there any disproportionate growth for U.S. exports in this quarter gone by?
Rajesh Jain: No. Not disproportionate, but like U.S., if it was like 8%, contributing 8%, so contribution might have reduced by another 2%. But at the same time, whatever growth we achieved was from new or new markets and new customers, which are in Europe and Middle East only.
Achal Lohade: Okay. Okay. The second question I have is given the significant increase in the aluminum and copper price, particularly copper price, if you could give us some sense, how does it impact us, particularly on the export front? Do you see margin pressure on an optics percentage perspective?
Rajesh Jain: So if copper prices remains keep increasing, then there may be some impact. But what happens since we are focusing on our change in product mix also in exports, now we are having more focus where like products like cable or special wires where we have higher margins. So, it will get be covered or rather improved from export market also. And these copper prices are always -- volatility is always part of our business. But at the same time, we are on right to improve our margins by changing product mix in favorable situation.
Achal Lohade: Got it. Any guidance for FY '27, sir, in terms of the margins?
Rajesh Jain: No. It will be in line with our -- so Achal, it will be in line with our Project Rise only, where we have given guidance about our growth expansion plan and product mix, everything.

Achal Lohade: That remains as is. Okay. Got it. And just a clarification, the volume growth, if you could call out for first half?
Rajesh Jain: It is around 12%.
Achal Lohade: 12%. Got it. Allright sir I'll go back in the queue for follow-ups.
Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.
Dhruv Jain: Sir, my first question is on the utilization level. So, if you could just spell out what is the utilization level of cables and wires? And incrementally, the capacity addition that you are doing in cables, how much of it would be in terms of quantum or volume, whatever you want to share,

higher than the 66 kV piece in the higher voltage segment?
Rajesh Jain: So Dhruv, if you see, we are already like almost 70% utilization in my wire business while 90% in cable business. And in line with our growth plan, we have planned our capex in such a way that we keep meeting our projections of getting higher growth in cables and wire as well. So, our expansion will keep coming in execution in line with our increasing demand and increasing business plan also.
If I talk about like 66 kV and above like the measure this capex plan, what we have planned for INR1,200 crores in this like almost 80% is for cable, which includes LV cable also, HV cables also, and like we plan to achieve production capabilities up to 220 kV.
Dhruv Jain: Sure, sir. So, in that, what would be the share of the HV cables in terms of overall capacity?
Rajesh Jain: See, in power cables, majority of the operations like wire drawing or extrusion or armoring process remains the same. So, there are many things common. So, to some extent, our brand -- sorry, our product mix is fungible wi

thin cable segment. So, it depends during that time, what kind of demand we get. But at the same time, we have flexibility to have some product mix change and keep my product utilization to optimum levels.
Dhruv Jain: Sure, sir. Sir, my second question is on your market share in certain specific states. So, at the time of the IPO, you had highlighted certain key states in the south and the eastern markets where your market share was less than 5%.
Just want to get a sense of how is the progress in terms of market share gain, and incrementally, is there enough opportunity in those states for you to continue gaining market share or are you at a reasonable level in that sense and incrementally growth will be closer to the market growth in those states?
Rajesh Jain: So still our major growth is coming from our strong markets, which is west and north only. But at the same time, since we have a very good establishment or setup of distributor dealer in south and other East geography also in some states.
So there, we are looking or we have seen a good growth, but still it is overall having very less contribution in my overall market share. So, you cannot see a very significant growth, but we

are in line with our master plan and we will keep focusing on new states or states where my market share is below less than 5%.
Dhruv Jain: Sure, sir. And sir, on the cable side, as the new capacity comes through, which is also catering to the higher voltages, is it safe to say that your institutional share of the volume will go up materially, which could have some bearing on your margins or that's not the case?
Rajesh Jain: So, when we talk about cable business, which is mainly to institutional or B2B side only, so there -- and since we are a very small player there, and we need to be a sizable player and our majority of the investment is also coming in that segment only. So, we'll see a good increase of share from that segment. At the same time, that will improve our margins also. It is not that, that will reduce my margins.
Dhruv Jain: Okay sir. Thankyou so much and all the best.
Moderator: The next question is from the line of Vidit Trivedi from Asian Market Securities.
Vidit Trivedi: Congratulations on great set of numbers. Sir, could you please give the breakup on the volume growth between -- in wires and cable segment separately?
Rajesh Jain: So, in this quarter, we had a similar growth of 16% in both wires as well as cable, almost similar.
Vidit Trivedi: Got it. Sir, I remember in your last call, you've mentioned that there is some spillover of major cable contracts to this quarter. Have we completed that? And the overall volume growth of 16%, is it because of this?
Rajesh Jain: No. No. It's -- there was very little impact in that quarter also. And it is continuous process since contracts are always continuous and we'll keep supplying to long-term projects also. So it is like a regular process, and it is not a very big contribution of spillover of contracts.
Vidit Trivedi: Got it, sir. Sir, one last question. Could you please comment on the margin sustainability in the wires and cable segment for the coming quarters and, let's say, FY '27 and '28?
Rajesh Jain: In our long-term planning, we have like targeted of having EBIT margins in wire and cable in the range of 10.5% to 11% kind of margins by FY '28. At the same time, if you see we have targeted an improvement of 100 basis points in this year, and we are in line with our project.
And since normally, second half of this industry remains always better looking to the demand and industry behavior. So, we are quite hopeful to sustain or rather improve these margins in H2.
Vidit Trivedi: Thanks a lot sir all the best.
Moderator: The next question is from the line of Sandesh Shetty from HSBC.
Sandesh Shetty: Congrats for a great set of res

ults. And also Jain sir, congratulations on your elevation and Mr.
Jigar for your elevation. Sir, my question to you is on the demand side. We are seeing a lot of inflation in copper. Do you foresee any impact on demand due to it -- near-term challenge?

Rajesh Jain: No. No. So, this price fluctuation, as I already told, this is part of our business. Demand is like -- has to be there. The way we see Indian economy is growing, the investment in infrastructure is coming or our real estate or maybe data centers. So everywhere based on the micro level of Indian economy, we are quite hopeful that this demand will remain stable or rather it will be very good in coming years.
Sandesh Shetty: And second question, sir, on exports. So, for this quarter, the exports growth has been in line with domestic. So, the growth was driven by cables or it is similar for export growth also?
Rajesh Jain: Yes. In export also, we have seen a similar growth in wire and cable division. So, see, we have a very equal focus, be it the wire business or cable business for domestic or export. So, like we are getting results from all the segments and areas.
Sandesh Shetty: Okay. And sir, in FMEG, you mentioned that you expect to breakeven by last quarter. So, on a full year basis, is it possible that we breakeven or it will be spilled over to next year?
Rajesh Jain: So, on a quarterly basis, we'll achieve our breakeven. And of course, since this year already, you have seen we have done a very good improvement or our losses has been reduced when I compare H1 versus H1 of this year in FMEG. So overall, there will be very negligible impact in negative side.
Sandesh Shetty: Okay. And sir, lastly, on -- you mentioned certain special category of cables that you are planning to introduce or already launched. Sir, can you elaborate on which are the end markets that the special category cables in, which are high margin?
Rajesh Jain: See, as of now, we are a very big player in B2C category, which is like building wire or projects and everything. But as our capacity is coming and our focus is increasing on cable business and special business. So, like we hope that we'll get more presence in utility business or B2B infrastructure business, data center and OEM business where we have larger demand for special cable.
Sandesh Shetty: That’s all from my side thankyou sir and all the best.
Moderator: The next question is from the line of Pankaj Tibrewal from IKIGAI Asset Manager.
Pankaj Tibrewal: Congratulations on good set of results. My question is to Mahendraji. So, when I look at R R Kabel into two parts, one is pre-IPO and one is post-IPO. Pre-IPO normally, we used to compound at a very high rate. And after IPO, because of various external or internal challenges, there was a period where things didn't go our way. Now for the last two, three quarters, we are seeing that renewed growth and attrition coming back?
Rajesh Jain: Pankaj, your voice is very less. Can you repeat this?
Pankaj Tibrewal: Can you hear me?
Rajesh Jain: Yes. It's better. Yes. It's better. Please continue.

Pankaj Tibrewal: No. What I was saying was that when I look at R R Kabel into two parts, pre-IPO and post-IPO, pre-IPO, we used to compound at a very strong rate every two, three years, four years, we used to double. And then there was a phase post-IPO where we had a struggle for growth.
And last two, three quarters, we are seeing the same growth path coming back again, which R R Kabel was used to. What has happened in the last two, three, four quarters? And how sustainable we are looking at it? If you can just help us understand, it will really help us understand that R R Kabel is back on the growth path?
Mahendrakumar Kabra: See, overall, the economy...
Pankaj Tibrewal: Last two, three quarters has been really, real

ly good that we are seeing that aggression again
coming back on the growth side?
Mahendrakumar Kabra: Thanks for this question. See, overall, if you see the industrial scenario and economic survey, total country is growing in a certainly good percentage. And we also R R Kabel, we are following the same thing. We are focusing more on the institutional sales, project sales of retail sales, and this is definitely going to help us to grow further.
Pankaj Tibrewal: Yes. But from a business side, Mahendraji, what has been the focus, how we have seen management changes? If you can just elaborate a bit that.
Mahendrakumar Kabra: No. It's not any management changes. From family, my Rajesh Kabra, who will be taking care

for the wire and cable, Mahesh Kabra, my elder brother son, he will be taking care of the FMEG business. So, this is -- you can say a small succession plan. Otherwise, there's no management changes, as you can see.
Pankaj Tibrewal: From a focus perspective, what has gone right in the last two, three quarters, which has given us that growth?
Mahendrakumar Kabra: See, young team is there, they're more focused now. They work further more ahead.
Pankaj Tibrewal: Okay.
Mahendrakumar Kabra: And I'm more confident with this team.
Pankaj Tibrewal: Okay. And anything on the product side on the wires or the cables, which is…
Mahendrakumar Kabra: Product side…
Pankaj Tibrewal: Any geography or any geography. If you can just give some granular details, it will help us get that confidence that the growth is now sustainable over the remaining two quarters this year and maybe going forward in the medium-term. Any granular detail will help.
Mahendrakumar Kabra: I'm confident of growth in all the regions. Overall, even in the export market, you can see we have grown very well, similarly in the local market also. So, I'm very hopeful we will follow the last two quarters' trends.

Pankaj Tibrewal: That's encouraging. And on the margin side, if I hear you right in the previous questions, Rajeshji is very confident about margin trajectory improving.
Mahendrakumar Kabra: Naturally, if revenue grows in this way.
Pankaj Tibrewal: Yes.
Mahendrakumar Kabra: Your margins are going to be better.
Pankaj Tibrewal: Wish you all the best.
Moderator: The next question is from the line of Balasubramanian from Arihant Capital.
Balasubramanian: So my first question, whether we have taken any price hike in Q2 or any price hike anticipation over the next one or two quarters? Because due to commodity price rises, one of our competitors have like mentioned 3% price hike in this quarter, especially in Q3.
And secondly, in that within domestic business, which end markets are driving growth, especially residential, real estate, industrial and infrastructure or renewable? And how we are positioned to capitalize on the government infrastructure push, especially PLI scheme, smart cities and power distribution reforms?
Rajesh Jain: Yes. So, thanks for your question. See, price hike is a regular process of our business, and it is not about hike or rejection. It is related with our raw material prices, which is copper and aluminum. And in practice, what happened, if there is any major hike, say, more than 3%, either positive or negative, then we have to change the prices.
So, in last quarter, we have seen almost three to four new price list at the same time. So it is like a continuous process, and it had to be connected, with the raw material price movement rather than a price hike in separate. Secondly, like since we have like our major growth plan and focusing in new product categories where right now our major contribution is coming from building wire.
But at the same time, we have very good capex plan for cables and the growth will come from like infrastructure development, data center or export geography where we have seen a very good d

emand for cables -- Indian cable products. So, our overall growth will come from -- in India also and in export also, the growth what we can foresee in infrastructure investment or specialized cable utilization.
Balasubramanian: Okay sir thankyou .
Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.
Rehan Saiyyed: Like my majority of questions have been answered. So just wanted an update and overview of the market regarding Tier 2 and Tier 3 cities. So, sir, how is the retail demand environment trending across Tier 2 and Tier 3 post festive season? Are you seeing early signs of restocking in the wires and cable segment this time? Can I complete my question?

Rajesh Jain: Yes. Yes. Please go ahead.
Rehan Saiyyed: Yes. And continuing with this thing, like can you please understand the increasing intensity in the organized cable market, especially from peers expanding capacities? How are you ensuring

pricing discipline while maintaining growth momentum. Yeas, it is my question.
Rajesh Jain: Yes. Thanks for your detailed question. And there are two parts. One is regarding the demand in retail market. Of course, we have seen a good momentum in Indian economy. And after GST 2.0 also, it is expected that people will have more savings and the customer spending will increase. And of course, this will increase our overall product demand also, especially wire and cable or be it FMEG also.
So, with the -- whenever economy do better, we'll have better chances to get more demand in retail market. At the same time, investment in our B2B category also and a very good growth is coming in infrastructure investment or export market. So, this is like -- seems a sustainable growth over next three, four years.
Rehan Saiyyed: Okay thankyou sir
Moderator: The next question is from the line of Naman Parmar from Niveshaay Investments.
Naman Parmar: Hello. Yes. Good afternoon, sir. So can you please give what is the order book for the cable division as of now?
Rajesh Jain: So, since we are more in the distribution business, so we are not having very long-term like one-year, two-year kind of orders. So, this is a continuous process. We keep getting orders and executing them.
Naman Parmar: Okay. Understood. So in current quarter, what was the contribution of cable and wire?
Rajesh Jain: It's almost in line with our original of 70-30 kind of contribution where wire contributes 70% and cable is 30%. So, it is in line of those ratio only.
Naman Parmar: Okay understood thankyou.
Moderator: The next question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited.
Sucrit D Patil: My question to Mr. Kabra is as competition in the electrical and wiring space keeps rising, what is R R Kabel doing to build a strong edge, not just through distribution or pricing, but through something deeper that makes the brand hard to replace?
Mahendrakumar Kabra: See, as a company, we always try to create a USP in our products and this is in the process of the research and development team, and naturally we'll follow whatever the international trends are there, and accordingly we are going to act.
Sucrit D Patil: Okay. I have another question from Mr. Jain. Can I just -- can I ask my question, please?
Rajesh Jain: Yes. Please go ahead.

Sucrit D Patil: As input cost and channel dynamics keeps on shifting, how are you planning to protect the margin? And what cost levers do you think will remain strong over the next few quarters? I'm just trying to understand how are you going to balance short-term volatility with long-term margin stability?
Rajesh Jain: So, like since we have like a very big plan for our expansion -- cable expansion where this -- we are a very small player in B2B segment. And once we ke

ep enhancing our capacity, leveraging our cost structure. As you know, like right now, we are a very small player in cable business. And once I expand my capacity, then my overall efficiency will improve, my price levels will increase, and we'll keep improving margins.
So, in longer term, like right now, our margins are on the lower side, but at the same time, we'll be at par with industry level and keep improving these margins through operating leverage as well as higher profit giving products and everything.
Sucrit D Patil: Thankyou very much and I wish the entire team best of luck for Q3.
Moderator: The next question is from the line of Abhishek Gulati from Gulati LLP.
Abhishek Gulati: So my first question is that in case of wire and cables, like we saw that like INR1 lakh crores market cap company, they are growing either at par with us or sometimes better than us. Now, we are able to catch up with them. So why in that case, even a smaller base than them, we are not able to capture the market share?
Rajesh Jain: See, our overall strategy is that how we keep ahead of the industry average, and we are on line of that growth only. Yes, when you see on short-term or quarter-on-quarter basis, there may be some deviation. But still, when you see our master plan or our capex plan, then, of course, we will achieve the better growth than industry average.
Abhishek Gulati: Okay. And almost all the players in the industry guide that they will be growing at 1.5x of the industry. So, what is our market share currently? And what we are targeting in terms of future in two, three years down the line?
Rajesh Jain: So, I hope this industry is expected to grow at 13%, 14% because by thumb rule, double of your GDP, this industry grows. And we are also -- since we are expecting a volume growth of 18%, so it will be better than industry average. And this, we are trying to get through a better product mix or new capex plan by investing in our cable business. And at the same time, wire will remain

in focus, which is our core contributor to our wire and cable business.
Abhishek Gulati: Okay. And last question is, what is our ROE target two years, three years down the line at the company level that we're targeting?
Rajesh Jain: It will be about more than 20%.
Abhishek Gulati: Okay wishing you all the best.
Moderator: The next question is from the line of Karan Kamdar from Choice Institutional Equities.

Karan Kamdar: Congratulations on a good set of numbers. Sir, I just wanted to understand, how are we separating ourselves from the competition in the FMEG segment, especially so that we can get a good growth in this segment. It's a very competitive segment as far as I understand. So, are our products different or is our pricing different? What is our edge in the FMEG segment specifically?
Rajesh Jain: Yes. So, there are two, three points. If you see even in the last two years, we have grown much ahead of the industry average, and that was due to a separate focus on our FMEG business where we have a separate CEO and we have a separate distribution line. What we understand that FMEG business is quite different from wire and cable business where you need to have a different kind of product.
And at the same time, we are making a big investment in our R&D team, keep introducing new products -- and in last two years, apart from economy category also, now we have introduced a good number of products in premium and mid-premium category. So, in that way, we are ahead of the industry and getting this good growth and improvement in our margins as well.
Karan Kamdar: Okay. Just a follow-up on this. Since we've already had some good growth, as you say, are you confident that competition will not be intensifying over the next medium-term because consumption is increasing and there's capacity additions in all major players, especially in FMEG. So, any further color on how do we sort of separate ourselves in the mind of the consumer? Like why would I go for an R R Kabel fan or some other fan?
Rajesh Jain: We will achieve through better products in terms of quality, having good prices so that consumer can get attracted to R R Kabel FMEG products. And still, if you see by having right product mix, investing in R&D, we'll keep growing better than industry. And our products will be different from market and get good improvement in sales.
Karan Kamdar: One last question, if I can squeeze in. What are the primary geographies for FMEG segment?
Rajesh Jain: FMEG, we are very good in north and west part and a few states of even east also. So, it's still a very big market in south and other states.
Karan Kamdar: Okay thankyou so much sir.
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset.
Rahul Agarwal: Hi, sir. Good afternoon. Just two questions. One is referring to the cable and wire segment. Fiscal '26 looks like coming back to normalcy on growth and margins on both sides. From a top-line, as you have explained, I think it's pretty clear that the growth is sustainable both on cable and wire going forward. But just on margins on a consol basis for cable and wire, what could be the levers for further expansion from a fiscal '26 base? That's the first question.
Rajesh Jain: So, Rahul, if you see like what we have planned in our Project Rise that we want to achieve double-digit 10.5% kind of EBIT margins in wire and cable by FY '28. And towards that only

that we expect to achieve through like better utilization of capacity or increasing product expansion.
So, we are quite confident and already like in first half, we have seen that whatever we have targeted, we are there in our line with our master plan. So, we are hopeful that even in this H2 or in coming years, we'll keep improving as per our guidelines, what we have -- projections we have given.
Rahul Agarwal: I understand, sir, just a clarification. I believe the EBIT you report on segment results includes the treasury income, right? So, this 10.5%, I should include the treasury income margin as well. Is that correct?
Rajesh Jain: Yes. But first of all, this treasury income is not pure treasury. It is part of -- since we are the biggest exporter, so when we follow this accounting terms, then the exchange rate goes into treasury income, but this is my real operational income only.

Rahul Agarwal: Yes. Absolutely. I appreciate that. I understand that. I was just saying that the guidance of 10.5% is inclusive of that, right?
Rajesh Jain: That is inclusive. Yes. Yes.
Rahul Agarwal: Got it. Just last question on export margins. How are the trends on a Y-o-Y basis for first half? I believe the cable mix is expected to improve. If you could just comment on that, please?
Rajesh Jain: Yes. So already, like cable is having more contribution in my overall export market also and that's why margins are also improving, and it will keep improving in coming time also.
Rahul Agarwal: Could you give some more details on what is the export margin right now and how have they improved first half, just historically?
Rajesh Jain: No. Not separately, we do not give this type of take-up. So, it's like in line with our overall master plan of business plan and overall business performance also.
Rahul Agarwal: Alright sir thankyou so much and wish you all the best
Moderator: In the interest of time, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Rajesh Jain: Okay. Thank you, everyone, for taking some time out to participate in this call. In case of any queries, reach out to us or our Investor Relationship agency, MUFG Investor Relations. We wish you all the best and h

ope to interact with you soon. Thank you so much.
Moderator: On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

7 February 2026

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 2 February 2026.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 2 February 2026 in relation to the financial results of the Company for the quarter and nine months ended on 31 December 2025.

We request you to take the above on record.

Thanking you,

Yours faithfully,
For R R Kabel Limited

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

Encl.: as above

"R R Kabel Limited
Q3 FY26 Earnings Conference Call"
February 02, 2026

MANAGEMENT : MR. MAHENDRAKUMAR KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF OPERATING OFFICER – R R KABEL LIMITED

MODERATOR : MR. DEVANSH DEDHIA – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to R R Kabel Limited Q3 FY '26 Earnings Conference Call hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devansh Dedhia from MUFG Intime. Thank you, and over to you, sir.

Devansh Dedhia: Thank you. Good afternoon, everyone and I extend a very warm welcome to all participants on the Q3 and 9-month FY '26 Earnings Conference Call of R R Kabel Limited. Today on this call, we have Mr. Mahendrakumar Kabra, Managing Director and Mr. Rajesh Jain, the Chief Operating Officer.

Before we begin this call, I would like to give a short disclaimer. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Mahendrakumar Kabra ji. Over to you, sir. Thank you.

Mahendrakumar Kabra: Good afternoon, everyone and thank you for joining us today for our quarter 3 and 9-month FY '26 results. I'm joined by our COO, Mr. Rajesh Jain. The quarter under review played out a macro environment that can best be described as one of the gradual stabilization. Globally, growth remained steady but uneven, shaped by evolving trade dynamics and geopolitical uncertainties.

While these factors continue to influence global supply chains, the broader environment shows signs of normalization rather than distress, which helped restore a degree of predictability for businesses. Against this backdrop, India continued to stand out, supported by the strength of its domestic growth drivers.

The economy has maintained momentum across consumption, investment and manufacturing, providing a solid foundation for sectors linked to infrastructure, housing and electrification. Encouragingly, domestic consumption showed visible improvement during the period, supported by better household confidence and post-tax income normalization, which also reflected in stronger demand across construction-linked categories.

Financial conditions also turned more supportive during the period, easing inflation and economic monetary stance improved credit availability, which is beginning to translate into higher economic activities across multiple sectors. These developments are particularly relevant for industries like ours that are closely aligned with long-cycle infrastructure and urban development.

Against this improving macro backdrop, we are pleased with how the business performed. At a consolidated level, we delivered our strongest ever 9-month performance in terms of revenue, operating profitability and profit after tax. This was largely driven by the continued strength of our wire & cable businesses and a disciplined approach to execution across the organization. The wires & cables segment saw strong momentum during the period.

Growth was supported by healthy volume expansion across infrastructure, construction and power-related applications, along with the impact of commodity price movements, better operating leverage, pricing discipline and tighter cost control helped improve segment performance.

In the FMEG segment, conditions remained more challenging and broadly in line with industry trend. Demand in discretionary categories continue to be selective. That said, our focus remains on controlling costs, simplifying the portfolio and improving operating efficiencies. As a result, w

hile losses persisted on a year-on-year basis, we were able to meaningfully reduce losses over the 9-month period.

Overall, operating profitability improved during the period, supported by the strong contribution from wires & cables and better cost discipline across the business. This also translated into healthy improvement at the bottom line, reflecting the operating leverage in our model.

Looking ahead, while some near-term unevenness may persist in certain segments, the longer-term fundamentals for the electrical industry in India remain intact. Infrastructure development, housing growth, electrification and the ongoing shift towards organized and compliant products continue to support the demand. Our focus remains on disciplined execution, strengthening our core businesses and creating sustainable value over the long term.

With that, I would like to hand over to Mr. Rajesh Jain to share further operational insights. Thank you, everyone, and have a good day.

Rajesh Jain: Thanks, Mahendra ji. From an operating standpoint, the environment during the period benefited from improving macro stability, particularly on the inflation and interest rate front. Inflationary

pressures have moderated meaningfully and despite currency movement during the year, the impact on domestic cost structure has remained manageable.
The supportive inflation environment enabled a more accommodative monetary stance with cumulative rate reductions, improving borrowing conditions across the economy, lower financing costs and beginning to support housing demand, infrastructure execution and working capital efficiency across the value chain factors that are directly relevant to our industry.
While volatility in copper and aluminium prices persisted during the period, improved pricing discipline across the industry and tighter procurement controls helped maintain stability. Our focus remained on optimizing sourcing, strengthening supply chain efficiency and managing

working capital prudently. In this environment, RR Kabel delivered a strong operating performance during the quarter as well as over the 9-month period.
Starting with the consolidated performance. Revenue from operations for Q3 FY '26 stood at INR2,536 crores, representing 42.3% year-on-year growth compared to INR1,782 crores in Q3 FY '25. This growth was primarily driven by strong momentum in the wires & cables business, supported by healthy volume growth and improved realization, mainly due to higher commodity prices.
For the 9-month FY '26, consolidated revenue stood at INR6,758 crores, up by 25.1% year-on-year, marking the highest ever 9-month revenue for the company as compared to INR5,400 crores in 9-month FY '25. This growth reflects sustained demand across infrastructure and construction-linked segments and disciplined execution across the business.
On the profitability front, EBITDA for Q3 FY '26 increased to INR206 crores an 86% year-on-year growth compared to INR111 crores in Q3 FY '25. EBITDA margins improved on the back of operating leverage, better cost absorption and continued focus on procurement and execution efficiency despite volatility in raw material prices.
For 9 months FY '26, EBITDA stood at INR526 crores, up 80% year-on-year as compared to INR292 crores in 9 months FY '25, once again representing the highest ever EBITDA for any 9-month period. Moving to the bottom line. Profit after tax for Q3 FY '26 stood at INR118 crores, registering a 72.4% year-on-year increase as compared to INR69 crores in Q3 FY '25. For 9 months FY '26, PAT came in at INR324 crores, up 77.7% year-on-year, marking the highest ever 9-month PAT in the company's history as compared to INR183 crores in 9 months FY '25. Coming to the segment performance, the wire and cable business continued to remain the primary growth engine for the company.
Segment revenue grew by 48.6% ye

ar-on-year during Q3 FY '26 at INR2,293 crores as
compared to INR1,543 crores in Q3 FY '25, driven by a robust 30% overall volume growth, led by stronger domestic demand alongside healthy export growth. The company continues to enjoy a dominant position in the export market, supported by scale, quality certification and long-standing customer relationships.
Segment profitability also improved significantly with segment profit recording at 84.9% year-on-year growth at INR199 crores as compared to INR108 crores in Q3 FY '25. Turning to the FMEG segment, revenue for Q3 FY '26 stood at INR243 crores compared to INR240 crores in Q3 FY '25, reflecting a steady year-on-year performance broadly in the line with industry trend, amid continued caution in discretionary demand and channel level adjustments.
From a profitability standpoint, losses remained largely restrained on a year-on-year basis and was significantly curtailed on a year-on-year basis, driven by focused cost reduction initiatives,

portfolio rationalization and improved operational efficiency, supporting a gradual move towards a more sustainable profit trajectory.
Looking ahead, we remain cautiously optimistic about the outlook. While the near-term continues may remain mixed in certain segments, the medium-term fundamentals for the electrical industry in India remain strong. Infrastructure spending, housing growth and the structural shift towards organized, compliant and branded products continues to gather pace, supported by rising awareness around safety standards and regulatory compliances.
During the period, the company incurred capital expenditure in line with its overall capex plan, supporting capacity and efficiency enhancement in line with robust industry demand and long-

term growth opportunities. On manufacturing scale, quality assurance processes and distribution
reach position us well to benefit from this transition.
The company's performance remains aligned with the objective of Project RISE on strategic
road map, and we remain firmly on track to achieve the stated milestones. We'll remain focused
on disciplined execution, operational excellence and strengthening our competitive position
across the business. With this, I will request to open the floor for questions and answers.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Natasha Jain from PhillipCapital.
Natasha Jain: Congratulations team on a good set of numbers. Sir, my first question would be broadly on the
Wires & Cables demand on the ground. So if you could, in a little detailed color, tell us how the
demand is on the ground right now? How is the inventory position? And because of copper rising
so sharply, is the channel seeing issues in terms of working capital? So that's the first one?
Rajesh Jain: Thanks, Natasha, for your questions. In Wire & Cable, we have seen a very good growth in
demand, particularly due to rise in every sector, be it real estate or industrial demand and even
in export market also. Of course, we have seen extraordinary volatility in last quarter and even
it has continued in this quarter also.
And since prices have moved by almost 20%, 25% just in a single quarter, so there were
pressures on working capital at our channel side also we have seen. But at the same time, we
have seen a good -- since the demand is good and everyone is stocking up also, so we have seen
a good effect in Q3 of FY '26.
At the same time, since this volatility is there, and this is like a huge volatility, what we have
seen either in upper side also or in reducing side also, so this will be like managed as we keep
doing in previous also that -- in that manner, we will keep passing on this impact of prices to our
consumers and customers.

Natasha Jain:

Got it, sir. Sir, ideally, how much time would it take for such a sharp price to be passed on to the
channel and then to the consumer eventually? Or can there be any slowdown in projects,
especially in housing projects going forward in the near term?
Rajesh Jain: See, one thing you need to appreciate that see cable is like category C or cost -- C category item
for any project, wire and cable, because what happens, ultimately, consumption will not be
reduced just if prices are increasing or decreasing for in a smaller time frame. If somebody is
building a project, the wire and cable may cost around 1% to 1.5% of their total cost only. So
demand will be there always. The only thing the stocking up by dealer may reduce or increase
on smaller time frames.
Natasha Jain: Got it. And sir, one last question. So usually, you've mentioned even previously in your con call
that the industry is set to see a 15% CAGR. So are we on track for that number even in calendar
'26?
Rajesh Jain: Yes. If I talk about India growth, as earlier also I said that this industry is expected to grow at
double of the GDP growth. So if India grows at anything between 7% to 8%, then this industry
is expected to grow in 14%, 15% range. If we talk about us, then, of course, with this 30% kind
of volume growth in this quarter, we'll be able to achieve around 17% to 18% volume growth
for 9-month period. And this is in line with our business plan and growth strategy.
Natasha Jain: Got it. Thank you so much.
Moderator: The next question is from the line of Dhruv Jain from Ambit Capital.
Dhruv Jain: Sir, my first question is that if you could just give us the data with respect to volume growth for
this quarter? And which segments have grown faster, wire segment, cable segment? And even
on the export side, if you could just give us some color just to understand numbers better?
Rajesh Jain: So our overall volume growth in Wire & Cable is around 30-plus percent, where wire grew by
almost 30%, while cable grew more than 25%. And even if when we see domestic and exports,
again, in domestic, we grew by -- in value, more than 50% or even in volume, more than 30%.
It was in domestic. While in export, it is about 25%. So overall, we got volume growth by all
segments, be it wire or cable or domestic or export.
Dhruv Jain: Sure, sir. And just, sir, one clarification. So we've seen margins dip a little bit Q-o-Q, while Y-
o-Y, we are significantly up. So is it that you've not passed on the full impact of copper inflation?
Is it because of that? Or is it because of some other factor?
Rajesh Jain: So if you see segment margins, there is slightly reduced, when you compare with previous
quarter. But as I said, passing on the price is continuous process, and there will be some lag
impact. So it is like continuously processed. And as I said, in just a single quarter when prices
rise was almost 25%, still the impact on margins is hardly 0.5%. So it is in line with -- or rather,
I would say, better than industry, what others have done.

Dhruv Jain: Sure. And sir, just on capacity utilization and just capex coming on line. So if you could just give us an update on that front. On the cables side, especially, so if I'm not wrong, there was one more phase of capacity in cable that was going to come on stream in March. So just wanted to check if you are on track. And if you could just give us the capacity utilization numbers across wires & cables?

Rajesh Jain: Yes. So our capex plan where we have planned to invest around INR1,200 crores over a period of 3 years, in which like almost 80% will be invested in cable side only. And we have planned this capex in such a way that this will be able to service my demand growth of 18% volume growth, what we have planned on a yearly basis. So in phased manner, capacity will keep coming, and we'll keep utilizing. Of course, if I see from capac

ity utilization point of view, we are almost at 70% in wire side and 90% in cable side.

Dhruv Jain: So one more -- I think (inaudible) on the cable side in March, right?

Rajesh Jain: So as I said, this is like a continuous process where we will keep increasing our capacity in phased manner. So like it is not one day, overnight that I will full-fledged double my capacity or something like that. So it will keep coming, and we are on track of our overall the fixed assets and capacity utilization plan.

Dhruv Jain: Okay. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Ashish Kanodia from Citibank. Please go ahead.

Ashish Kanodia: Sir, just on the price hike, if you can quantify how much of the price hike you were able to pass on in 3Q? So for example, given how the copper prices has moved, assuming, let's say, you wanted to take -- you need a 20% price hike, how much of it has you passed on already in 3Q? And if you have taken any incremental price hike in 4Q as well?

Rajesh Jain: So Ashish, this is a continuous process. And it is not like point-to-point we can point out. But if you see, like, any increase, say, by 2%, 3% or 4%, we need to keep changing our sales price also. So it was like a continuous process. In the month of December itself, we came with 2 new prices, even in January, in Q4 also, since there were like upward movement in last week of December also. So there was, like, prices -- even in the 3 price rise in January also. So it is a continuous process where you have to change your sales price based on movement in metal prices.

Ashish Kanodia: Sure, sir. And just on the pricing behavior, if you look at all the top three, four players, including you, how is the pricing behavior? Like given typically, if normally, we have seen price hike only once a year. So now when you are taking -- once a month, now when you're taking two or three price hike, is it like industry phenomena or are you seeing some players behaving very differently in terms of being aggressive?

Rajesh Jain: No. At the industry level, almost this will remain the same practice because nobody can adopt -- absorb this kind of price rises. Ultimately, it will impact directly your profitability. So you have to keep changing. The only -- so it is rather than time period, it is based on the degree of volatility. If prices are rising, say, by 3%, 5%, so you keep changing. So sometimes we have to change our pricing even within a week also, while sometimes it keeps stable for 2, 3 months also. So ultimately, it will keep behaving like that only. And particularly in this type of volatility, there will be frequent price changes.

Ashish Kanodia: Got it, sir. And just last one, January also has been pretty volatile. So if you can give some quantitative color in terms of how, one, the demand trend has been and also how the channel inventory was at the end of January?

Rajesh Jain: So even in January also, till like last day of January, the copper prices were on upward side also -- only, and we have seen a good demand also in market. At the same time, see, you will appreciate, as earlier also I said, this is -- like, continuous consumption will always be there. The only thing there may be some -- like, for a month or maybe for 15 days, there may be some stocking or destocking. But otherwise, from -- you need to see in a larger time frame also and from ultimate consumption point of view.

Ashish Kanodia: Sure, sir. And just last question, when I look at the payable days, it has increased this quarter. So anything to read into that?

Rajesh Jain: No, it's like working capital management only, and it is a regular process of business where you

can keep adjusting your payable days and receivable days. But if you see, our overall working
capital days remains in line with what we have projected at the beginning of the year.
A

shish Kanodia: Sure, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.
Achal Lohade: If you could clarify in terms of the margins, how do you see it playing out in fourth quarter? Assuming the prices remain stable at today's level, do you see Q-o-Q margin expansion or given the volatility, even fourth quarter margins could actually fall a little bit compared to 3Q?
Rajesh Jain: No. But as you said, if prices remain the same or volatility is, like, competitively less, then there should not be any impact on margins. So in my sense, it seems there will not be any impact. And it may be -- like, whatever we had guidance in the beginning of the year, where we want to project 100 basis improvement until Q3, we have done the same. So it will be in line with there where we have our yearly plan is considered.
Achal Lohade: So I'm just trying to extract number. So it was 9.9%. And if you're saying you can have a 100 basis point improvement, you are talking about 9.5% plus for the fourth quarter if prices were to remain stable from today onwards. Have I understood right, sir?

Rajesh Jain: No, it will be very tough to predict exactly for quarterly numbers, but you have to see business as -- in a longer frame where like when we are targeting around 8.5% on a yearly basis. So we'll be in line -- in that line only.
Achal Lohade: Understood. The second question I had, and again, it's a bit theoretical. If copper prices were to fall back to $10,000, which -- where they were before this sharp increase, how would that impact us as an industry and also as a company in terms of the volume and the margins, if you could give us some sense?
Rajesh Jain: So there are two aspects. One, of course, there may be some impact because it is like psychological things and if such kind of huge, say, reduction in prices come, then there may be some pause in demand, not at consumption level, but at a stocking level. So we may see some slowdown at least in terms of revenue because when you are assuming like almost 25% further prices are going down, then there may be some impact.
Nobody can neglect that. But at the same time, we have to see a business in a little bit longer time frame where we are quite confident that based on the fundamental growth plans, this industry will also grow, and we have our own growth plans. And regarding margins also, yes, as I said, see, okay, if theoretically, we talk then the lower the LME in the percentage terms, it may go up also. But at the same time, since there may be some inventory impact also. So there are so many aspects. There may not be any perfect guidance for that.
Achal Lohade: Fair point. Another question I had in terms of the export, given the recent announcement of the EU trade deal, can you give us some sense, given our exposure is probably the highest among all players, how does it benefit, what extent the benefit could be?
Rajesh Jain: Achal, this announcement may take impact after maybe 12 months or so. But theoretically, it seems a very good treaty where, of course, since we are -- almost our 40% exports is to European Union, so we can get good traction. But even otherwise also, we have our own good growth plans for export market.
And as you can see, even in last quarter also, we have seen good growth, and it is like continuous process. Of course, this treaty or this situation may impact for slower time, but overall -- but particularly, this treaty announcement is quite favorable for our Wire & Cable business.
Achal Lohade: Understood. And just last question, if I may, sir. Inventory with the channel, what is the typical inventory? And what is it today according to you?
Rajesh Jain: I think normally, they keep inventory of 25 to 30 days, the channel, and it might have increased by maybe another 5 to 7 d

ays, because you will see that already this value is increased by 20%, 25%. So they also have some limitations in terms of how much investment they can make. So not that much increase. Inventory has not increased that much because in terms of value that might have increased, but at the same time, in terms of days, it is maybe increased by another 5, 7 days.

Achal Lohade: And maximum, what kind of inventory days have you seen like they can go up to in the past?
Rajesh Jain: I don't think at these levels anybody can increase, but maximum, it can go by 45 days at max, what I think because finance costs are a lot in this business.
Achal Lohade: Fair point. Thank you and wish you all the best. I will fall back in the queue for any further questions. Thank you.
Moderator: Thank you. The next question is from the line of Sandesh Shetty from HSBC Bank. Please go ahead.
Sandesh Shetty: Sir, what is the 9-month capex that you have incurred for wires & cables business?
Rajesh Jain: Around INR280 crores we have done in 9 months.
Sandesh Shetty: And sir on FMEG, now that the demand environment has also not been good in the last 9 months, how do you see the turnaround and by when we can expect the profitability in this segment? What are you pencilling in?
Rajesh Jain: Yes. Of course, these 9 months, we have seen like the season was not good, particularly for fan also. And that is the reason that we are at flat for 9-month level also. But at the same time, on profitability front, what we have planned to achieve like profit -- not profitability, but green in EBIT level in FMEG by this quarter, which is Q4 of '26, and we are almost on line because if you see even in this Q3, where growth was like almost flat, but still our losses are in the range of INR5 crores only. So we are quite hopeful to achieve breakeven in this quarter.
Sandesh Shetty: And sir, last question on exports. There has been a good pickup in exports for you. Do you see this momentum continuing further? And how is the mix in exports, wires versus cables?
Rajesh Jain: Yes, we have seen a very good traction in demand in exports, and it is not by one country but by all countries where we are exporting. And it will remain there because export was always our focus area. And in future also, we are developing new geography as well as new product line also. We are improving our -- and expanding our cable manufacturing capacity also. So till now, our exports are also almost in the range of 70-30 only, but now more growth will come from cable side only looking to our expansion plan, looking to our approval and sales efforts also.
Sandesh Shetty: That's it from my side, sir. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.
Vidit Trivedi: Congratulations on great set of numbers. I understand price hike in the domestic market as you release a new price list and it is affected from that day. I wanted to understand how do you account for the same in the export order? Because as you have mentioned that 70% of exports are in the wires category. So how do you do that?

Rajesh Jain: So there it is more easy because there we have 100% back-to-back mechanism, like whatever my customer wants to buy either on monthly average or fortnightly leverage or weekly average, so we also book back-to-back. So there is no risk at all in terms of profitability, and it is maintained in that way.
Vidit Trivedi: Got it, sir. Sir, on the EU trade deal, we almost do 40% of our sales to the European Union. My question is that what has changed for us? What was the duty structure pre-EU trade deal? And what is the expected duty structure post the deal? And how are the receivable cycles in the exports market?
Rajesh Jain: So if we talk about EU

custom duty and everything, then the rate of tariff was around 3.7% in EU for wires and cable, which will become 0. Still the details are not that much clear when it will be effective. But ultimately, it will be going to huge beneficial for wire and cable industry. And particularly since we already have established markets, so it will be more beneficial to us. And if we talk about receivables, then our majority of the receivables are like secured by terms of LCs. And by the time it reaches, we get the amount also. So it varies from 30 days to 60 days.
Vidit Trivedi: Got it, sir. And sir, just last one on the creditor base. It has inched up to 42 days in December '25. So is it more like improvement in the working capital driven by structural efficiency or is it more a function of extended supplier credit that may normalize in the later part?
Rajesh Jain: So it's like balancing between my overall working capital when these prices were also increasing. So we developed a few credit lines to have efficient control end uses of my working capital. So it will like keep changing as per the situation, but we have sufficient credit lines available to handle this business.
Vidit Trivedi: Should we assume that the overall working capital will be in the range of 50 to 60 days? Is that a fair understanding?
Rajesh Jain: Yes, that's what we target, to remain in that line of 50 to 60 days only.
Vidit Trivedi: Thanks a lot, sir. That's all from my side. All the best.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset. Please go ahead.
Rahul Agarwal: First question to Mahendra. Sir, over the last year, we have seen some senior management changes in the company. As of now, it's all done? And are there any pending gaps right now to be filled? If you can just talk about the senior management team at RRK?
Mahendrakumar Kabra: As you can see, there is a good improvement in this financial year and team being the young and very dynamic and very aggressive in the working. So we're continuing with this.
Rahul Agarwal: Any gaps to be filled ahead or is it all done?

Mahendrakumar Kabra: No, it's all done.
Rahul Agarwal: Okay. Perfect. Okay. Got it. Second question was to Rajesh ji. Sir, when I'm looking at staff cost on a consolidated basis, it's looking like flattening out despite we going through a decent amount of capex and expansions in the plant, I just wanted to understand how should we look at this INR400 crores odd annual staff cost? Is it going to be more because of automated plants, the hiring is lesser and hence, incrementally going to be more inflation increase or there is some one-off here?
Rajesh Jain: No. So this is like, again, a continuous process where you keep automization in the process and how we can get best efficiency of -- not only of manpower, but even at plant and machinery level also. So focus will remain there. At the same time, of course, we have to meet whatever there will be increased demand in manpower due to my capacity expansion. So it will be tough to figure out in terms of numbers, but it will like remain in line or rather it will improve in percentage terms only as our scale goes up.
Rahul Agarwal: Okay. Got it. And is it possible to share the operating cash flow number for 9 months? The absolute number?
Rajesh Jain: That is not handy with me. But yes, the main thing that our working capital days are almost -- you have seen stable at 56 days only. And other than that, like for 9 months, our capex is almost INR260 crores to INR280 crores. So other things are within parameter only.
Rahul Agarwal: Got it, sir. Just in terms of margins and growth rates, in terms of the outlook for exports over a medium term, I understand right now, we're going through a lot of growth because the environment outside is also great, copper has seen inflation, so pricing growth is higher. But wh

ere do you think the export growth should stabilize for us on a 3-year basis?
Rajesh Jain: So overall, we are quite hopeful and -- that export will do much better looking to -- even at India level, when you see the growth opportunities are many more there. Though temporary, there may be some impact due to this tariff on stability, but still like even we see -- quite hopeful that U.S. market will also open up for us. So there, we have like solid growth fundamentals where like cable exports will also increase for Indian markets, Indian players.
Rahul Agarwal: Will it be higher than India growth over the next 3 years or it should be similar growth?
Rajesh Jain: It seems export can do much better. At least for us, we are quite hopeful, maybe a little bit better than domestic growth. But we are quite hopeful for all the markets, all product category.
Rahul Agarwal: Got it, sir. And last question on the margins. I think 9 months, the margins have been extremely good on the operate -- consol EBITDA margin, I'm talking about. I think we're planning for 100 bps expansion, we've got much more, I think because of (inaudible) maybe there is some bit of inventory gains here as well. Just in terms of outlook for '27 and '28, should we budget like 8%

to 8.5%, in the same range or do you think that we are running ahead of our guidance of 100 bps expansion every year?
Rajesh Jain: So we are planning to improve by another 100 basis points on every year. So like by FY '28, we are targeting like double-digit, 10.5% kind of EBIT margins in our wires & cables business. So we are on track and it will remain in that range only.
Rahul Agarwal: Got it, sir. Thank you so much. All the best and congratulations pretty good set for the quarter. Thank you.
Moderator: Thank you. The next question is from the line of Karan Kamdar from Choice Institutional Equities. Please go ahead.
Karan Kamdar: Sir, what I wanted to know is what is our strategy for increasing our B2B sales? I believe that is a large chunk. And what is the split in -- especially in the cable and wires segment for B2B and

B2C?
Rajesh Jain: So if you see till now our majority area where -- since we started our journey from wires and still revenue is coming from -- 70% revenue is coming from wire side, it says that we are very strong in B2C type of the business. At the same time, if you see our capex plan, even if you see industry trend, where we know that almost 65% business is contributed by cable segment and that is the reason that we have made a plan to have huge capex in B2B category.
And at the same time, whatever capabilities we have built in B2B, we will expand that capability. We know there are so many areas, particularly in power cable, where like huge -- big contractors are there, we need to expand our B2B dealer network also. So we are working on that, and we are in line so that we can achieve our -- these growth plans by making a good B2B sales side also.
Karan Kamdar: Okay, sir. Sir, any plans -- what is our plan for the FMEG segment? What kind of CAGR are we expecting over the next 3 years? And how big is the business that we are expecting?
Rajesh Jain: We are expecting to grow in FMEG side at 25% since our base is small and we are -- since we are targeting to achieve breakeven at EBIT level in this quarter itself. So it seems by FY '28, we can achieve margins of -- EBIT margins in the range of 5% to 6% in FMEG segment also.
Karan Kamdar: Sir, one last question, if I can squeeze in. Any plans to sort of start job work or something like that in the FMEG space? Or do you only plan to do consumer?
Rajesh Jain: No, we are doing only consumer business. And see, we have -- as per our plan right now, we have one-third in-house facility and even two-third we are doing outsourcing already only. So there is no question of doing job work for others.
Karan Kamdar: Okay, sir. Than

k you so much. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Sir, under FMEG side, how much percentage revenues comes from premium and mid-premium side? And if you could breakdown like what part -- percentage of revenue comes from premium and mid-premium and the economy side? And what are the SKUs planning to launch in coming quarters?
What are the products? And how much R&D they are planning to spend for FMEG side? And lastly, we have strong presence into North and West and some presence into East. And the south is still underpenetrated? And like what is the plan to ramp up South India presence?
Rajesh Jain: Thanks, Bala. So first if I see in FMEG revenue by product categories then almost 50% of revenue comes from fan side, while 32% from lighting and rest 18% from appliances and switchgears. And if we see from segment point -- from premiumization point of view, almost like 20% revenue is coming from premium and mid-premium category, which is a very healthy percentage even if you see at industry level.
And that is the reason that we have seen good improvement or rather reduction in losses in these 9 months also. Going forward also, like as you said, we have good in -- FMEG business in North and East side. But like since we have overall growth plan at India level, so we will -- we are trying to establish a dealer, distributor network in South also for FMEG business.
Balasubramanian: Okay, sir. So on the FMEG distribution side, what is the mix between dealers, retail chains and online like e-commerce? How the channel mix is right now evolving?
Rajesh Jain: So in FMEG business, we are almost -- 10% we are getting from e-commerce side, while 90% is through dealer, distributor only. And in Wires & Cables, of course, it is 100% through dealer, distributor only. And we have -- like if you see, we have -- overall, we have more than 6,000 dealer and distributors all over India and more than almost 150,000 retail points. So we have reasonably good presence all over the country. The only thing wherever we do not have very strong presence, where we need to increase the depth of our sales and distribution.
Balasubramanian: Got it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Prakshal Jain from WhiteOak Capital Asset Management. Please go ahead.
Prakshal Jain: Congratulations, sir, on a good set of numbers. I just wanted to confirm what is our cost of borrowing? I know we have little borrowing on our balance sheet. And sir, what is the cost of our borrowing?
Rajesh Jain: You're asking about cost of borrowing?

Prakshal Jain: Yes.
Rajesh Jain: Yes. So it's like around 7% is our cost of borrowing because it is a mix of my export loans and domestic credit facilities. So it's like in line or rather better than industry average.
Prakshal Jain: Okay. Thanks, sir.
Moderator: Thank you. The next question is from the line of Rohit Charan from iThought PMS. Please go ahead.
Rohit Charan: So my question is -- like I'm new to understanding this industry, so I just wanted to understand like the value chain, the supply chain of this entire industry. So in the entire supply chain like you supply to the distributor and they sell it to the dealer and then it goes to the retailer, how does it go like the distributors sell it directly to, let's say, a B2B, like to the end real estate player or to power company or how does it happen? Can you explain?
Rajesh Jain: So there are two lines business. One where it is B2C category where wire is sold through retailers. So there we have dealers or distributors who further sell to our retailers and they ultimately sell to end consumer. While in B2B category, one we have a dealer, distributor, wh

o
sells to direct projects also.
And sometimes even we directly sell to project customers like big industry or big government supplies also. Though right now our -- this mix of B2B is less than industry average because we are widely focused on this. So we have more distribution-led business only. But it is like as per customer and as per business, it keeps changing.
Rohit Charan: Got it. Okay. And I saw -- I got that answer. Like there was a recent management hiring in the last 2 days, I think, so you're putting on exchange. So is there any intent behind like new senior hiring happening and reshuffling of some people towards the senior position?
Rajesh Jain: No, it is continuous process. As, earlier our MD also said that, see, there will be like growth plan, and it is a continuous process where we may keep hiring and as per our strategy and to meet our growth plan, there will be like regular -- these are regular things, nothing special extraordinary.
Rohit Charan: And just last question. So copper prices, they have been very volatile in the last 1 week, it has crashed a lot. So I think you had told there will be some destocking risk probably which can happen through distributors. But if this volatile trend continues for another two or three quarters of going up and down the copper prices, aluminium prices, like how will it impact our margin, all that part?
Rajesh Jain: So earlier also I said, it is almost impossible to predict the material prices, and it may have some impact on either side because if you ask before 3 months, nobody was expecting that 25%, it can

go up or maybe down also. So as I said, it is a continuous process of our business where you keep changing your selling prices based on your -- this material cost.
So it is -- there may be some impact if you see in very short term of 1 month or maybe 1 quarter, but ultimately, since consumption will always be there. So it is a continuous process where you keep changing your sales prices and maintain your margin and protect our margins.
Rohit Charan: Got it. Just one last question, if I could slip it in. Like in the regional players like in South India, there's Orbit cables and in West, I think, there is someone else, listed players. So how are we planning beat players in their regional spaces like once -- distributors, normally, they are kind of sticky to the brand they choose, right, because they get better channel financing. So how do we plan to enter markets which are already matured?
Rajesh Jain: So again, this will be a continuous process where every player, not only R R Kabel, but every player would like to enhance their market presence through their ATL, BTL activity or distribution expansion. And at the same time, you know though, though, there are many national players also, but everybody has their own strong area or area of growth.
And same for us also, like we are very strong in a few states, while in other states, we need to increase our market presence or growth share in that market also. So again, it will be like a continuous process, while right now, we are very strong in North and West part of the country, while yet we need to expand our business in East and South also.
Moderator: Ladies and gentlemen, in the interest of time, this was the last question. I now hand the conference over to the management for closing comments.
Rajesh Jain: Thank you, everyone, for taking some time out of -- out to participate in this call. In case of any queries, reach out to us or our Investor Relationship Agency, MUFG Investor Relations. We wish you all the best and hope to interact with you soon. Thank you so much.
Moderator: On behalf of MUFG Intime, that concludes this conference. Thank you for joining us, and you

may now disconnect your lines.

Call: May 2026

8 May 2026

Corporate Relationship Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Script Code: 543981
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1,
Block G, Bandra – Kurla Complex,
Bandra (East), Mumbai – 400 051

Symbol: RRKABEL

Sub.: Submission of Transcript of Earnings Conference Call held on 30 April 2026.

Dear Sir/Madam,

Pursuant to Regulations 30 and 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the Earnings Conference Call held on 30 April 2026 in relation to the audited financial results of the Company for the quarter and year ended on 31 March 2026.

We request you to take the above on record.

Thanking you,

Yours faithfully,
For R R Kabel Limited

Anup Vaibhav C. Khanna
Company Secretary and Compliance Officer
M. No. – F6786

Encl.: as above

"R R Kabel Limited
Q4 FY26 Earnings Conference Call"
April 30, 2026

MANAGEMENT : MR. MAHENDRAKUMAR KABRA – MANAGING DIRECTOR – R R KABEL LIMITED
M R. RAJESH KABRA – EXECUTIVE DIRECTOR – R R KABEL LIMITED
M R. RAJESH JAIN – CHIEF OPERATING OFFICER - W & C BUSINESS – R R KABEL LIMITED
M R. JIGAR MEHTA – CHIEF FINANCIAL OFFICER – R

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call of R R Kabel Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Ms. Darshni Desai from MUFG Intime, their Investor Relations. Thank you, and over to you, Darshni.

Darshni Desai: Thank you. Good afternoon, everyone, and I extend a very warm welcome to all participants on the Q4 and FY '26 Earnings Conference Call of R R Kabel Limited. Today on this call, we have Mr. Mahendrakumar Kabra, Managing Director; Mr. Rajesh Kabra, Executive Director; Mr. Rajesh Jain, Chief Operating Officer; and Mr. Jigar Mehta, Chief Financial Officer.

Before we begin this call, I would like to give a short disclaimer. This call may contain some forward-looking statements, which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guarantees of our future performance and involve unforeseen risks and uncertainties.

With this, I hand over the call to Mahendrakumar Kabraji. Over to you, sir. Thank you.

Mahendrakumar Kabra: Hello, everyone, and good afternoon. On behalf of R R Kabel Limited, I warmly welcome all participants to our quarter 4 and financial year '26 financial results conference call. On this call, I have with me Rajesh Kabra, Mr. Rajesh Jain and Mr. Jigar Mehta.

The quarter was marked by heightened geopolitical tension, which created some uncertainty in global trade conditions and volatility in input costs. Despite this, India continued to benefit from steady demand drivers led by infrastructure, housing and industrial activity. Industry demand remains supportive while export market continued to perform well.

Against this backdrop, we are pleased with the way the business performed during the quarter as well as across the full year. We delivered our highest ever quarterly and annual revenue, supported by steady demand and disciplined execution across the business. Our Wires & Cables business remained the key growth driver for the Company and delivered a strong performance and record profitability during the quarter and for the full year.

In the FMEG segment, market conditions remained competitive, while demand trend continues to be selective. Revenue remained steady on a year-on-year basis, supported by stable demand across key categories and continued distribution expansion. We remain focused on optimizing the portfolio and improving profitability over time.

In line with our history of creating value for our shareholders and considerably paying dividend, it pleases me to announce that the Board of Directors of the Company has approved a dividend of INR5.50 per share, taking the total dividend to INR9.50 per share for FY '26.

With that, I would like to hand over the call to Mr. Rajesh Kabra for further insights. Thank you.

Rajesh Kabra: Thank you. The Wires & Cables segment maintained strong momentum during this quarter, supported by steady demand across domestic and export markets. While domestic business has shown healthy growth, export growth also remained encouraging despite the disruption in the Middle East. This performance was supported by our wide distribution network, strong brand equity and diversified presence across retail, institutional and international markets.

We continue to focus on scaling our B2B business by strengthening availability and distribution. Last year, we had set a 3-year road map under 'Project RRise' with targets of 18% CAGR in Wires & Cables, along with 25% CAGR in FMEG, leading to a cumulative 2.5x EBI

TDA
growth. Based on progress achieved so far and the performance delivered by the business, we remain on track towards these targets through focused execution.

Looking ahead, we will continue to invest in our brand, deepen customer engagement, and pursue growth opportunities across the domestic and international markets while creating sustainable long-term value. With that, I would now like to hand over the call to Mr. Rajesh Jain for further financial insights. Thank you.

Rajesh Jain: Thank you, Rajeshji. The quarter witnessed a mixed but supportive environment for the wires and cable industry. Domestic demand remained healthy while export demand was relatively stronger during the quarter, benefiting from our established global presence, our quality, and diversified market reach.

At the same time, raw material prices, particularly copper, aluminium, and PVC remained volatile during the period, while currency movement and freight cost added pressure across the value chain. In this environment, timely pricing actions, disciplined procurement, and effective, efficient execution remained critical for sustaining performance.

Against this backdrop, RR Kabel delivered its highest ever quarterly and annual revenue. Revenue for Q4 2026 stood at INR2,964.1 crores, up 33.7% year-on-year. Full-year revenue stood at INR9,722.4 crores, reflecting growth of 27.6% over the previous year. Growth was supported by strong performance in the Wires and Cable business across both domestic and export markets.

EBITDA for the quarter stood at INR263.5 crores, up 34.6% year-on-year, while PAT stood at INR168 crores, up 30.1% year-on-year. Profitability improved on the back of operating leverage and disciplined cost management despite raw material volatility and global turmoil.

For the full-year, EBITDA stood at INR789.1 crores, up 61.8% year-on-year, and PAT stood at INR492.2 crores, up 58% year-on-year. Now coming to segment performance the Wires and Cable segment remains the cornerstone of our business, contributing significantly to revenue.

In FY26, 90% of our revenue was generated from this segment, while the FMEG segment contributed the remaining 10%. Revenue for wire and cable in Q4 FY26 stood at INR2,666.4 crores as compared to INR1,956.2 crores in Q4 FY25, growing 36.3% year-on-year. For FY26, revenue stood at INR8,763.7 crores as compared to INR6,688.8 crores in FY25, reflecting 31% growth year-on-year.

Segment profit for Q4 2026 stood at INR257.3 crores compared to INR194.1 crores in Q4 FY25, up 32.5% year-on-year. For FY26, segment profit stood at INR775.6 crores compared to INR496.5 crores in FY25, up 56.2% year-on-year, supported by scale benefits, effective management of price volatility, and operational efficiency.

In the FMEG segment, revenue for the quarter stood at INR297.7 crores as compared to INR261.6 crores in Q4 2025, with growth of 13.8% year-on-year. For FY26, revenue stood at INR958.6 crores as compared to INR929.5 crores in FY25, a steady growth of 3% year-on-year despite seasonal headwinds. Performance was supported by stable demand across key categories and expansion in distribution.

Importantly, FMEG losses have reduced as compared to last year, and we remain on track to achieve breakeven in FY27. Our balance sheet and working capital position remained healthy during the year, supported by tight control on inventory and receivables. Our INR1,200 crores capex program for FY26 to FY28 is progressing as planned.

The program is primarily focused on expanding cable capacity along with wire capacity and improving operating efficiencies. Once fully commissioned, this expansion is expected to support higher volumes, faster executions of cable orders, and better operating leverage over time.

Going forward, our focus remains clear to further strengthen our position in the wires and cables industry, improve margins

through scale and better mix, and move the FMEG business steadily towards profitability. We remain committed to delivering consistent operating performance while executing initiatives under Project RRise.

Through disciplined execution, we remain confident of achieving the growth and profitability milestone set out in our strategic roadmap. With this, I now request to open the floor for the question and answer.

Moderator: Thank you very much. We’ll now begin the question and answer session. Anyone who wishes to ask a question may press star and one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we’ll wait for a moment while request you to assemble. We'll take our first question from the line of Manoj Gori from Equirus Capital. Please go ahead.

Manoj Gori: Yes. Thanks for the opportunity. Sir, Just wanted to understand, we have definitely clocked strong revenue growth in difficult business environment. If you can throw some light like how the quarter planned out, especially on the exports business. Domestic, we were hearing that there was a lot of channel inventory correction, but if you look at the volume growth seem to be still in double digits during the quarter. So probably how the quarter planned out and how should we look at from a near-term point of view, especially from for 1Q, if you can highlight over there?
Rajesh Jain: Thanks, Manoj. Actually, if you see always Q4 in this industry remains with the higher volumes and the same repeated this year also. Whatever initiative so we are taking to increase our volume growths, we were able to achieve this kind of volume growth. In near future also it remains to be positive and we remain on our growth track.
Of course, since there were some disturbances in our export segment and since now this war is also prolonging, so there may be some impact in short-term. But in long-term we are quite positive.
Manoj Gori: But should we expect probably high single digit to low double digit volume growth to continue in the coming quarters as well?
Rajesh Jain: So for, particularly now quarter-to-quarter might be very tough to predict, but.
Manoj Gori: Yes.
Rajesh Jain: On a yearly basis, whatever the prediction we have given on like our yearly basis, volume growth will be like, always remain better than industry growth and whatever we have projected in our slides in the range of 16% to 18%.
Manoj Gori: Sure, sir. One bookkeeping question, if you can highlight, inventory in absolute terms has gone up significantly from roughly around 10.1 billion to 17.7 billion. So if you can highlight, on the other hand, payables have also increased. So if you can highlight what's happening over there? That would be helpful.
Rajesh Jain: So one thing like, our SIT have increased, lot many exports are remain in transit also during that period. And as you know, in international business always till this material reaches to customer, it remains in my sales in transit only. So my inventory is a bit high. When you compared with last year figures, of course, you know metal prices have like raised by almost 20%, 30%. So there is impact on value side also. But otherwise in volumes we are quite on track with our normal inventory records as per increasing volume side of the business.
Manoj Gori: Okay. Because when I look at it, number of days also in the presentation we have highlighted, like it has increased by only roughly around eight days.
Rajesh Jain: Yes.

Manoj Gori: So therefore can you.
Rajesh Jain: Yes. That's what I'm telling, since my SIT of exports have increased, there may be some impact of two, three days in that terms. Since we are export heavy companies always major part o

f our
inventory is covered through SIT also. Otherwise, as rightly said by you also. Only eight-days impact in my inventory days.
Manoj Gori: No. The reason why I was saying is when I calculate in at COGS or even at revenues, the number of days seems higher, versus what we have highlighted in presentation. Just wanted to understand how we calculate this, inventory days?
Rajesh Jain: So inventory days are calculated on the basis of opening and closing inventory average days are calculated. It is a standard practice. Whatever we are counting till now, it's like consistent practice, so there's no change or it's like accurate days.
Manoj Gori: Sure, sir. Got it, sir. Sir, on the margin side, we have been aspiring to improve margins by roughly around 100 basis points on YoY basis. Somewhere for FY28 we have been targeting 10.5% margin, especially to wires and cables business segment.
If you can throw some light, probably that 100 basis points of margin expansion continues to remain on track. Also on the FMEG side, if we look at, we were looking to achieve break-even a bit earlier. There has been some delay. Obviously, the macro environment also remains a bit challenging. If you can throw some light on both the business segment on segmental margins? That's my last question, sir.
Rajesh Jain: Yes. So if you see in Project RRise, we had planned to have improvement of 300 basis points in my wire and cable margins by FY28. Like, if you see currently already we are on track. We have achieved the almost 130 basis points improvement in margin. Even going forward, we are like quite positive to achieve our target of 10.5% EBIT margins in wire and cable segment by FY28.
Same way, of course, in FMEG there are some impact what we have planned to achieve breakeven in March 2026 could not be achieved. There were two major reasons. One, of course,

like, the volumes what we were expecting due to bad weather and it could not be achieved.
At the same time input cost, like there was a major impact, even in FMEG input cost, where in that industry takes some more time to pass on and therefore our gross margins are impacted in Q4 to some extent and therefore now we have, now we are targeting to achieve breakeven in FY27.
Manoj Gori: Sure, sir. Very clear, sir. Thank you, and wish you all the best for future performance.
Rajesh Jain: Thank you.
Moderator: Thank you. Next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Yes. Thank you for opportunity. So, my first question is related to the volume. If you can give some colour on the overall wire and cable volume, how has been and especially the domestic one?
Rajesh Jain: So in this year, quarter, our volumes were like around 10% in volume terms. If I see in like wires it was in like single-mid digit, but in cables it was in the high teens. If I see from domestic and export, then export volumes were a bit higher than domestic in this quarter.
Praveen Sahay: So, on the export side, that's the revenue also up by 39% around, if I calculate. So even after disruption of the segment, or the cost increase, even after that you have delivered a very strong number so, do we believe that the impact of the export we will see in the Q1 more than the Q4?
Rajesh Jain: Yes. Comparatively, when you will compare with Q4, of course, it seems there may be some more impact in Q1 of this year. Reason being that like in month of March we saw major impact, and since it is still continue, there will be higher impact in this quarter, it seems. It depends how long war will go on.
Praveen Sahay: Next question is related to the expense, because if I look at your margin profile has been quite strong and as a percentage sales, other expenses has gone down. Is there anything any expense item in the other expenses which has restricted in the quarter?
Rajesh Jain: No, no. Our b

usiness was as usual. Since there was more impact in value terms, where like prices have risen, so as a percentage our expenses have come down. But at the same time, of course, we are working how efficiently we can increase our productivity. How can we, like, have better controls of expenses. So these are normal exercise. But there is no like one-off cut in my expenses or curtail down in expenses. These are businesses as usual.
Praveen Sahay: Lastly, sir, how has been the, you know, the way forward 2027, the capex plan is for FY27?
Rajesh Jain: So we are on track. What we have planned, like investment of INR1,200 crore, out of which, almost INR300 crores we have invested in FY26 already. This like, in this year also, there will be like a major expansion during this year where our capex outflow will be more.
Praveen Sahay: Okay. Majority of INR1,200 would be in this financial year?
Rajesh Jain: Yes.
Praveen Sahay: Thank you, sir, and all the best.
Rajesh Jain: Okay.
Moderator: Thank you. Next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good evening, sir. Thank you for the opportunity and congratulations for excellent earnings. It's been very remarkable performance given the current headwind. I just wanted a clarification. You said, you know, the inventory days went up because the goods are in transit for the exports, right? But at the same time, you also highlighted the impact will be more in this quarter. You know, if you could just clarify, is it because if we are assuming that it will be for the entire three months the issues and hence the impact, or have I understood wrongly?
Rajesh Jain: So, Achal, there are two issues. One, like, since export could not take impact, effect physical from my factory in the month of March so whatever inventory we kept ready for those dispatches also increased my inventory and at the same time like in February, what exported we made, that could not reach to their destination.
Few of those consignments are on the way and will reach in this quarter also. But at the same time since physical sales was not possible in the month of March to some extent and even in April, particularly related to Middle East area. So there will be some impact on my sales or revenue side. I hope this is clarified?

Achal Lohade: Just a follow-up on that, if I may, sir. You know, given it couldn't get delivered before 31st March, that will also get accounted for in the month of April, right? And I presume that whatever volume loss or whatever issues we have on the rest in the Middle East, that much capacity or volume could get diverted to other global customers. So in that case, the impact should not be very large. Is that understanding right?
Rajesh Jain: Yes. Yes. To some extent you are right. But see what happened, since like, since month of March, suppose we could not make exports to Middle East. So this will like now will not come to my revenue in the month, in this quarter. At the same time, though we have diversified export market and domestic market, and that is one of the reason, if you see, in spite of a very heavy sales to Middle East still the impact is very least on our top line.
So same, there will be some impact, I cannot deny it because it's, one particular geography contributing to great extent to your revenues. There will be some impact. Of course, this will be compensated through some different product category also and different geography of markets also, be it domestic or export.
Achal Lohade: Got it. The second question I had was, is there any inventory gain, etcetera, in the fourth quarter?
Rajesh Jain: As you know, it's like always a continuous process where you keep having some impact of inventory, either in the gain side or sometimes, like, negative side also. So in this quarter, yes, we had some positive impact

in my profitability, but it is in normal course of business.
Achal Lohade: Would you be able to quantify, sir?
Rajesh Jain: No, not specifically, it is not because since it is continuous process. Not able to quantify.

Achal Lohade: No problem, sir.
Rajesh Jain: It is positive impact. Marginally.
Achal Lohade: Got it. Sir, if you could call out, you know, the cables capacity expansion because wires are, you know, given wires we always have surplus capacity. I'm more curious to understand the cables capacity expansions timeline. Would it be possible to know, you know, since the Project RRise, you know, when and how much capacity got added or getting added?
Rajesh Jain: Actually, we have planned our this capex plan in a such a way that every six months we will keep adding few capacities. It will be not like one overnight I will get big capacity overnight neither I can build sales side neither capacity also. It's when we have targeted 18% volume growth year-on-year or in which also majority will be through cable side. It means since in cable already we are at optimum utilization of more than 90% so to meet this growth plan we will keep adding capacity. In every six months we'll keep adding few capacities.
Achal Lohade: Understood. Just last question, if I may ask, you know, particularly on cables front, how's the demand supply situation? Do you see a risk of oversupply or because every single player is adding large capacity, so do you see a risk of excess capacity like in next 12, 15 months in cable?
Rajesh Jain: No. Not particularly for us, we do not see any such kind of challenge because overall, we have like, our, we are establishing our B2B business line and particularly growth plan in this area and I don't find there will be excess capacity looking to the overall demand in cable side of the business.
Achal Lohade: Okay. I'll fall back. I have more questions, but I'll fall back in the queue. Thank you so much, sir.
Moderator: Thank you. Next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.
Rahul Agarwal: Yes, good evening. Thank you for the opportunity. Sir, just to get this number right, volume growth for cable and wire for fourth quarter was 10%. What was it for full-year?
Rajesh Jain: Full year it is around 16%.
Rahul Agarwal: Okay. Just in terms of outlook for next year, for cable and wire then FMEG separately, cable and wire we should look at double-digit volume growth, between 10%-15% and FMEG purely because FY26 was a weak year, and you've also mentioned that some price hikes will actually go through in fiscal 2027. What should be the revenue growth number we should expect for FMEG?
Rajesh Jain: In wire and cable, already like we have projected a volume growth of around 18% on CAGR basis, and we are on track like in this year also we achieved on my targeted number also. Next year also, we are quite hopeful to achieve our targeted figures of 16%-18% volume growth.

In FMEG, of course last year was not very good, but still I think it is like at par or better than industry average, whatever growth we have done, if I see nine months figure of peers also. It seems, in this year, if everything remains same then, we are targeting value growth of around 20%-25% in FMEG business.
Rahul Agarwal: Got it, sir. You know, because these new capacities come on stream every six months, it gets difficult for us analysts to calculate, you know, what is the new capacity and new utilization for the company?
Let's say for example, as on 31st March 2026, based on, you know, the capex you've done so far, what is the peak revenue for cable and wire for the entire company? Could we get that number? Assuming that we utilize 90%-95% of capacity as of 31st March, based on current copper, aluminium pricing, what could be the peak revenue?

Rajesh Jain: No, Rahul, it becomes very difficult to calculate because revenue depends on so many things. Of course, one is raw material prices, second is product mix also. Like it will be very tough to predict that kind of numbers.
Rahul Agarwal: Okay. Like even if we assume current pricing, still we, like we did INR9,000 crores cable and wire sales this year, INR8,700 crores to be precise?
Rajesh Jain: So normally.
Rahul Agarwal: Can we get some indication?
Rajesh Jain: That's why we always say, based on this figure also we do not give annual, in revenue or in rupees guidelines because on volumes, what we are focusing and always we say like now we, if we are having estimates of 16%-18% volume growth then revenue we can think about on same pricing terms also. Because on month-on-month our raw material prices keep changing, so it is very tough to predict in financial terms.
Rahul Agarwal: Got it, sir. No worry. Just lastly, on April 2026, I know it's just 30 days into the business, but qualitatively, if you could just share what's really happening on cable and wire in the, you know, in the domestic market. You know, how is it behaving? Purely because there's too much volatility on, you know, on demand, on costs, everything, right? Just some qualitative statements on what's really happening with the industry or with R R Kabel for April 26 for cable and wire separately?
Rajesh Jain: Business is like on normal. Even in April, we have witnessed normal, whatever it goes year-on-year basis. It's a normal business environment. Apart from the export, what we could not make to Middle East, it's a quite normal business.
Rahul Agarwal: Got it, Rajesh ji. Thank you so much, and best wishes for fiscal 2027.

Rajesh Jain: Thank you.
Moderator: Thank you. Before we take the next question, we would like to remind participants, to ask a question, please press star and one on your phone. Next question is from the line of Ashish Kanodia from Citi. Please go ahead.
Ashish Kanodia: Yes. Thank you for the opportunity. Sir, the first question is on the demand side. If you can highlight, you know, how was the demand for domestic in March? Because at least what we understand is that even domestic demand was impacted in March. If you can, you know, kind of quantify that. Also, how the channel inventory was at the end of March. Have you seen any channel destocking? That would be the first question.
Rajesh Jain: Yes. Ashish, if you see my numbers are already reflecting that March, or particularly this quarter, we had a good growth. Even March was also a normal month. Of course, we have seen so much like volatility in prices but if you see as a overall business as a whole then, we did not find any major destocking or demand side even in domestic market.
Ashish Kanodia: Got it. Sir, you know, when you look at April again, or just on the domestic side, when you say, you know, demand has been normal. Is this more channel filling lead, or do you see that even, you know, from a underlying demand point of view, from a capex point of view, you know, the demand uptick has been kind of normal?
Rajesh Jain: What feedback we have from second uptick also it seems that demand is normal and that is like if you see March or after that April also sales is going normal. I don't think there will be major issue in domestic side of demand.
Ashish Kanodia: Got it, sir. Sir, just on the payable days, right? I think that number has increased meaningfully this quarter. If you can just help us understand what led to this increase in the payable days?
Rajesh Jain: Like, we used a letter of credit facility , so that we can, e effectively manage our working capital. We used these trade facilities more effectively in this quarter.
Ashish Kanodia: Got it, sir. Maybe just last question is on the pricing side. One, if you can highlight that in the 4Q, if you look

at the gross margin profile, does it capture entire pricing? Because as you said,
right, the RM prices was pretty volatile. If I remember correctly, in 3Q, you know, the entire
pricing was not passed on. Does the 4Q gross margin reflects entire pricing? Secondly, if you
can also highlight in April, has there been any pricing action?
Rajesh Jain: Again, this pricing is continuous process in our business. If somebody says entire pricing done
or not done, it will not be a right statement. Here, more importantly, it is continuous process
where we keep passing on this pricing, either positive side or negative side.

Same thing happens in April also where we came up with one price rise to match this price rise,
whatever we are facing in my raw material side. It is continuous process. There is nothing
extraordinary in last quarter or even in this month, April.
Ashish Kanodia: Got it, sir. Thank you. That will be all.
Moderator: Thank you. Next question is from the line of Yash Jain from Ambit Capital. Please go ahead.
Yash Jain: Hi, sir. Thank you for the opportunity. I just wanted to get an understanding what was the
contribution to exports from the Middle East region in FY26?
Rajesh Jain: Normally, if I say, out of our total wire and cable business, 30% is our export, and within that,
we have almost 40% is export to Middle East side. If I see those figures, of course, like, it's
around, 12% in the overall top line on a yearly basis. Since last year the impact was only for 30,
40 days, you can factor those percentage.
Yash Jain: And this has continued in April so far, right?
Rajesh Jain: Yes.
Yash Jain: Okay. Thank you, sir.
Moderator: Thank you. Next question is from the line of Vidit Trivedi from Asian Markets Securities. Please
go ahead.
Vidit Trivedi: Yes. Hi, sir. Thank you for the opportunity. You just said, you know, you have a share of 40%
of the Middle Eastern exports. I just wanted your comment on the overall outlook for the exports,
especially in the Middle Eastern region for FY27?
Rajesh Jain: I think it will be very tough to predict in such a scenario because nobody is aware whether this
war will finish tomorrow or maybe 15 days or one month. Of course, I, we know, it will be not
very long problem and we can comfort it through other geography also. This year also, whenever
this war will finish, again we'll regain our net sales from that region.
Vidit Trivedi: How is the overall shipping routes in this region? I mean, you know, we have heard that the
insurance costs have shot up, the freights have gone up. As of today, are we facing any issue
with respect to the exports?
Rajesh Jain: No, apart from Middle East, we are not facing any issue. Since in our case, freight and insurance
and everything is passed through to our customers, there is like direct impact, I will say.
Vidit Trivedi: Got it. Sir, lastly, on the overall pricing action. If you could just give us some sense on the pricing
action for the overall year and during this month as well, if there is any.

Rajesh Jain: Yes. As you know, in our case, whatever prices, in our raw material prices we pass on to our
customers in by changing our selling price and by as a thumb rule, like whenever there is plus
or minus raw material prices by 2% or 3%, then we change our selling prices also. Since this is
continuous process and we see average of last 15-20 days, based on that changes, we keep
changing our selling prices, and this is continuous process.
Vidit Trivedi: Got it, sir. Thanks a lot. Very helpful.
Rajesh Jain: Yes.
Moderator: Thank you. Next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.
Natasha Jain: Thank you for the opportunity and congratulations, sir, on a good set of numbers, especially
given the macro volatility. My first question is on wir

es and cables only. What we got to know
from the ground was that, you know, there is continued stress in Morbi because of which, you
know, ceramics is having a problem, and then wires is ancillary to that?
When we spoke to few channel partners, they told us that there's destocking, down trading, metal
volatility problems and all of that. Despite that, you've clocked in a volume growth of 10%. I
think wires had seen more pressure than cables. Just want to know what is it that you're doing
different. Are you indexing yourself to newer markets where growth is coming out for you?
Could you throw some detailed color on that? And I apologize for iterating this question.

Rajesh Jain: No, but rightly said by you. Of course, there are some impact. If you see in my 10% volume growth, like my wire growth is single digit, mid-single digit, while cables is on high teens. In that sense, there was some pressure, but at the same time, we are doing so many initiatives to establish our business by B2B side also and wire side also.
This is again a continuous process where we keep looking to new geography or increasing our distribution or monitoring our secondary sales. This is a regular process.
Natasha Jain: All right. Just a follow-up on that as well. You said definitely cables is doing better for you. First off, could you just give a little detail color as to how cables business is scaling up for you, both on exports and domestic? Because we have a low base in terms of the trailing quarters for cables, can we expect you to beat industry growth for cables, and can that drive strong growth for you in the coming quarters compared to incumbents?
Rajesh Jain: Yes. So, when you see our business plan in depth, our commentaries also, we have said that, we are planning to increase our B2B base and expanding our cable capacity also. It means my growth will also come from cable side also, be it domestic market or export market. At the same time, if you see still like, we are very small player in terms of cable and with this capacity expansion and with our established, already established, network, we are quite confident to beat the industry average, and we are planning to grow more than industry average, particularly in cable side of the business.

Natasha Jain: Thank you, sir. Thank you so much.
Moderator: Thank you. Next question is from the line of Chirag Muchhala from Centrum Broking. Please go ahead.
Chirag Muchhala: Oh, yes. Thank you and congratulations for the excellent quarter and year. Sir, first question is on the cable side. Sir, after the capex that we have done in FY2026, I think what KV range your cable portfolio is ready and, over the next couple of years, how is the, I mean, pipeline to scale it up further?
Rajesh Jain: Right now, we can make up to 66 KV of cable. With new capex plan, we'll be able to achieve capability to build up to 220 KV, which is like lower end of EHV or higher end of HV side of the cable with this capex plan of INR1,200 crores.
Chirag Muchhala: Correct, sir. Partly it will be ready in 2027, or this is likely to come up towards the end of 2028?
Rajesh Jain: It will be some part will come in mid of FY2027 also by end of FY2027 also. It is like continuous process, but it will get completed by FY2028. Every half yearly we'll keep adding few capacities.
Chirag Muchhala: Okay. Sir for FY2026, what was our cables and wire sales mix?
Rajesh Jain: Product mix?
Chirag Muchhala: Yes. cables, contribution of cables, and wires, in the cable and wire segment?
Rajesh Jain: This year my mix was around 73% in wire and 27% in cable. Reason being since copper prices have risen more, it reflected more in revenue side. This mix is as of now it is 73 versus 27.
Chirag Muchhala: Okay. Lastly, sir, on FMEG, as you mentioned, we are targeting 20%-25% growth in FY2027. Just a color on individual key product categories li

ke fans and lighting regarding how the summer season is panning out and outlook for overall FY2027?
Rajesh Jain: We will achieve major growth in of course, fan is our major contributor, but apart from fan also switch gears, appliances and all segments. Still we are a very small player, and we expected to achieve this kind of value growth in FY2027 by focusing on all of these sectors where we are present in FMEG.
Chirag Muchhala: Correct. Sir, specifically for fans, if you can highlight how the summer season is playing out and, I mean, for the full-year, what kind of growth are we targeting?
Rajesh Jain: In fan, like, also if you see, like, we have seen mixed season in April also. In few parts of the countries there are, like, rain, but in few parts there are summer also. It's mixed season. I'll say now it is picking up, the fan season is also. For initial few days there were some disturbance, but now it is picking up. For full-yearly basis, we there will be good growth in fan side also.

Chirag Muchhala: Okay. Thank you, sir.
Moderator: Thank you. We'll take our next question from the line of Naman Parmar from Niveshaay. Please go ahead.
Naman Parmar: Yes, thank you so much for the opportunity. Just wanted to know any new product that we are

adding, because currently seeing a very good traction on the data center and the base market.
Any products that we are able to cater to that market?
Rajesh Jain: Data center is one of the area where the fan and cable we are looking at the growth. Since our B2B still we are very like we are focusing on all product range and sectors also. Data center is one of them apart from infrastructure or wind and solar energy. But of course, data center is one of the very big area where maybe in next three-four years there will be huge demand and we'll target that market also.
Naman Parmar: Okay. Any timeline for that, when the product will be get commercialized?
Rajesh Jain: In data center, the normal wire and cable only goes.
Naman Parmar: So not any specific mix. Okay.
Rajesh Jain: Yes, yes.
Naman Parmar: Okay, understood. Yes. Thank you so much.
Moderator: Thank you. We'll take our next question from the line of Tanay Shah from Dam Capital. Please go ahead.
Tanay Shah: Yes. Hi, sir. Good evening, and congratulations on a great set of numbers in Q4. Just wanted to understand, our margin improvement, which we are speaking about over the next couple of years. Given that we're entering FY2027 with stable but elevated copper prices, and obviously now inventory gains would be diminishing on a quarter-on-quarter basis to some extent, and given the high base of last year as well. Not to mention even competition sort of entering in the second half of this year, what are our thoughts on how we want to improve our margins?
I do understand that we want to scale cables up, to a greater extent in our portfolio, but what do we think about our efforts on increasing the margin from our current levels to the, margin which we guided?
Rajesh Jain: Yes. Thanks, Tanay. If you see whatever margin guidelines we have given based on normal business environment. When we say that from in three years our margins will improve by 300 basis points and if you see last year already we have done 130 basis points, still, like, we are guiding for 9.5% for FY2027.

It means this, considering that whatever business plan we have made based on our volume increase or better product mix or more efficient utilization or benefit of scale, by this we'll improve our margins to this 9.5% from this year.
Tanay Shah: Sure. Sir, if I got the number correct, we spoke about a 16%-17% volume growth for FY2027, right?
Rajesh Jain: Yes. 16%-18% rather.
Tanay Shah: 16%-18%. And FY 2026, for 4Q is what we did a 10% volume growth?
Rajesh Jain: Yes. Because our base was

quite high for Q4 2025.
Tanay Shah: Yes, makes sense. Okay, sir. Great. Thank you. Thanks for answering my questions.
Moderator: Ladies and gentlemen, to ask a question, please press star and one on your phone. Next question is from the line of Khadija Mantri from Capri Global. Please go ahead.
Khadija Mantri: Yes. Good evening, sir. My question is regarding data centers. I just wanted to know if we have the required products to cater to data centers, and what would be is it going to be distribution-led or we will be approaching the customers on our own? Does these approvals take a lot of time?
Rajesh Jain: It's, like always, mixed approach, where we approach to end customers, but we may supply through my distribution network also, direct also. Again, this is a continuous process where we'll keep approaching to data center, take approval and start supplying. Since there is no new product for which we are waiting, but this is only existing product, so it is a continuous process where we are approaching to customers and quite hopeful to enter this segment effectively.
Khadija Mantri: Sir, is it true that the requirement of cables in a data center is much higher as compared to, let's say, putting up a factory?
Rajesh Jain: You cannot compare directly because it depends on what kind of scale that factory is there. Of course, since data center where, like, continuous power supply or electrical supply is very important, they cannot afford even 0.01% of power failure. They have four or five kind of power backup and therefore there is lot of cables and wires are applied.
Khadija Mantri: Okay. Is it a substantial part of our revenue as of now or no?
Rajesh Jain: No, no, not as of now.
Khadija Mantri: Get. Okay, sir. Thank you so much.
Moderator: Thank you. Next question is from the line of Saumil Mehta from Kotak AMC. Please go ahead.

Saumil Mehta: Yes, thanks for the opportunity. In terms of the prevailing April prices versus the quarter which went by, what would be the ballpark increase, in spot markets or at least contracts where we'll be supplying in May or June?
Rajesh Jain: No, again, this is like continuous process, wherever we have like PV clause. It depends. If I have a very big order, then that order may have PV clause, where we selling on the last month price. In our case, majority of the, our business is like on order basis only, it is, like continuous process. Like in the month of June, we'll mostly supply on the average of May or something like that. So there is no relation between Q1 price.
Saumil Mehta: No, fair to assume that the current prices would be higher than the Q4 average prices, would there be a fair assumption or not really?
Rajesh Jain: If, mathematically, you may assume that it will be higher side. Thank you.
Saumil Mehta: And versus the entire FY2026, would there be a decent double-digit pricing which has happened?
Rajesh Jain: Till now, we have seen more than double-digit price rise already.
Saumil Mehta: You know, ballpark, if I were to assume prices stay where there is stability, obviously, it will have a slightly up and down, but broadly if there is not much meaningful increase or decrease in the commodity prices, FY2027 as a year can be a 30% top line growth, assuming 16%-18% volume growth is what you have, you know, highlighted in terms of guidance?
Rajesh Jain: Again it will be very tough to predict, but mathematically, if you go by like my volume growth versus price rise, what we have seen on average basis, 30%, you can assume.
Saumil Mehta: Sure. In terms of the total mix of cables, in maybe for FY2027 or FY2028, once you commission the entire INR1,200 crores capex, ballpark in terms of range, what would be the cable contribution in the cable and wire segment?
Rajesh Jain: Like, though in this year, my contribution is around 27%. Again, it depends on the pricing of coppe

r and aluminum also because both are moving in different direction.
Saumil Mehta: Absolutely.
Rajesh Jain: But by normal means, my cable contribution can increase by 3% to 4% in overall business. Like if this is 27%, on normalized basis, by year-end it can become 31%.
Saumil Mehta: And the overall contribution of cables would move towards more value-added, as in erstwhile if you would have sold more LV, you'll start now selling more HV cable. Would that be a fair assumption?

Rajesh Jain: No, no, this is nothing very specific role of, in that terms. Because it depends on product mix and how you will quantify that I don't know. Otherwise that is fair assumption that my HV role will increase or HV contribution in my top line will increase. That is fair assumption.
Saumil Mehta: Sure. Okay. Thank you, sir. Thank you.
Moderator: Thank you. Next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: Hello, sir. Thank you for the opportunity. Sir, I wanted to understand what is the wires and cables mix in domestic and export separately? A connected question to that is that, I wanted to understand the macro, the end markets that we are servicing, the use cases that we are servicing, and what kind of growth that you're envisaging for both the products across geographies, domestic and export, if you can elaborate on the macro also, please? Thanks.
Rajesh Jain: Our product mix is largely same in my export versus domestic, which I have shown like 73- 27. Largely it is quite similar to that only. If you see at a smaller level than in cable, we see higher growth when I compare to wire side for next two years. If I can figure out like in wire our growth may remain around 11%-12%, while in cable we, since our base is small, we are expecting growth of 25% in terms of volumes.
Since we see many opportunities in B2B side, be it infrastructure or data center or wind and solar, and at the same time in export market also we have seen huge opportunities in cable side of the business.
Deepak Lalwani: Sure. Sir, this year, RR Kabel has performed remarkably well. If you have to pick out two, three pointers as to what has exactly changed in the way we do business, or the strategic changes that you've brought in the Company. If you have to pick up two, three pointers that has mainly driven this, can you please spell out the strategy that the Company has undertaken? Also going forward, we see that this industry is going to have many new players.

So how are we internally placed to tackle this? Thanks.
Rajesh Jain: See, one of the biggest thing if you see, we have planned our business to grow very structurally, in particular in B2B side, where we are focusing few segments like, since this wire and cable business is quite big and we are focusing few segments, few geographies, so that, we can achieve a structured growth. Sametimes we have taken various operational operating projects also to improve our margins, and these are working well, what you have already seen our, this year's results, and we are confident to remain on track in next few quarters and years also.
As much as your like question regarding competition. So again, of course, there are new players, but we think the competition is always part of our business. We will keep driving our business based on our quality business structure and focusing on exports and B2B side of the business.

Deepak Lalwani: Okay. Can you please elaborate on your strategy on expanding margins as to what exactly you've done so far and the outlook on margins of 100 bps expansion? You know, despite having the inventory gain this year, how will you be able to expand on the margin side?
Rajesh Jain: If you see our Project RRise, we have seen that based on our operational efficiencies and product mix and expan

ding export business, there are multiple things which are working well and we have planned and even this future margin improvement will be achieved through these bases only.
Deepak Lalwani: Got you. Thanks. All the best.
Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. Rajesh Jain for closing comments. Over to you, sir.
Rajesh Jain: Thank you everyone for taking some time out to participate in this call. In case of any queries, reach out to us or our Investor Relation agency, MUFG Investor Relations. We wish you all the best and hope to interact with you soon. Thank you so much.
Moderator: Thank you, members of the management team. On behalf of R R Kabel Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.